

Background to the taxation of companies [¶16-010]

[¶16-010]

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For tax purposes, a “company” is defined in s [YA 1](#) as “a body corporate or other entity that has a legal existence separate from that of its members, whether it is incorporated or created in New Zealand or elsewhere”. This definition extends to a local authority or a public authority and applies to any company incorporated under the Companies Act 1993 (C93), any unit trust, incorporated society or club and any society or credit union registered under the Friendly Societies and Credit Unions Act 1982. A Māori authority is also treated as a company for taxation purposes. The definition of a “company” excludes any limited or general partnerships (other than certain overseas partnerships and listed limited partnerships), look-through companies (LTCs) for certain purposes, and a company that is acting in the capacity of trustee.

There are a number of regimes applicable to various kinds of company. The kinds of company are the following:

- # *Close company*: A close company is one where there are 5 or fewer ultimate natural person or trustee shareholders (individuals who are associated persons count as one person) whose total voting interests or, where a market value circumstance exists, whose total market value interests in the company are greater than 50%.
- # *Closely-held company*: A closely-held company is a company in which 5 or fewer persons (all associated persons count as one person) whose total *direct* voting interests or, where a market value circumstance exists, whose total *direct* market value interests are greater than 50%.
- # *Look-through company*: A look-through company (LTC) is a New Zealand-resident company with 5 or fewer look-through counted owners (all relatives count as one person) ([¶19-155](#)).
- # *Widely-held company*: A widely-held company is any company that has not less than 25 shareholders (associated shareholders being treated as one person) and is not a closely-held company.
- # *Limited attribution company*: A limited attribution company is a building society, a co-operative company, a listed company, a widely-held company or a foreign company that is not a closely-held company ([¶16-200](#)).
- # *Listed company*: A listed company is one whose shares are quoted on the official list of a recognised exchange.
- # *Qualifying and loss-attributing qualifying companies* ([¶19-010](#)).
- # *Special corporate entity*: A special corporate entity includes any public or local authority, any state enterprise or Crown Research Institute. The concept also includes a statutory producer board or statutory body established by Act of Parliament that does not issue shares and any life insurance fund or group investment fund ([¶16-155](#)).

Residence

The residence of a company determines its New Zealand tax liabilities. A company that is resident in New Zealand is subject to income tax on all income, irrespective of the country or source of the income. A non-resident company is only subject to income tax on income with a source in New Zealand.

A company is resident if it is incorporated in New Zealand, has its head office or its centre of management in New Zealand or control by its directors is exercised in New Zealand, even if the director’s decision-making also occurs outside New Zealand. A non-resident company can be expected to be one that is neither incorporated in nor controlled from New Zealand. The connection with New Zealand may be in the form of an office or other business premises situated in New Zealand. A presence of that kind would not normally impact on control of the company exercised at the offshore head office. A foreign company would also not be regarded as having a presence in New Zealand merely on account of executives being temporarily in New Zealand while the foreign company is engaged in litigation in New Zealand. See *Fiduciary Ltd v Morningstar Research Pty Ltd* 2004 ATC 4633 and Case 11/2011 ([2011](#)) 25 NZTC ¶1-011.

It is possible for a company to be a dual resident. See further at [¶11-140](#) for discussion of the corporate residence tests.

Shares, shareholders and dividends

A share includes any interest in the capital of a company, a debenture to which s [FA 2](#) applies, a unit in a unit trust and a stapled debt security. A shareholder is any holder of a share and any member of a company, irrespective of whether the capital of a company is divided into shares. Classification as a share is important because transactions between a company and its shareholders may give rise to dividends as a form of income in the hands of the shareholder. The payment of dividends is not allowed as a deduction by the company. Payment of a dividend is likely to attract resident withholding tax (RWT) or non-resident withholding tax (NRWT) liabilities for a company.

Imputation

A full imputation regime applies to dividends. Income tax paid by a company gives rise to imputation credits. The imputation credits may be treated as attached to dividends paid by the company. The shareholder's income includes the imputation credits but with a credit allowed for those credits against the income tax otherwise payable ([¶17-010](#)).

Law: IT07 ss [YA 1](#) ("[close company](#)", "[closely-held company](#)", "[company](#)", "[limited attribution company](#)", "[listed company](#)", "[look-through company](#)", "[share](#)", "[special corporate entity](#)", "[widely-held company](#)"), [YD 2\(1\)](#)

Last reviewed on 31 December 2025

Calculation of company's income tax liability [¶16-025]

[¶16-025]

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A company's income tax liability for a particular income year is determined by multiplying taxable income by the corporate tax rate of 28%. The resulting figure is the company's income tax liability against which credits for tax already paid may be offset.

If the total credits for tax paid or withheld exceed the company's income tax liability, they are to be offset in the following order:

- # non-refundable credits, eg any available credits from the branch equivalent tax account or policyholder credit account, or credits for foreign tax paid, payroll donations or those relating to attributed foreign income
- # credits for supplementary dividends
- # credits for imputation credits
- # research and development tax credits, and
- # refundable credits (eg provisional tax).

Any remaining tax credits for a tax year are then dealt with under s [LA 5](#). Depending on the type of tax credits remaining, the credits may be extinguished, grouped with other companies in the same group, carried forward, converted to a loss, refunded, or used to meet another tax liability ([¶12-110](#)).

Law: IT07 ss [BC 6](#), [BC 8](#), [LA 4](#)

Last reviewed on 31 December 2025

Companies — tax returns and payment [¶16-030]

[¶16-030]

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Every company (except certain non-active companies) must file a return of income for each tax year. This is filed on form IR4 and must be accompanied by a copy of the company's statement of financial position, statement of financial performance and whatever other forms are necessary to support matters contained in form IR4. The return must also contain a notice of the assessment of the company's taxable income and income tax liability and, if it is applicable for the tax year, the net loss, terminal tax or refund due. The time by which the company must file its return of income depends upon the company's balance date ([¶12-017](#)). A resident company is required to lodge a return showing its worldwide income, whereas a non-resident company's return should relate to income derived from New Zealand only. The return should show income derived and deductions incurred in the 12-month period to 31 March or other approved balance date. A company that has been liquidated must file a return for the period from the beginning of its income year to the date of dissolution. As an exception to the general rule, a non-resident company need not file a return if its only income from New Zealand for the period consisted of dividends or interest already subjected to NRWT (or, in the case of interest, zero rated under the approved issuer regime) and the company did not carry on any business in New Zealand.

Non-active companies

Relief from filing is available to certain non-active companies (such as those incorporated for name-protection purposes or shelf companies) ([¶12-026](#)). A non-active company declaration (IR433) is required to be filed.

Tax payment dates

The due dates for payment of provisional and terminal tax are considered at [¶122-012](#). Briefly, provisional tax must be paid by all companies that have residual income tax ([¶122-060](#)) of more than \$5,000 for the tax year. However, non-resident companies that do not have a fixed establishment in New Zealand are excluded from the provisional tax regime. Generally, a company pays provisional tax on the basis of tax paid in the previous year or on the estimated income for the current year. Any overpayment or underpayment is adjusted in the subsequent year in the form of a terminal tax charge or refund. Use of money interest also applies to overpayments or underpayments of provisional tax. For further discussion on the operation of the provisional tax regime, see [¶122-010](#) onwards.

Law: TAA ss [33](#), [92](#)

Last reviewed on 31 December 2025

Group companies — lifting the corporate veil [¶16-045]

[¶16-045]

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An amount derived by a company that is not otherwise income in the hands of the company may become assessable income if the company is a member of a wholly-owned group of companies and the receipt would have been assessable if the group of companies were regarded as a single company.

The receipt is assessable income in the hands of the company that derives it and not some other member of the group. The company is allowed a deduction for expenses incurred in deriving the income, subject to possible application of the capital limitation.

An exception exists in relation to the land tainting rules for K#inga Ora – Homes and Communities and companies in the same wholly owned group under s [CB 15D \(¶17-210\)](#).

These provisions may be regarded as a form of lifting the corporate veil. A wholly-owned subsidiary formed to hold a further investment of a kind that its parent company holds on revenue account may be found to hold its investment on revenue account despite the singular nature of the investment.

The ability to lift the corporate veil is not necessarily conclusive of the presence of assessable income. It must still be determined whether, upon lifting the veil and regarding all members of the group as one company, the circumstances reveal assessable income. For example, the Commissioner could not show that to be the case in *C of IR v Renouf Corporation Ltd* ([1998](#)) [18 NZTC 13,914](#). This concerned a subsidiary formed to take up a shareholding in a joint venture company that undertook a property development. The gain made upon the subsequent disposal of the beneficial interest in the joint venture company was not assessable as business profits. Even if the taxpayer group were regarded as one company, it had only engaged in isolated development and sale transactions with property.

A company is an entity in its own right separate from its shareholders (s [15](#) of the C93). The courts have noted that it is common commercial practice to carry on diverse activities through subsidiary and associated companies. In the absence of fraud, sham or breach of public policy, there may be no basis for declining to recognise the separate legal existence of parent companies and subsidiaries (*Re Securitibank Ltd (No 2)* [1978] 2 NZLR 136).

Law: IT07 ss [CV 1](#), [DV 13](#); C93 s [15](#)

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Deductions for companies [¶16-060]

[¶16-060]

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A member of a group of companies that pays management fees to any other member of the group could be expected to be allowed a deduction for the fees paid ([¶10-690](#)).

Most companies are allowed a deduction for interest without the necessity of establishing a nexus between the expense and the receipt of assessable income. A company is also allowed a deduction for interest paid on moneys borrowed to acquire the shares of a company in the same group of companies ([¶10-650](#)). However, note that these interest deduction provisions may be overridden for interest expenditure that is subject to apportionment under the mixed-use assets rules in subpart [DG](#) ([¶10-035](#)) or interest expenditure subject to the motor vehicle expenditure rules in subpart [DE](#) ([¶10-710](#)). See also [¶10-814](#) for the limitation to deductibility of interest where a company owns a residential rental property.

A gift of money by a company may be allowed as a deduction ([¶10-492](#)).

Law: IT07 ss [DB 7](#), [DB 8](#), [DC 2](#)

Last reviewed on 31 December 2025

Excessive remuneration paid to director, shareholder or relative [¶16-070]

[¶16-070]

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The Commissioner is authorised to reallocate, for tax purposes, excessive remuneration paid to a relative of a director or shareholder of a company, other than a close company, under s [GB 23](#). In determining whether the remuneration is reasonable, the nature and extent of the services rendered and any other relevant matters are taken into consideration. Excessive remuneration will be a dividend paid by the company and derived by the relative. An exception applies if there is a genuine contract of employment or engagement that satisfies the requirements of s [GB 24](#).

The deduction allowed for salary paid by a close company to a shareholder, director or one of their relatives may be restricted to a reasonable level of remuneration under s [GB 25](#). Remuneration paid exceeding a reasonable level will be treated as a dividend, paid by the company to the service provider. The Commissioner's power to restrict the amount does not include the case where:

- # the service provider is an adult employed substantially full-time in the business of the company
- # the service provider participates in the administration or management of the company
- # the amount was not influenced by the service provider's relationship with a shareholder or director of the company, and
- # the service provider is a New Zealand resident.

Example:

A husband and wife were directors of a company. The directors' fees were split 50:50. The Commissioner reallocated the fees in a 60:40 split in favour of the husband on the grounds that the wife had a part-time job. See *Case E70* ([1982](#)) 5 NZTC 59,381.

Example:

A husband and wife were shareholders of 2 private limited liability companies. One was a retail pharmacy and the other a property investment company. The High Court found that shareholder remuneration paid by the pharmacy business was reasonable but that remuneration paid from the property investment company was not reasonable. See *Troon Place Investments Ltd v C of IR*; *GS Matthews (Chemist) Ltd v C of IR* ([1995](#)) 17 NZTC 12,175.

Question we've been asked

QWBA, [QB 14/09](#), "Income Tax — Meaning of 'Excessive Remuneration' and 'Excessive Profits or Losses' Paid or Allocated to Relatives, Partners, Shareholders or Directors" asks when the payment of remuneration or allocation of profits or losses is considered to be excessive for the purposes of ss [GB 23](#) to [GB 25B](#). With respect to companies, the item concludes that any remuneration, profits or losses will be considered excessive where:

- # the amount paid is more than a reasonable reward for the services provided by a relative (s [GB 23](#))
- # the amount paid by a close company exceeds a reasonable reward for the services provided by a shareholder or director, or was influenced by the person's relationship with a shareholder or director (s [GB 25](#)).

The Commissioner considers an amount of remuneration is "reasonable" if it is appropriate or fair for the services provided. The item states the following criteria the Commissioner will consider for determining a reasonable payment for services rendered under s [GB 23](#):

- # The nature of the services and the circumstances in which they will be or are performed.
- # The knowledge and skills required to carry out the services, including any particular qualifications.
- # The amount of payment that the person carrying out the duties would be paid by another independent employer for like services.

- # The locality where the duties are being performed.
- # The amount the taxpayer would be prepared to pay an arm's length employee undertaking similar duties.

The item states that when applying s [GB 25](#):

- # Remuneration paid must be based on the "true worth" of the services provided and not an arbitrary figure based on the company's profits (Case J99 ([1987](#)) [9 NZTC 1,560](#)).
- # The reasonableness of fees must be based on the nature and extent of the services provided by the shareholder or director to the company (Case J53 ([1987](#)) [9 NZTC 1,297](#)).
- # Remuneration must not be based on a relationship with a shareholder or director (Case J99).
- # When determining whether remuneration paid to shareholders is excessive, the services rendered by the shareholders can be considered "in a broad and reasonable way". This may include the value of the shareholder's contribution in previous years if it has provided an ongoing benefit to the company (*Troon Place Investments Ltd v C of IR*; *GS Matthews (Chemist) Ltd v C of IR* ([1995](#)) [17 NZTC 12,175](#)).

A close company that pays a pension to a former shareholder–employee, or their relative, may only deduct so much of the payments as is reasonable ([¶10-292](#)).

Law: IT07 ss [DB 58\(1\)](#), [GB 23](#), [GB 24](#), [GB 25](#)

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Measuring shareholder interests in a company [¶16-140]

[¶16-140]

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The voting interests or market value interests a shareholder may hold in a company must be measured for a number of regimes. Those regimes include:

- # the carry-forward of company tax losses ([¶18-015](#) and [¶18-023](#))
- # the grouping of company losses ([¶18-050–¶18-055](#))
- # the carry-forward of credits under the imputation regime ([¶17-055](#))
- # the deductibility of interest on borrowings raised to acquire shares in a group company ([¶10-650](#))
- # the recovery of tax from shareholders who have deprived the company of assets with which to pay its taxes ([¶16-880](#))
- # the qualifying company regime ([¶19-010](#)), and
- # the ability of groups of companies to consolidate ([¶20-010](#)).

These tests involve measuring a shareholder's economic interest in a company by reference to their voting interest held in that company, both directly ([¶16-145](#)) and indirectly ([¶16-150](#)) through interposed companies. In addition, where there is a market value circumstance ([¶16-170](#)) the shareholder's economic interest can also be determined by the market value of interests in the company. A market value interest ([¶16-175](#)) will be used where the voting interest does not reflect the true economic interest held by the shareholder in the company. If this occurs, a shareholder's percentage ownership is determined by reference to both the voting interest and market value interest held by the shareholder in the company.

Shareholder continuity

"Shareholder continuity" is used to describe whether a company's shareholding has been consistent over a certain period of time. The concept is important as a breach of shareholder continuity will affect the following:

- # the amount of tax losses that a company may carry forward or offset against future income ([¶18-023](#)), note from the 2020–21 income year, a company may still be able to carry forward losses if it satisfies the business continuity test ([¶18-035](#))
- # the amount of tax losses that a company may offset or subvent with another company ([¶18-050–¶18-060](#))
- # the amount of imputation credits that a company can attach to a dividend paid ([¶17-055](#)), and
- # the crystallisation of certain income tax liabilities under the consolidated group regime ([¶20-030](#)).

A company's shareholder continuity is determined by a shareholder's interest. For an illustration of how shareholder continuity is calculated, see [¶18-023](#).

Law: IT07 ss [YC 2–YC 20](#)

Last reviewed on 31 December 2025

Voting interests in a company [¶16-145]

[¶16-145]

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A person's voting interest in a company is measured on the basis of the percentage of shareholder decision-making rights the person holds in the company. Those rights are ascertained from the rights carried by shares, or options over shares, held by the person in the company.

A shareholder decision-making right is the right to vote or participate in any decision concerning:

- # the dividends or other distributions to be paid or made by the company
- # the company's constitution
- # any variation in the company's capital, or
- # the appointment of company directors.

Where a company issues only fully voting shares, a shareholder's voting interest will equal their percentage shareholding. Where the percentage of shareholder decision-making rights attached to shares varies, an average of those percentage voting rights is taken to determine the person's voting interest in the company. In the case of a person's shares or options carrying an entitlement to vote or participate in more than one of the above types of decision making, s [YC 2\(2\)](#) provides that a person's voting interest will equal the average of the different percentages at the relevant time. See also [¶16-150–¶16-165](#).

Example:

Big Building Limited has 2 shareholders, Matthew and John. Matthew holds all 500 A shares in Big Building Ltd, which have a right to vote on all matters other than the appointment of directors. John has all 500 of the B shares, which have unrestricted voting rights.

Matthew's voting interest in Big Building Ltd is 37.5%, calculated as:

$$(50+50+50+0) \div (100+100+100+100).$$

John's voting interest in Big Building Ltd is 62.5%, calculated as:

$$(50+50+50+100) \div (100+100+100+100).$$

Interpretation statement on shareholder decision-making rights

In [IS 13/02](#), "Income tax — whether certain rights conferred by the Companies Act 1993 could give rise to a 'shareholder decision-making right'", the Commissioner considers that s [36\(1\)](#) of the C93 is the only provision in that Act that gives rise to any shareholder decision-making rights. Section [36\(1\)](#) sets out the rights attached to shares — the rights to a vote in any resolution, an equal share in dividends, and an equal share in the surplus assets of the company. These rights may be negated, altered or added to by the constitution or the terms of issue of the shares, and the C93 anticipates that some classes of shares may carry no voting rights. [IS 13/02](#) is of particular relevance to those non-voting classes of shares because provisions in the C93 confer certain protective rights to all shareholders, irrespective of their voting rights or the company's constitution. [IS 13/02](#) considers whether those types of rights could be a shareholder decision-making right.

Two provisions in the C93 were identified as potentially giving rise to a shareholder decision-making right for tax purposes. Section [107](#) allows a company to undertake various actions without adhering to procedural requirements of the C93 if all shareholders agree. Section [117](#) provides shareholders with the right to vote on an action taken by a company that affects the rights attached to their shares.

The Commissioner considers that ss [107](#) and [117](#) do not give rise to a shareholder decision-making right under s [YA 1](#). Any rights conferred by those sections are not included in the calculation of a person's "voting interest" in a company under s [YC 2](#).

[IS 13/02](#) focuses on rights conferred by the C93. However, protective rights of a similar nature to those in s [117](#) may also be provided in a company constitution, the terms of issue of a share, options over shares or in the NZX listing rules. The conclusions reached in [IS 13/02](#) would apply equally to those similar rights.

Law: IT07 ss [YA 1](#) (“direct voting interest”, “shareholder decision-making right”, “voting interest”), [YC 2](#)

Last reviewed on 31 December 2025

Indirect voting interests in a company [¶16-150]

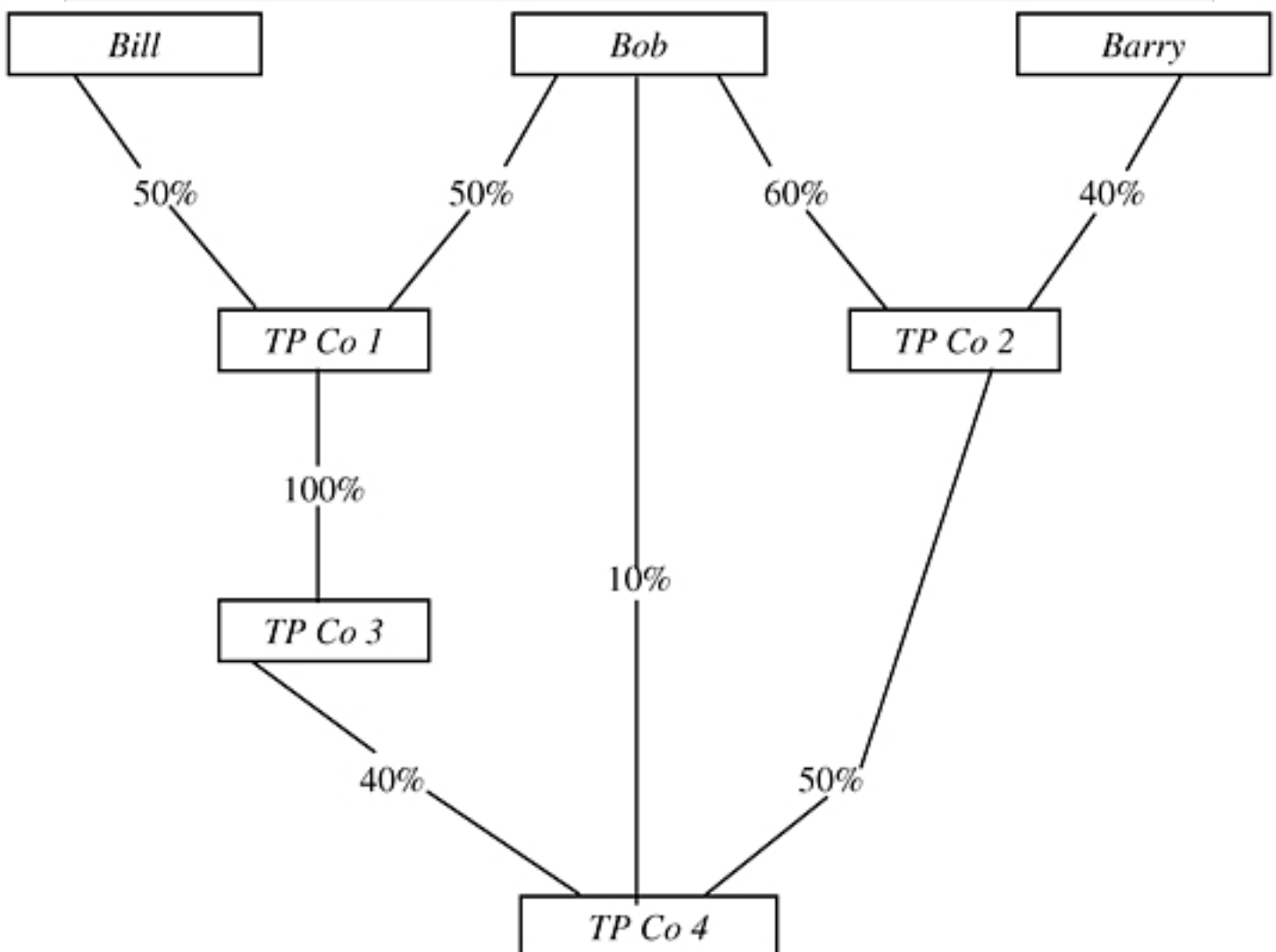
[¶16-150]

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Where one company has a voting interest in another company, the interposed corporate shareholders must be looked through to determine the ultimate underlying shareholders to measure voting and market value interests. To determine a shareholder's indirect voting interest, the shareholder's voting interest in the interposed company must be multiplied by the direct voting interest each interposed company owns in another company in the chain.

Example:

The following is a calculation of the voting interests (direct and indirect) held in a company by natural persons.



Voting interest in TP Co 4:

Bill's voting interest is 20%, calculated as $(50 \times 100 \times 40)$

Bob's voting interest is 60%, calculated as $((50 \times 100 \times 40) + 10 + (60 \times 50))$

Barry's voting interest is 20%, calculated as (40×50)

Law: IT07 ss [YA 1](#) (“direct voting interest”, “voting interest”), [YC 4\(1\)–\(3\)](#)

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Voting and market value interests in special corporate entities [¶16-155]

[¶16-155]

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Special rules apply to special corporate entities when calculating the voting interests and market value interests of shareholders. A “special corporate entity” is defined in s [YA 1](#) to include a public authority, a local authority, a state enterprise, a group investment fund, a Crown Research Institute, a statutory producer board other than a body that derives only exempt income, any other statutory body that does not issue shares and is established by a specific statute, a Life Insurance Fund, an entity that has not issued shares and is engaged mainly in the business of providing life or other insurance to the public, and any incorporated society that has no shares on issue to its members. Special provisions are necessary for special corporate entities because they do not generally have share capital or natural person shareholders. The shares in a special corporate entity are deemed to be held by the same single person, ie its members or directors are deemed to hold all the shares and options over shares in it. Consequently, it will always be 100% owned and no breach of shareholder continuity in the special corporate entity is possible.

With respect to an incorporated society that does not issue shares, see further at [¶24-010](#).

Special corporate entities and associated persons test

Any state enterprise, mixed-ownership enterprise, Crown Research Institute, Crown health enterprise or company in the same group as one of those entities cannot be associated persons for tax purposes (s [YB 2\(6\)](#)).

Law: IT07 ss [YA 1](#) (“special corporate entity”), [YB 2\(6\)](#), [YC 5](#)

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Voting interests, market value interests and nominees [¶16-160]

[¶16-160]

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Section [YB 21](#) provides that a person holds or does something as a nominee for another person if the person acts on the other person's behalf. However, a trustee is a nominee only if the trustee is a bare trustee. Where a nominee holds a voting interest or market value interest for a person, that person will be treated as holding that interest and the nominee is ignored. Consequently, where shares are held by nominees and subject to the tracing rules for the continuity provisions ([¶16-195](#)), a company will need to know if the beneficial ownership of those shares changes. A person is not deemed to be a nominee for their spouse or child. Consequently, a transfer of shares within a family group, with the exception of a transfer subject to a relationship property settlement or a disposal under an inheritance, may potentially breach the shareholder continuity provisions (*Tax Information Bulletin* [¶32-105 Vol 3, No 2](#), August 1991 at 4). Shares held by discretionary trustees are not covered by the nominee provisions. Consequently, no look-through rule operates in respect of discretionary trustees.

Law: IT07 s [YB 21](#)

Last reviewed on 31 December 2025

Securities excluded from calculating shareholder interests [¶16-165]

[¶16-165]

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Three categories of instruments are not taken into account in measuring a person's voting interest or market value interest in a company. These are excluded fixed rate securities, pre-1991 budget securities and excluded options. Where a company has issued any such securities, or any person has granted such an option in respect of a share in the company, ss [YC 2](#) to [YC 5](#) will apply as if they have not been issued or granted, and the holder of any such security or option is deemed not to hold it.

Pre-1991 budget security

A pre-1991 budget security is defined in s [YA 1](#) to mean a fixed-rate share (ie a share issued where the dividend is payable at a fixed rate and is not issued with an avoidance purpose) or a profit-related or substituting debenture (s [FA 2](#)). The pre-budget security must have been issued before 30 July 1991, or after that date if subject to a binding contract entered into before 30 July 1991 where no term of the security or binding contract is altered after that date. Pre-budget securities are disregarded when calculating voting and market value interests held in a company.

Excluded fixed rate securities

Where a share or debenture does not qualify as a pre-1991 budget security, it may still qualify as an excluded fixed rate security. An excluded fixed rate security is a fixed rate share or a debenture issued by a company, if it is a substituting debenture or a stapled debt security and not a profit-related debenture, that does not carry any rights to vote or participate in any shareholder decision-making other than those that arise in protective situations. A protective voting right includes only those rights that arise where the position of the holder of the share or debenture is altered to the holder's detriment and are granted to the holder to assist them to prevent such alteration and at the time of the issue of the share or debenture were not expected to arise.

Excluded options

An excluded option is also disregarded when measuring voting and market value interests in a company. An excluded option means an option to acquire or dispose of a share in a company when:

- # the directors did not know the option had been granted
- # neither the grantor (not being the company whose shares are the subject of the option), nor any person associated with the grantor, holds, at the time the option is granted, a share in the company over which the option is granted
- # the option is granted on arm's length terms and the option does not carry any voting rights other than protective voting rights
- # the option exercise price is equal to or not materially different from the market value of the share at the date of exercise and the option does not carry any voting rights other than protective voting rights
- # the share is an excluded fixed rate security subject to the credit account continuity provisions in s [YC 20](#), or
- # the option relates to a pre-1991 budget security and was granted before 30 July 1991, or under a binding contract entered into before that date, and no term is altered after that date.

Law: IT07 ss [YA 1](#) ("excluded fixed rate security", "excluded option", "pre-1991 budget security"), [YC 6](#)

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What constitutes a market value circumstance [¶16-170]

[¶16-170]

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Where a person's voting interest does not accurately reflect the shareholder's economic interest (ie a person's actual ownership interest in the company), a market value circumstance exists and the shareholder's percentage ownership in a company will be determined by reference to both voting interests ([¶16-145](#)) and market value interests ([¶16-175](#)) held in the company. Essentially, a "market value circumstance" as defined in s [YA 1](#) looks to the existence of debentures, shares, options or arrangements that may affect the balance of interests within the company in question to such an extent that a simple examination of voting power would be misleading. A market value circumstance will exist when:

- # the company has on issue a s [FA 2](#) or [FA 2B](#) debenture (that is not an excluded fixed-rate security or a pre-1991 budget security)
- # the company has issued a share (not being an excluded fixed-rate security or a pre-1991 budget security) where the directors know, or should know, that the payment of the dividend is guaranteed or secured to the holder by some person other than the company
- # an option (other than an excluded option) to acquire a share in the company exists, ie a call option
- # an option (other than an excluded option) requiring a person to acquire a share in the company exists, ie a put option, or
- # an arrangement exists that has the purpose or effect of defeating the intent and application of any provision dependent upon the measurement of voting and market value interests (eg where a company issues non-voting preference shares that are convertible to ordinary shares at the option of the company, or where the non-voting shares share in earnings, each arrangement being made with the intention of preserving tax losses).

This is the case unless, at the relevant time, no share or option over a share in the company (other than an excluded fixed-rate security, a pre-1991 budget security or an excluded option) has a higher value than nil. In that case, a shareholder's interests in a company will be measured solely by reference to voting interests.

All the above categories are direct market value circumstances. If a direct market value circumstance exists for a company in a chain of companies, the "market value circumstance" definition will deem an indirect market value circumstance to arise for the other companies in the chain of companies that are associated with that company.

Law: IT07 s [YA 1](#) ("[market value circumstance](#)")

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Market value interests in a company [¶16-175]

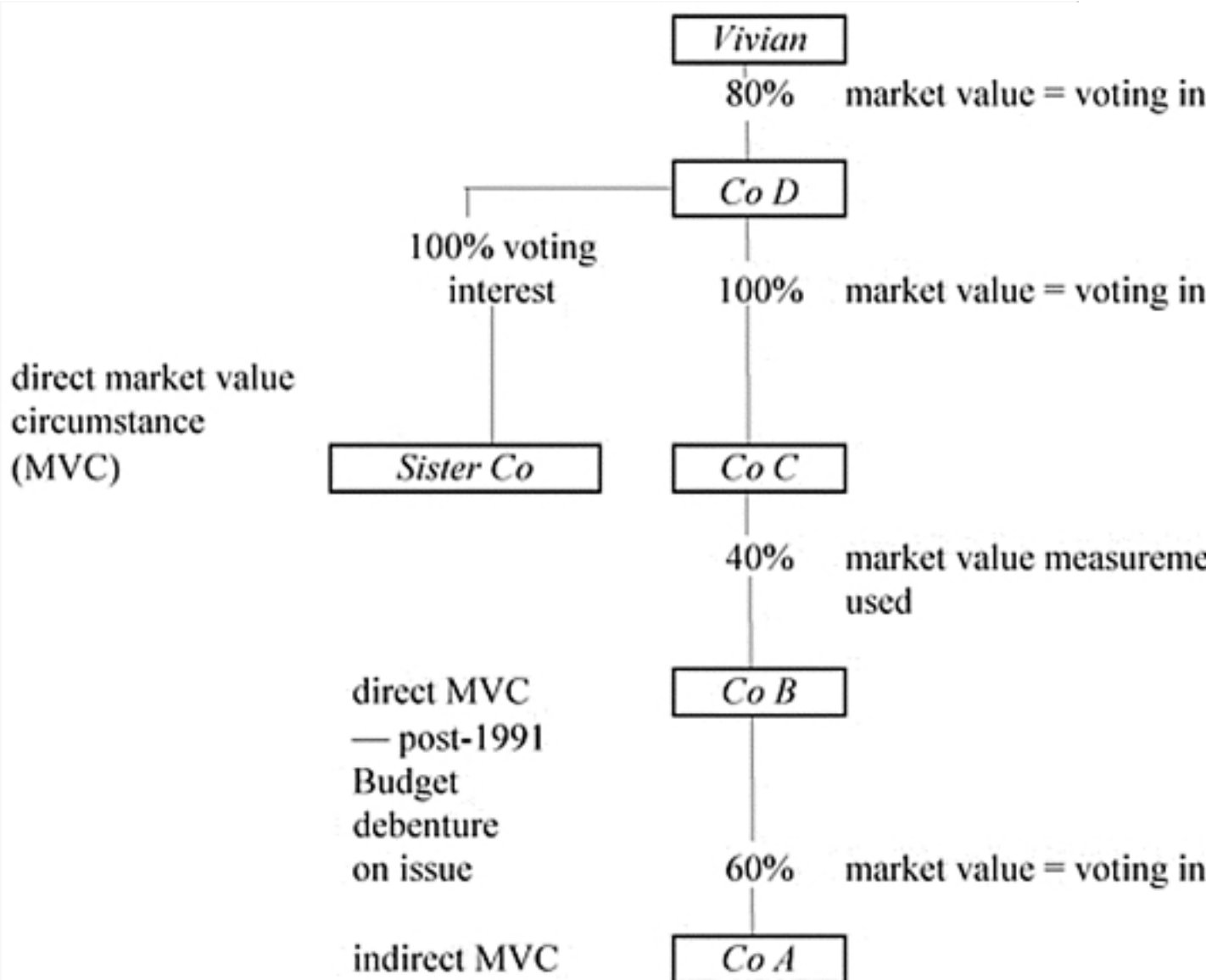
[¶16-175]

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A person's market value interest in a company is the percentage of the total market value of shares and options in the company that the market value of shares and options held by that person represents. If any shares in the company are subject to an option, the market value of those shares must be determined having regard to the terms of the option. A shareholder's market value interests include both those directly held in a company and those indirect market value interests in the same company held through interposed companies. A shareholder's indirect market value interest will be aggregated with any other indirect market value interest held by that person through different chains of companies, and any direct market value interest of that shareholder. Where no direct market value circumstance exists for a company but it is necessary to determine the direct market value interest of a person in that company because a direct market value circumstance exists for another relevant company, the direct market value interest of the person in the first company is deemed to equal the person's direct voting interest in that company. See also [¶16-150–¶16-165](#) and [¶16-215](#).

Example:

Calculation of individual's indirect market value interest:



Vivian's indirect market value interest in Co A = 19.2% (80% × 100% × 40% × 60%).

Sister Co's direct market value circumstance does not affect Co C or any other company in the chain as it is not necessary to trace through Sister Co to measure ownership interests in Co A.

Law: IT07 s [YA 1](#) ("[direct market value circumstance](#)", "[direct market value interest](#)", "[market value](#)", "[market value interest](#)"), [YC 3](#), [YC 4\(4\)–\(8\)](#)

Last reviewed on 31 December 2025

Market value of shares or share options [¶16-180]

[¶16-180]

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Where a company is a listed company (ie a company whose shares are quoted on an official list on a recognised exchange) the market value of that company's shares or options is relatively easy to determine. The market value of a share or option quoted on a recognised exchange is an amount equal to the middle market quotation at that time. See para (a) of the definition of "market value" in s [YA 1](#).

The criteria for a recognised exchange includes that the exchange market brings together buyers and sellers of shares or options over shares, and lists prices at which people are willing to buy or sell shares or options. In addition, the exchange market provides a medium for determining arm's length prices that are fair and reasonable, having regard to:

- # the number of participants in, or having access to, the market
- # the frequency of trading
- # the nature of trading, including how prices are determined and transactions effected
- # the potential or demonstrated capacity of a person to significantly influence the market
- # any barriers to entry, and
- # any discrimination in the market on the basis of quantity bought and sold unless based on the risks involved, the transaction costs, or economies of scale.

A person can seek the Commissioner's approval that a particular market will constitute a recognised exchange.

In the definition of "market value", where a share or option over a share is not quoted on a recognised exchange, the market value of the share or option is the amount a willing purchaser would pay to acquire that share or option in an arm's length transaction. The method used must conform with commercially acceptable practice and result in a valuation that is fair and reasonable. In appropriate cases, the method used may consider the present value at the time of the company's anticipated income or cash flows and the realisable value of the company's assets. See para (b) of the definition of "market value" in s [YA 1](#).

Law: IT07 s [YA 1](#) ("[market value](#)")

Last reviewed on 31 December 2025

Measuring shareholder interests for continuity purposes [¶16-190]

[¶16-190]

[Click to open document in a browser](#)

For the continuity provisions, special tracing rules apply to modify the application of ss [YC 2](#) to [YC 6](#) in certain circumstances. These rules provide relief from the continuity of shareholding requirements for relationship property settlements (s [FB 10](#)) or wills and intestacies (s [YC 8](#)). There are also special rules for changes of shareholding in corporate trustees (s [YC 9](#)).

Trustees holding shares and corporate trustees

Trustees holding shares or options in a company are treated as the same notional single person that is separate and distinct from the trustees in their capacity other than as trustees of the trust. Further, the trustees are not classified as a company.

When shares are held by a corporate trustee (with the exception of the Public Trust, any company in which the Public Trust holds all the voting and market value interests, or a statutory trustee company), any change in the shareholding of that corporate trustee may destroy continuity with regard to the shares it is holding. However, continuity will not be affected if the disposal of the shares in the corporate trustee either had no effect on the beneficial ownership of the shares held on trust, or had no purpose or effect of defeating the intent and application of the continuity rules. A similar rule applies to a change of natural person trustees or any change in the identity of the beneficiaries of a trust (s [GB 5](#)).

Law: IT07 ss [FB 10](#), [GB 5](#), [YC 7–YC 9](#)

Last reviewed on 31 December 2025

Voting and market value interests under 10% [¶16-195]

[¶16-195]

[Click to open document in a browser](#)

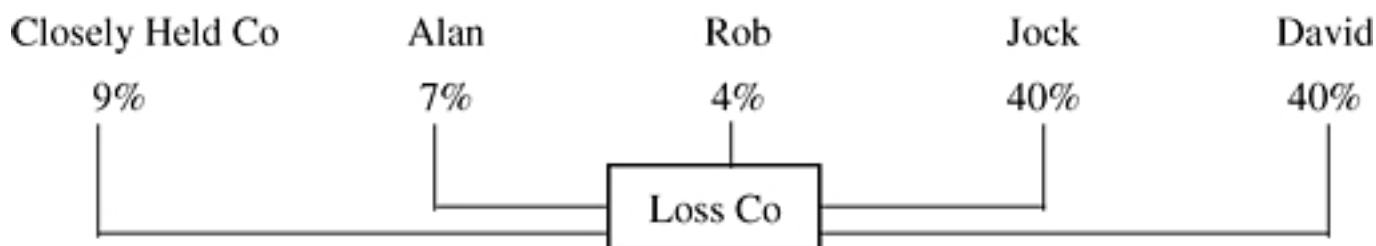
Special tracing rules exist to reduce the compliance costs associated with the shareholder continuity requirements. The ownership of a company, for loss carry-forward purposes, is established by “tracing” all corporate shareholders until it is possible to find the ultimate natural person owner, notwithstanding the number of interposed companies involved (s [YC 4](#), [¶16-150](#) and [¶16-175](#)). Tracing is made easier, however, through the application of ss [YC 10](#) and [YC 11](#), regardless of whether voting or market value interests are being tested. The pooling concept modifies the general rules governing the general corporate look-through rules of s [YC 4](#).

Direct interests

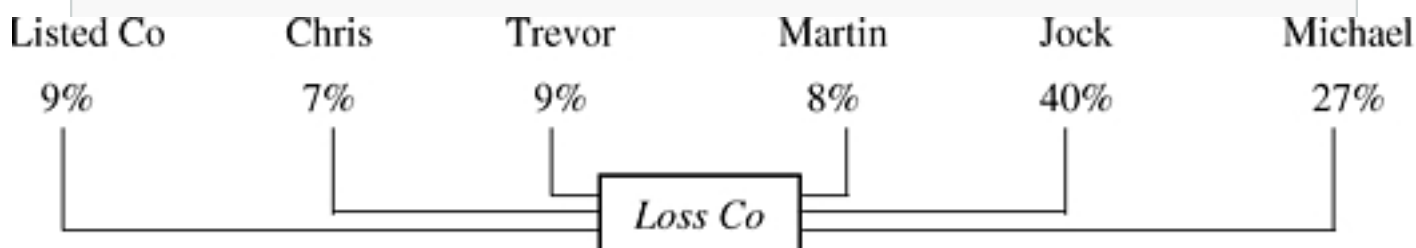
All direct voting and market value interests of less than 10% (except interests held by associated companies) are deemed not to be held separately by the actual shareholders but are regarded as being held by a notional single person (s [YC 10](#)). This means that share transfers between direct holders of less than 10% will have no effect on the continuity of shareholding. Section [YC 10](#) overrides the corporate look-through rules in s [YC 4](#). Consequently, it is not necessary to LTCs which hold a less than 10% interest in another company.

Example:

At 1 April 2016 Loss Co has the following shareholding:



Closely Held Co, Alan and Rob are treated as a notional single person, so Loss Co would have a shareholding as follows: notional single person = 20%, Jock = 40%, David = 40%. Loss Co incurs a net loss in the 2016–17 income year and wants to carry that loss forward into the 2017–18 income year. As at 31 March 2018 Loss Co's shareholding is as follows:



Because the shareholders with less than an interest of 10% of the company are treated as a notional single shareholder, the shareholding will become: notional single person = 33%, Jock = 40%, Michael = 27%. To determine whether its loss can be carried forward, Loss Co draws up the following schedule:

Shareholder	Voting interest 1/4/16	Voting interest 31/3/18	Lowest voting interest
Notional single shareholder	20%	33%	20%
Jock	40%	40%	40%

David	40%	0%	0%
Michael	0%	27%	0%
			60%

Loss Co satisfies the 49% continuity requirement despite an actual ownership change of 60% (only Jock remaining as a shareholder). This result follows because all of the less than 10% shareholders are treated as a notional single shareholder. When this occurs, an anti-avoidance provision in s [YC 15 \(¶16-205\)](#) deems the continuity provision not to have been satisfied unless the directors had no knowledge of the actual loss of continuity and the failure to meet the continuity requirements was caused only by on-market sales between less than 10% shareholders in the company. A further concession allows less than 10% interests to be accounted for separately if it would assist in satisfying shareholder continuity requirements.

This example is adapted from *Tax Education Office Newsletter* No 126, 20 December 1996.

Example:

A shareholder increases his shareholding in a loss company from 9% to 11%. Without the concession (as described immediately above), this increase would be treated as an 11% change in shareholding. However, with the concession (provided by s [YC 14](#)), the loss company can account for that shareholder's interests separately from the beginning of the continuity period. The increase in the shareholder's interest can therefore be treated as a 2% rather than an 11% change in ownership in the loss company.

See further in *Tax Information Bulletin* [¶37-123 Vol 3, No 7](#), April 1992 at 25.

Indirect interests

Indirect voting or market value interests of less than 10% are attributed to the interposed shareholder company rather than the actual shareholder. The different indirect interests a shareholder may hold in an issuing company through other companies are not aggregated to determine whether a shareholder's indirect interest in an issuing company is less than 10%. The tracing concession will not apply where the shareholder, with a less than 10% indirect interest, is associated with the issuing company. The issuing company is given the option to trace through interposed companies and attribute to those companies their less than 10% indirect interests, if it would assist in satisfying shareholder continuity requirements.

Law: IT07 ss [YC 4](#), [YC 10](#), [YC 11](#), [YC 14](#), [YC 15](#), [YA 1](#) (“direct voting interest”)

Last reviewed on 31 December 2025

Public unit trusts and shareholder interests [¶16-198]

[¶16-198]

[Click to open document in a browser](#)

A “public unit trust” (as defined in s [YA 1](#), see [¶24-192](#)) may choose to treat all unit holders as a single notional person when measuring voting and market value interests for the application of the continuity provisions. In addition, a taxpayer who is, directly or indirectly, wholly or partially owned by a public unit trust may choose to treat the public unit trust as applying the notional single person concession without the public trust separately having to choose to do so.

Law: IT07 ss [YA 1](#) (“public unit trust”), [YC 12](#)

Last reviewed on 31 December 2025

Modification of tracing requirements for limited attribution companies [¶16-200]

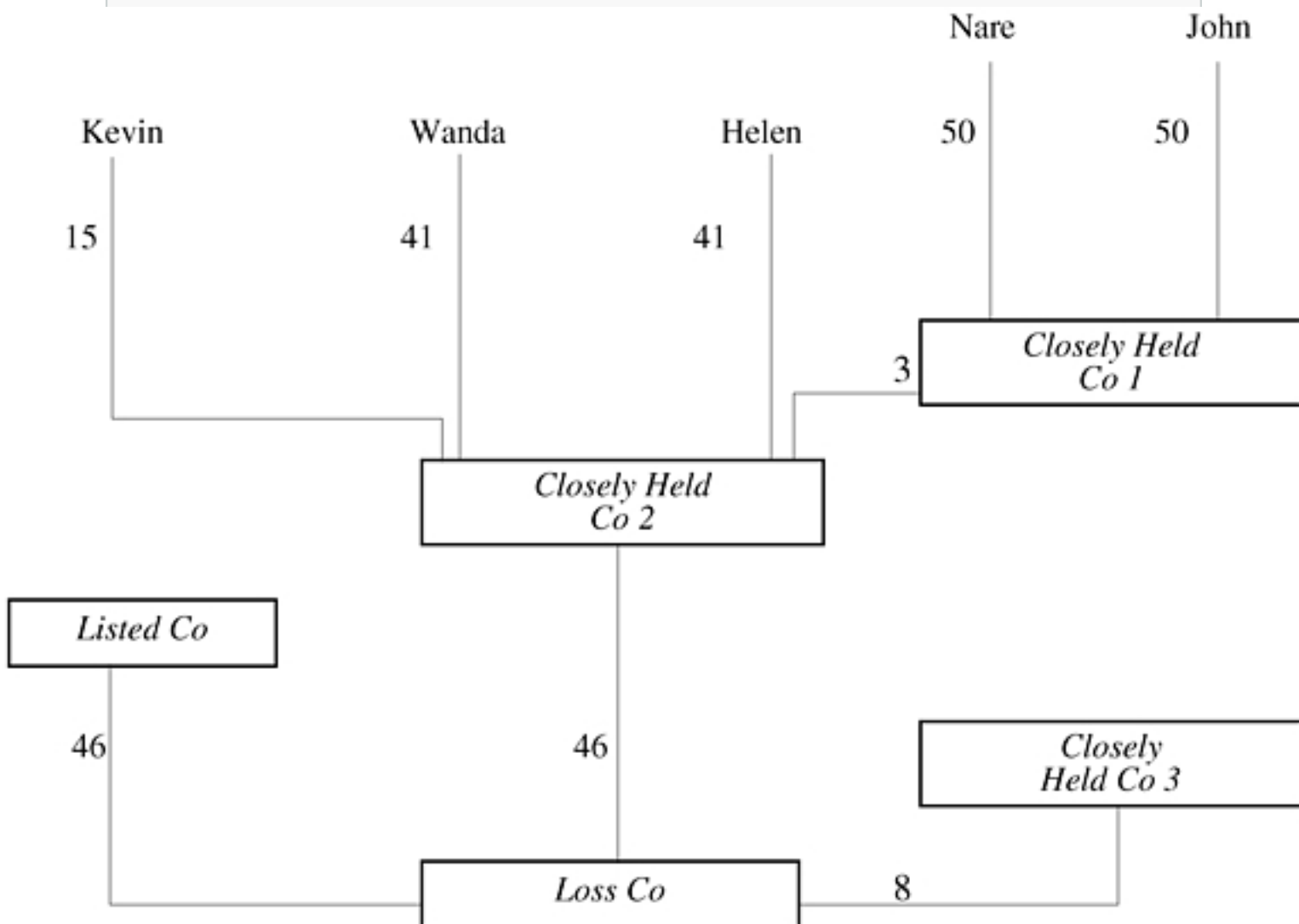
[¶16-200]

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The tracing requirements are modified for limited attribution companies (as defined in s [YA 1](#), see [¶16-010](#)) for the application of the continuity provisions. It is unnecessary to trace a corporate shareholder's interest in a company (through to the ultimate individual shareholder) when the shareholder company is a limited attribution company and has an interest of less than 50% in the issuing company. Tracing is also not required when the ultimate individual shareholder is not an associated person of the issuing company and would, by reason of the tracing through, have an interest of less than 10% in that company.

An anti-avoidance provision in s [YC 15](#) can deem the continuity provisions not to have been satisfied in certain circumstances ([¶16-205](#)).

Example:



The interests in Loss Co will be calculated as follows:

(a) Listed Co is a limited attribution company holding less than 50% of Loss Co. There is, therefore, no need to trace through Listed Co. Regardless of any changes in Listed Co's ownership, the 46% of Loss Co it holds will be considered held by the same person.

(b) Because Closely Held Co 2 (CHC2) is not a limited attribution company, its interest must prima facie be traced through to CHC2's shareholders. Thus, Wanda and Helen will be considered to own 18.9% (41% of 46%) each of Loss Co.

(c) Because Kevin would hold less than 10% of Loss Co if tracing was applied (ie $15\% \times 46\% = 6.9\%$), that voting interest will not be traced through to Kevin, but will remain held by CHC2. Similarly, CHC1 would also hold 1.3% of Loss Co ($3\% \times 46\%$) and, therefore, no tracing is required and the interest would be treated as being held by CHC2.

(d) Because CHC3 holds less than 10% of Loss Co, its shares will be treated as being held by "a notional single person".

Thus, the interests will be:

Shareholder	Voting interest %
Listed Co	46.0
Wanda	18.9
Helen	18.9
CHC2	8.2
notional single person	<u>8.0</u>
	<u>100.0</u>

This example is reproduced from *Tax Education Office Newsletter* No 126, 20 December 1996 at 9.

Law: IT07 ss [YA 1](#) ("[limited attribution company](#)"), [YC 11](#)

Last reviewed on 31 December 2025

Corporate spin-outs and the continuity provisions [¶16-202]

[¶16-202]

[Click to open document in a browser](#)

The rules for measuring voting and market value interests are modified for the application of the continuity provisions in the case of company “spin-outs”. Essentially, a “spin-out” involves the transfer by a parent company of shares in a wholly owned subsidiary to the shareholders in the parent. To the extent there is a common interest in the old and new holding companies, the spin-out transaction will operate as an exception to the shareholder continuity rules so that tax losses and credits of subsidiaries will not be lost.

The circumstances in which the rules apply may be illustrated as follows:

Before the spin-out, Company A holds interests in Company C on behalf of its small shareholders under the modified tracing rule in s [YC 11\(3\)](#). After the spin-out, Company B will hold interests in Company C on behalf of its small shareholders under the same rule. Without the concession there could be a breach of continuity in the shareholding of Company C affecting the carry-forward of tax losses and credits arising before the spin-out if, for example, Company A holds a substantial proportion of the interests in Company C on behalf of its small shareholders: say, 60%. The core tracing rules in s [YC 4](#) could be applied to satisfy the continuity requirements (ie the interests in Company C could be traced through to ultimate shareholders), although this would result in increased compliance costs and may not be practical if Company B is a widely-held listed company.

Section [YC 13](#) operates to prevent a loss of continuity in these circumstances. To apply the continuity rules on or after the spin-out, Company B is treated as holding the interests in Company C that were held by Company A under s [YC 11\(3\)](#) before the spin-out. To the extent that interests in Company C are treated as being held by Company B, Company A does not simultaneously hold them. Company B is treated as holding the interests only to the extent that immediately after the spin-out there is a group of persons who hold “common interests” in Company A and Company B. Common interests are calculated as if the only interests in Company A and Company B were those held by Company A and Company B under s [YC 11\(3\)](#). Other interests may be disregarded. The common interests of a person in Company A and Company B will generally be the lowest percentage voting interest of the person in each company. Special rules apply where a market value circumstance exists in respect of one or both companies. For measuring common interests, s [YB 21](#) or [YC 4](#) do not apply to deem interests held by nominees or companies to be held by another person if their application would result in the other person holding interests in Company A or Company B of less than 10% (s [YC 13\(7\)](#)).

So, in the example above, if the shares in Company B were transferred to only 80% of the small shareholders in Company A, Company B would be treated as holding only 80% of the interests in Company C held by Company A under s [YC 11\(3\)](#).

Criteria for concession

To qualify for the concession, certain criteria must be met. Using the example set out above:

- # Before the spin-out, Company A must hold more than 50% of the interests in Company B.
- # Before the spin-out, Company A and, after the spin-out, Company B, must be treated as holding interests in Company C under s [YC 11\(3\)](#).
- # Company A must be a limited attribution company at the time the shares in Company B are transferred.
- # Company B must be a limited attribution company:
- # for loss offset purposes, at all times from the date its shares are transferred to the last day of the period in which the loss is offset, and
- # for credits subject to the continuity provisions, at all times from the time its shares are transferred to the date the credit is cancelled by a subsequent debit.

It is not necessary for Company B to have existed for the entire period since the date the tax losses or credits arose. It could potentially be a new company incorporated for the spin-out. Neither is it necessary for Company A to hold 100% of the interests in Company C.

For further examples illustrating the application of the rules, see *Tax Information Bulletin* ¶1411-126 Vol 14, No 11, November 2002 at 65 and *Tax Information Bulletin* ¶238-106 Vol 23, No 8, October 2011 at 60.

Section [YC 13\(1B\)](#) treats the notional single person that holds an interest in a spun-out company after a spin-out as holding the original parent's interest in the spun-out company before the spin-out.

Law: IT07 s [YC 13](#)

Last reviewed on 31 December 2025

Conversion of foreign proprietors and continuity provisions [¶16-203]

[¶16-203]

[Click to open document in a browser](#)

The rules for measuring voting and market value interests are modified for the continuity provisions when an overseas company is converted from an unincorporated company of proprietors to a limited liability company. Without the concession, shareholder continuity could technically be breached for New Zealand companies owned by the overseas company even though there has been no change in the underlying beneficial ownership as a result of the conversion. Section [YC 19](#) prevents a breach of shareholder continuity in these circumstances by treating the company of proprietors as having been a company with shareholders at all times before the conversion and the shareholders in the new company as having held their interests in that company at all times before the conversion.

Law: IT07 s [YC 19](#)

Last reviewed on 31 December 2025

Anti-avoidance provision — directors' knowledge of failure to meet continuity requirements [¶16-205]

[¶16-205]

[Click to open document in a browser](#)

Section [YC 15](#) contains an anti-avoidance provision to counter the deliberate transfers of 51% or more of the interests in a loss company being structured so as not to be counted for continuity provisions. The anti-avoidance provisions apply if:

- # the requirements of a continuity provision would not have been satisfied, at a particular time, but for the application of the aggregation or tracing modification provisions contained in ss [YC 10](#) ([¶16-195](#)) and [YC 11](#) ([¶16-200](#))

- # the notional failure to meet these requirements would have occurred had the transactions *not* been on-market sales between holders of less than 10% interests, the cancellation of a less than 10% shareholding in a widely-held unit trust, or certain off-market transactions involving less than 5% of the company's shares, either between shareholders or the company and its shareholders, and

- # the directors of the company knew or could reasonably be expected to have known (without making specific inquiry for the application of the continuity rules) that this was the case.

In effect, where the directors know, or could reasonably be expected to know, that the requirements of any continuity provision would not have been satisfied, but for the application of the aggregation or tracing modification provisions, that continuity provision is deemed not to have been satisfied. This will result in the loss of shareholder continuity.

Law: IT07 s [YC 15](#)

Last reviewed on 31 December 2025

Change in market value of assets disregarded [¶16-210]

[¶16-210]

[Click to open document in a browser](#)

A change in a shareholder's market value interest in a company is disregarded for the continuity provisions to the extent that the change is solely attributable to a change in the market value of the company's assets or a change in the market value of the company's shares that is not attributable to any change in the terms of those shares, or a combination of both.

Law: IT07 s [YC 16](#)

Last reviewed on 31 December 2025

Instruments relevant to imputation credit account continuity provisions [¶16-215]

[¶16-215]

[Click to open document in a browser](#)

For the credit account continuity provisions (ICA debits for loss of shareholder continuity), excluded fixed rate securities are to be taken into account when measuring voting and market value interests.

Law: IT07 ss [OB 41](#), [YA 1](#) (“[credit account continuity provisions](#)”), [YC 20](#)

Last reviewed on 31 December 2025

Reverse takeovers and mergers of limited attribution companies [¶16-217]

[¶16-217]

[Click to open document in a browser](#)

A specific extension of the continuity rules covers the situation where a smaller limited attribution company takes over or amalgamates with a larger one.

In that situation, if the shareholders of an initial parent company become the shareholders in a new parent company in exactly the same proportions as their shareholding in the initial parent company and the continuity rules are met, then any wholly owned subsidiaries will be deemed to have transferred from one parent to the other without breaching the continuity rules.

Law: IT07 ss [YA 1](#) (“ownership interest”), [YC 18](#)

Last reviewed on 31 December 2025

Corporate reorganisations by limited attribution companies [¶16-219]

[¶16-219]

[Click to open document in a browser](#)

Special provision is made in s [YC 18B](#) for corporate reorganisations by limited attribution companies when there is no change to the economic ownership within the group. Shareholder continuity is maintained for the initial parent company, the new parent and any interests deemed to be held by the initial parent before the restructuring. The section is aimed at certain reorganisations by Australian-owned banks (*Tax Information Bulletin* [¶218-143 Vol 21, No 8](#), October/November 2009, Pt II at 123).

Law: IT07 ss [YA 1](#) (“ownership interest”), [YC 18B](#)

Last reviewed on 31 December 2025

Application of associated persons concept [¶16-225]

[¶16-225]

[Click to open document in a browser](#)

The associated persons concept applies in a wide variety of contexts. The concept may have application to assist in the creation of a tax liability. Alternatively, the presence of association may give rise to the imposition of an arm's length dealing for tax purposes, on the assumption that association prevented the parties reaching that standard. The areas of application include the following:

- # the land disposal provisions ([¶7-430](#))
- # to limit a deduction for employee misappropriation when the employee and the employer are associated ([¶10-935](#))
- # to assess as employment income to an employee the value of the benefit arising from an employee share scheme when the benefit is received by an associated person of the employee
- # to apply anti-avoidance adjustments in respect of financial arrangements when persons are associated persons ([¶6-550](#))
- # to apply fringe benefit tax (FBT) when a benefit is provided to an associated person of an employee ([¶21-080](#))
- # to deny bad debt deductions under a financial arrangement when the parties are associated ([¶10-152](#))
- # to restrict the deduction allowed to a surety when the loss has been caused by an associate ([¶10-452](#))
- # to require a base price adjustment (BPA) upon transfer of a debt to an associate under the debt parking rules ([¶6-410](#))
- # to restrict the purchaser's cost for depreciation purposes when depreciable property is purchased from an associate ([¶13-400](#))
- # to exclude the business income exemption for a charity when a benefit or advantage can be provided to associated persons ([¶24-210](#))
- # to make a realised capital gain a taxable distribution in transactions between associated persons concerning a foreign trust ([¶25-530](#))
- # to limit the scope of a capital gain amount arising when a company disposes of property under an arrangement with an associated person ([¶16-720](#))
- # to support application of the international tax rules (Chapter 26), and
- # to deem shares to have been acquired by a company so as to result in an on-market acquisition where there is an arrangement between the company and the associate for the associate to make the acquisition in lieu of the company ([¶16-710](#)).

Last reviewed on 31 December 2025

Associated persons [¶16-245]

[¶16-245]

[Click to open document in a browser](#)

The associated persons concept applies not only in relation to companies but also to other forms of legal personality, such as trusts and partnerships. The concept also applies between relatives.

Each section relating to associated persons in subpart [YB](#) specifically states the circumstances in which it applies. Some sections apply generally for the whole Act. Other sections only apply for:

- # land transactions ([¶17-433](#))
- # international tax and other miscellaneous rules, and
- # petroleum mining and other miscellaneous rules.

The following are the categories of association under the provisions:

- # two companies (s [YB 2](#))
- # a company and a person other than a company (s [YB 3](#))
- # two relatives (s [YB 4](#))
- # a person and a trustee for a relative (s [YB 5](#))
- # a trustee and a beneficiary (s [YB 6](#))
- # trustees with a common settlor (s [YB 7](#))
- # a trustee and a settlor (s [YB 8](#))
- # a settlor and a beneficiary (s [YB 9](#))
- # a trustee and a person with the power of appointment or removal of the trustee (s [YB 11](#))
- # a partnership and a partner (s [YB 12](#))
- # an LTC and a director or employee holding an interest in that company, and (s [YB 13](#))
- # two persons who are each associated with the same third person (tripartite test) (s [YB 14](#)), including a limited partnership (s [YB 14\(4\)](#)).

Detailed Inland Revenue (IR) commentary on the associated persons rules, including examples, appears in *Tax Information Bulletin* [¶218-124 Vol 21, No 8](#), October/November 2009, Pt II at 75. IR has also released [IR620](#): A guide to associated persons definitions for income tax purposes (April 2025).

A brief discussion of each of the above categories follows.

Two companies

For general purposes, any two companies are associated persons where there is a group of persons:

- # whose total voting interests in each company are 50% or more
- # where a market value circumstance exists for either company, the aggregate of whose total market value interests in each company are 50% or more, or
- # who control both companies by any other means (note this control test does not apply to two companies if either or both are a state enterprise, a mixed-ownership enterprise, a Crown Research Institute, a Crown health enterprise or a company in the same group of companies as any of these Crown-related entities).

A general aggregation rule applies. This means that if a person is associated with another person under one of the other association provisions, then, when determining whether two companies are associated, the first person is treated as holding anything held by the second.

Special rules apply for the international tax rules and for the land provisions.

Company and person other than a company

Generally, a company and any person other than a company are associates where:

- # that person holds a 25% or greater voting interest in the company, or
- # if a market value circumstance exists in the company, the person has a 25% or greater market value interest in the company.

The general aggregation rule also applies here. Thus, a person will be treated as holding anything held by persons associated with them. The rule is applied afresh to each person being tested for association.

Relatives

Two individuals are regarded as relatives and are associated persons for tax purposes when they are:

- # within two degrees of blood relationship
- # married, in a civil union or de facto relationship
- # one person is within two degrees of blood relationship to the other person's spouse, civil union partner or de facto partner. This limb associates persons with their in-laws and step-children.

The first and third categories do not apply under the land provisions or for ss [EB 13](#) (low turnover traders) and [EC 5](#) (adverse event livestock transfers).

There is also an exception for a person who cannot reasonably be expected to know that they are within two degrees of relationship of another person.

To ascertain the degree of the relationship the Commissioner follows the procedure of counting the steps back to a common ancestor and then the steps forward to the other person (eg for an individual back to their parent and then forward to their sibling is two degrees). Under the two degrees test, the blood relationships limb of the general relatives test extends to grandparents and siblings but not to nephews and nieces (third degree) and cousins (fourth degree) (*Tax Information Bulletin* [¶218-124 Vol 21, No 8](#), October/November 2009, Pt II at 81).

Person and trustee for relative

A person and a trustee of a trust under which a relative of the other person (as established under the previous test) has benefited or is eligible to benefit are associated persons. It is therefore the identities of the beneficiaries of the trust that are relevant when applying this test. For example, a person and the trustee of a trust under which the person's wife is a beneficiary would be associated under this test.

Persons have benefited under a trust if they have received a distribution. A person is "eligible to benefit" when they are either named by the trust deed as a potential beneficiary or designated as a member of a class of potential beneficiaries. The definition does not encompass the situation where the trustees have a general power of appointment but no persons have been appointed as beneficiaries under that power.

The trustee for relative test does not apply for the land provisions. It also does not apply to energy consumer trusts or the unit trust administering bonus bonds.

Trustee and beneficiary

A trustee of a trust and a person who has benefited or is eligible to benefit under the trust are associated persons.

This test does not apply for the land provisions or to energy consumer trusts or the unit trust administering bonus bonds, or to certain employee trusts under s [YB 15](#). It also does not apply if the beneficiary is a charitable organisation.

Settlor-related tests

There are three tests of association involving settlors.

A trustee of a trust and a trustee of another trust are associated persons if the same person is a settlor of both trusts. For this test, two persons who are married, in a civil union or in a de facto relationship are treated as the same single person.

A trustee of a trust and a settlor of the trust are associated persons. This test does not apply if the trust is a charitable trust.

A settlor of a trust and a person who has benefited or is eligible to benefit under the trust are associated persons. This test does not apply for the land provisions. It also does not apply if the beneficiary is a charitable organisation.

For all of these tests, settlor has the same meaning as under the trust rules ([125-030](#)), but does not include a person who provides services to a trust for less than market value.

Exceptions to these tests are contained in s [YB 15\(2\)](#) and [\(3\)](#) for certain employee trusts.

Trustee and person with power of appointment or removal

A trustee of a trust and a person who has a power of appointment or removal of the trustee are associated persons.

This test does not apply if the person:

- # holds the power as a provider of professional services
- # is subject to a professional code of conduct, and disciplinary process intended to enforce compliance with the code, of an approved organisation for such providers of professional services
- # has not benefited from the trust, and
- # is not eligible to benefit from the trust.

An approved organisation is defined in s [3\(1\)](#) of the Tax Administration Act 1994 (TAA) and generally is an organisation whose members include individuals subject to a professional code of conduct and who are subject to a disciplinary process and who typically provide trustee services in the course of their business activities. The Commissioner has granted approved organisation status to the Chartered Accountants Australia and New Zealand, the New Zealand Law Society and The Society of Trust and Estate Practitioners (New Zealand Branch).

An exception to this test is contained in s [YB 15\(4\)](#) for certain employee trusts.

Partnership and partner

A partnership and a partner in the partnership are associated persons. However, a limited partnership and a limited partner are only associated persons if the limited partner has a partnership share of 25% or more in a right, obligation, or other property, status or thing of the limited partnership. There is also a general aggregation rule for limited partnerships in s [YB 12\(3\)](#) and an aggregation rule for limited partnerships and the land provisions in s [YB 12\(4\)](#).

From 26 August 2024, under s [YB 16B](#), a limited partnership is treated as a company for the purposes of the associated persons test in ss [YB 2](#), [YB 3](#) and [YB 12\(2\)–\(4\)](#) and the corporate look-through rule in s [YC 4](#), when one of the following 4 scenarios exists:

- # a company is a limited partner of the limited partnership
- # the limited partnership is a limited partner of another limited partnership
- # another limited partnership is a limited partner of the limited partnership, or
- # the limited partnership has a voting interest in a company or, if a market value circumstance exists for the company, a market value interest in the company.

This ensures that including a chain of 2 or more limited partnerships (or a chain of entities including both limited partnerships and companies) in a structure does not result in a break in association between closely

connected entities. See [IS 25/11](#) [275] to [291] for detailed commentary and diagrams illustrating the application of the rules.

When s [YB 16B](#) applies, the definition of “voting interest” means the partnership share the person has in a right, obligation, or other property, status, or thing of that limited partnership for the purposes of determining association under ss [YB 2](#), [YB 3](#) and [YC 4](#). Further, when s [YB 16B](#) applies, the definition of “market value interest” is also modified for the purposes of s [YB 2\(2\)](#), to mean the partnership share the person has in a right, obligation, or other property, status, or thing of the limited partnership if a market value circumstance exists (*Tax Information Bulletin* [¶375-102 Vol 37, No 5](#), June 2025, at 120).

Look-through companies and owners of interests

An LTC ([¶19-155](#)) and a person who has a look-through interest for that company and is a director or employee for that company are associated persons. Alternatively, if a person who has a look-through interest for the LTC has effective look-through interests of 25% or more in a right, obligation, or other property status, or thing of the LTC, then the person and the LTC are associated. In the latter case, a general aggregation rule applies under s [YB 13\(3\)](#) and a specific aggregation rule for the land provisions applies under s [YB 13\(4\)](#).

Note retrospective amendments clarify that the LTC aggregation rules apply so that a person who is associated with an owner of an effective look-through interest (despite not holding such an interest themselves) is treated as being associated with an LTC under s [YB 13\(2\)](#) (*Tax Information Bulletin* [¶375-102 Vol 37, No 5](#), June 2025, at 124).

Tripartite test

The tripartite test associates two persons if they are each associated with the same third person under different associated persons tests. Thus, where two persons are associated with the same third person under the same associated persons test, the tripartite test will not apply.

For example, the tripartite test will not apply to associate the partners in a partnership with each other. This is because the partners would be associated with the same third person (the partnership) under the same associated persons test (s [YB 12](#)). However, the tripartite test will apply to associate the partnership and an associated person of a partner, eg the spouse of a partner. This is because both the partnership and the spouse would be associated with the same third person, the partner, under different associated persons tests, namely ss [YB 12](#) (partnership) and [YB 4](#) (relative).

The tripartite test will also not associate two persons if they are each associated with the same third person under the company-related tests in ss [YB 2](#) and [YB 3](#).

The different associated persons test requirement in the tripartite test does not work effectively if a taxpayer's structure involves a limited partnership. For this reason, a limited partnership is treated as being a company when applying the tripartite test.

Nominees

Unless the statutory context otherwise requires, when a person holds something or does something as a nominee for another person, it is the other person who holds the thing or carries out the act. The nominee is ignored (s [YB 21](#)). However, for a trustee to be a nominee, the trustee must be a bare trustee.

Law: IT07 ss [YB 1–YB 16B](#), [YB 21](#)

Last reviewed on 31 December 2025

Introduction to dividends [¶16-550]

[¶16-550]

[Click to open document in a browser](#)

A dividend is income of the person who derives it (s [CD 1](#)).

A dividend, other than a non-cash dividend, is allocated to the income year in which the person receives the dividend.

A dividend is defined in ss [CD 4–CD 20](#). The essential concept is that of a transfer of company value by a company to a person when the transfer is caused by a shareholding in the company (s [CD 4\(1\)](#) and [¶16-560](#)).

A transfer of company value that is a dividend is generally the provision of money or money's worth by the company. A bonus issue of the company's shares may also result in dividends ([¶16-570](#)).

Other provisions of the Act may operate to deem a dividend to exist ([¶16-580](#)). That outcome can apply to excessive salary paid to a shareholder or to a relative of a shareholder and to excessive rebates paid by a mutual association ([¶16-590](#)).

There are calculation rules that apply to determine the amount of the dividend ([¶16-600](#)).

There are specific exclusions from what is defined as a dividend ([¶16-680](#)). If the company is not in liquidation, there is an exclusion for distributions of "available subscribed capital" (ASC) upon cancellation of the company's shares. The cancellation must satisfy brightline tests that endeavour to distinguish between genuine returns of share capital and dividend substitutions. On-market share repurchases are also not a dividend. If the company is in liquidation, there are exclusions for distributions of ASC and capital profits, whether realised or unrealised.

Dividends are exempt income on limited occasions, such as when derived from another member of a wholly-owned group of companies and, from 30 August 2022, for dual resident companies where the dividend is declared within a wholly-owned group ([¶16-800](#)).

Payment of dividend

The definition of "pay" in s [YA 1](#) includes the distribution of an amount, the credit of an amount or the dealing with an amount in the interest or on behalf of a person in some way.

When an imputation credit account (ICA) company pays a dividend with an imputation credit attached, a debit arises in the company's ICA. The debit date is the date the dividend is "paid". In *C of IR v Albany Food Warehouse Ltd* ([2009](#)) [24 NZTC 23,532](#) the High Court held that a dividend declared by a company with imputation credits attached was "paid" within the meaning of that term in the definition provisions of the income tax legislation. A resolution was passed in the morning, crediting the shareholders' current accounts. Later that day a resolution was passed changing the shareholding of the company, resulting in a breach of shareholder continuity. This meant there was a debit to the company's ICA under s [ME 5\(1\)\(a\)](#) of the Income Tax Act 1994 (now s [OB 30](#) of the Income Tax Act 2007) before the breach of shareholder continuity. The court considered that, in the circumstances of the case, the crediting to the shareholders' current accounts was sufficient for a dividend to be "paid" so that there were no credits in the ICA when the shareholder continuity requirements were breached.

Imputation and withholding tax

Dividends are a central feature of the imputation regime ([¶17-010](#) onwards).

Credits accumulated by a company for imputation can be treated as attached to dividends paid by the company. For imputation credits attached to dividends paid to resident shareholders, the assessable income

of the shareholder includes both the cash dividends received and the attached credits. A credit of tax is allowed for the attached credits in ascertaining the tax payable by the shareholder.

A further feature of the taxation of dividends paid to resident shareholders is that the company distributing the dividends is potentially required to deduct RWT from the dividends. In ascertaining the resident passive income from which RWT is to be deducted, the company takes into account the imputation credits attached to the dividends (s [CD 15\(1\)](#)). Those credits are also important if attached to dividends paid to non-resident shareholders. The imputation credits may enable the company to pay a supplementary dividend under s [LP 1](#), effectively restoring the NRWT deducted from both dividends to the non-resident shareholder.

Non-cash dividends

Non-cash dividends are treated in the same manner as cash dividends. They are:

- # assessable income of the recipient
- # able to carry imputation credits
- # resident passive income, and
- # non-resident passive income.

A non-cash benefit provided to a shareholder who is also an employee is, in the first instance, subject to FBT. This is because the shareholder–employee is to be treated as having received any benefit in their capacity as an employee and not as a shareholder. In certain circumstances, the employer may elect to treat the benefit as a dividend. Generally, where non-cash dividends such as discounted goods are granted to a shareholder–employee, the employer may elect for the benefit to be treated as either a fringe benefit or a dividend ([¶16-585](#)).

Law: IT07 ss [CD 1](#), [CD 4\(1\)](#), [YA 1](#) (“[available subscribed capital](#)”, “[pay](#)”, “[transfer of company value](#)”)

Last reviewed on 31 December 2025

Shares and shareholders [¶16-555]

[¶16-555]

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In s [YA 1](#), a “share” is defined to include:

- # any interest in the capital of a company
- # a s [FA 2](#) debenture
- # a stapled debt security (s [FA 2B\(2\)](#) and [¶10-905](#))
- # a unit in a unit trust
- # an investor's interest in a group investment fund if:
 - # the fund is not a designated group investment fund
 - # the interest does not result from an investment from a designated source, and
 - # the investor's interest does not result from an investment made in the fund on or before 23 June 1983.

A share does not include a withdrawable share in a building society, except to ascertain what investment society dividends and withdrawable shares are.

Section FA 2 Debentures

Debentures that fall within s [FA 2](#) seemingly are classified as shares because they are regarded as shares in all but name. Classification as shares will apply, even though the debentures as a contractual instrument typically do not confer voting rights. The consequence for the company is that no deduction is allowed for interest paid by the company under the debentures (s [DB 10](#)).

A “debenture” is defined in s [YA 1](#) as simply including debenture stock. The *Concise Oxford Dictionary* (10th ed) defines a “debenture” as “a long-term security yielding a fixed rate of interest, issued by a company and secured against assets”. A debenture does not need to contain a charge on the company's assets. Debenture stock is generally loan stock or a share of a common fund lent to a company. Debenture stock is often issued when a company borrows a large sum of money from many different investors on the same terms. The investors contribute to a single large loan fund that is created by the company in return for the issue of the debenture stock. Debenture stock is usually freely transferable and may be listed on the stock exchange. Although debenture stockholders are investors, they are creditors and not shareholders of the company they invest in. They are entitled to repayment of their loan together with interest.

A debenture that falls within s [FA 2](#) is defined as a profit-related debenture, being a debenture with a rate of interest that is set from time to time by reference to:

- # the dividend payable by the company issuing the debenture, or
- # the profits of the company issuing the debenture, however measured.

It does not include a debenture treated as a share under s [FA 2B](#) (Stapled debt securities) or a debenture under which the interest payable is determined by a fixed relationship to:

- # banking rates
- # general commercial rates, or
- # economic, commodity, industrial or financial indices.

Shareholder

In s [YA 1](#), a “shareholder” is defined to include:

- # the holder of a share
- # a member of a company irrespective of whether the company's capital is divided into shares.

A shareholder is a person whose name is entered in the company's share register as the holder of shares in the company: s 96 of the C93. As an extension of that proposition, it has been held that a shareholder can be a person absolutely entitled as against the company to be registered as a member of the company even though not on the register of members: *Avon Downs Pty Ltd v FC of T* (1949) 78 CLR 353. This is because the person is in a direct relationship with the company involving reciprocal rights and duties between them: *Patcorp Investments Ltd v FC of T* 76 ATC 4225. The registration of a change of trustees in the company's share register does not trigger pre-emptive rights because there was no intention by a shareholder to transfer shares. See *Ord v Calan Healthcare Properties Ltd* (2004) 9 NZCLC 263,711 (CA).

In certain situations, an employee who is also a shareholder may be treated as deriving dividends. The tax treatment is therefore based on the shareholding relationship rather than the employment relationship (¶16-585).

Under the general law, a share is a chose in action that is the interest of a person in the company, that interest being composed of rights and obligations that are defined by the C93 and by the constitution of the company. These rights, however, are not purely personal rights. They confer proprietary rights in the company, though not in its property. The company is at one and the same time a juridical person with rights and duties of its own. Consequently, a share is not a share in the company's undertaking, for the company owns its property beneficially and not in trust for its members: shareholders are not, in the eye of the law, part owners of the undertaking. See *IR Commrs v Laird Group plc* [2003] BTC 385.

Law: IT07 ss DB 10, EZ 77, FA 2, YA 1 ("share", "shareholder"); C93 s 96

Last reviewed on 31 December 2025

Shareholder capacity test [¶16-560]

[¶16-560]

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The shareholder capacity test is an ingredient of whether a transaction between a company and a shareholder incorporates a dividend. A dividend may be present if the transaction occurs because of the shareholding relationship.

The general proposition is that a transfer of company value from the company is regarded as caused by a shareholding in the company where:

- # the recipient, at any relevant time is a shareholder, or is associated with a shareholder, and
- # the company makes the transfer because of that shareholding of the relevant shareholder.

One indication that the test is met is if the terms of the arrangement that results in the transfer are different from the terms on which the company would enter into a similar arrangement if no shareholding were involved.

Example:

Sweet as Pie Ltd operates a candy store. Mrs Plump, the wife of the only shareholder in Sweet as Pie Ltd, bought some candy at cost. Sweet as Pie Ltd never sells stock at cost, so this indicates a dealing in a shareholder capacity.

Exclusions

There are some express exclusions from the test. A transfer of company value by a statutory producer board to a member is not caused by a shareholding if:

- # the transfer is a cash distribution, and
- # the distribution is a deduction for tax purposes, and
- # the board does not choose to treat the distribution as a dividend.

A parallel exclusion applies to a deductible cash distribution by a co-operative company that the company does not choose to treat as a dividend.

If a company releases a shareholder from payment of a debt owed by the shareholder to the company, it is likely that the release will be found to be caused by a shareholding relationship (*Davis v C of IR* (1983) 6 NZTC 61,655). A different conclusion may be reached where the transfer of value occurs in the context of settlement of a dispute. In one case, the issue was whether a motor vehicle provided to a shareholder in the course of settling a dispute between the company's shareholders was a distribution to a shareholder "as such". The High Court held that that was not the case. As part of the settlement, the taxpayer transferred his shares in the company, and the High Court evidently thought that receipt of the motor vehicle was part of the consideration for disposition of the shares. The High Court concluded that transfer of the motor vehicle was not a dividend. See *Holland v C of IR* (1982) 5 NZTC 61,323.

A company that wished to repurchase 5% of its shares issued sell-back rights to its shareholders. The rights comprised a put option enabling each shareholder to require the company to purchase 5% of the shareholder's shareholding. Under the scheme of arrangement, a shareholder could sell the sell-back rights or allow them to be acquired by a third party. The consideration paid by the third party to acquire sell-back rights from a shareholder was neither dividends nor income for a shareholder holding shares on capital account. The payment received was not an incident of shareholding at the time at which the shareholder acquired the company's shares. Creation of the sell-back rights was a step taken by the company in order to change its capital structure, and the payments flowing from them had something of the character of voluntary benefits conferred upon shareholders albeit that they accrued because of the shareholding in the company. See *FC of T v McNeil* 2005 ATC 4658.

Application of the shareholding capacity test did not lead to dividends upon a company's purchase of business ideas from its shareholders. The purchases were found to be sales at arm's length at values that the parties believed to be genuine, following an honest commercial evaluation of the value of each of the concepts. The Taxation Review Authority noted that the purchase price paid to each of the vendors affected the financial standing of the company and therefore the value of the shareholding of the other contributors to the company. The presence of the other shareholders provided a check on realistic values. See Case V9 (2001) 20 NZTC 10,101.

Dividends to an associate

A transfer of company value caused by a shareholding relationship may result in dividends, even though the recipient of the transfer is an associate of a shareholder. Provided the distribution is caused by the shareholding relationship, it is not necessary that only a shareholder receives the transfer of company value (s [CD 6\(1\)\(a\)\(ii\)](#)).

A transaction between companies that are associated may attract an exclusion from the dividends concept ([¶16-725](#)).

Law: IT07 ss [CD 4\(1\)](#), [CD 6](#)

Last reviewed on 31 December 2025

Transfer of company value for dividend purposes [¶16-565]

[¶16-565]

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A transfer of company value from a company to a person occurs when:

- # the company provides money or money's worth to the person, and
- # if the person provides any money or money's worth to the company under the same arrangement, the market value of what the company provides is more than the market value of what the person provides.

A transfer of company value does not occur to the extent that the money's worth provided by the company is only the provision of services. The qualification does not, however, encompass the provision of the benefit of expenditure by a close company. As a consequence, a close company that pays the expenses of a shareholder may continue to be subject to the dividend rules.

The first limb above, relating to money or money's worth, applies to the conventional dividend transaction of a payment of cash. The company will have provided money to the shareholder. The first limb will also apply to the supply of an asset to a shareholder. That would clearly be money's worth as an item able to be converted into money. The legislation also confirms that money's worth is provided if the company releases a debt owed to the company. That release may occur by an agreement or by operation of law (such as where the debt becomes statute barred after 6 years). Note that the release of debt will not be money's worth when a debt is forgiven within an economic group and s [EW 46C](#) applies ([¶16-470](#)).

Where shares are cancelled, the market value of any transfer from the shareholder to the company is zero.

A dividend arises if a company provides an asset to a shareholder for less than the asset's market value. The company has transferred value to the shareholder.

Example:

RJ Ltd sells a car with a market value of \$90,000 to shareholder B for \$25,000. The amount of the dividend to shareholder B is \$65,000 (market value of \$90,000 less consideration paid of \$25,000).

The second limb would also apply to a transaction involving the company acquiring an asset from a shareholder at an inflated value. By the company acquiring the asset at an overvalue, there will have been a transfer of company value to the shareholder.

Example:

RJ Ltd purchased a painting from a shareholder, Ron, for \$100,000, although the painting has a market value of \$85,000. Ron is treated as deriving dividends of \$15,000 (cash received of \$100,000, less \$85,000 for the asset transferred to RJ Ltd).

Under the general law, a dividend is a distribution of profits to shareholders (*Bill Acceptance Corp Ltd v FC of T* [96 ATC 4462](#)). However, the concept of what is a dividend for tax purposes extends beyond the general law. The terms of the statute may classify a transaction as a dividend, even though the transaction may not be so regarded under the general law. The Taxation Review Authority has observed that there is no provision in the tax legislation limiting the amount of dividends to a company's retained profits. It followed that the Commissioner was entitled to treat an advance to a shareholder as a dividend. See Case M119 ([1990](#)) [12 NZTC 2,760](#).

Company spin-outs

A corporate restructuring can result in a shareholder receiving money or money's worth. Depending upon the form of the transaction, the shareholder may receive shares in a former subsidiary company, cash or some other entitlement.

The Commissioner expressed the view that dividends had arisen in relation to the spin-outs undertaken by BHP Billiton Ltd, WMC Ltd and CSR Ltd. The transactions involved the distribution of property to shareholders in the form of subsidiary company shares (*Tax Information Bulletin* ¶156-116 Vol 15, No 6, June 2003 at 22). The contrary view was adopted in relation to the “Cancellation Entitlements” and HHG plc shares arising under the demerger of AMP Ltd (*Tax Information Bulletin* ¶164-115 Vol 16, No 4, May 2004 at 31). When HHG plc sold its life insurance business and made a cash distribution, the return of cash was not dividends. Similarly, in relation to the small shareholdings cancelled and cash paid accordingly, the return of cash was not dividends (*Tax Information Bulletin* ¶172-107 Vol 17, No 2, March 2005 at 24 and *Tax Information Bulletin* ¶178-110 Vol 17, No 8, October 2005 at 19). The spin-off by Tower Ltd when it sold its wealth management business in Australia to a new company and offered existing shareholders a direct interest in that company did not result in dividends (*Tax Information Bulletin* ¶173-108 Vol 17, No 3, April 2005 at 22).

The sale of sell-back rights created in the course of a company repurchasing its shares did not result in dividends. The receipt differed from the recipient’s entitlement as a shareholder to receive dividends declared by the company out of profits from time to time. See *FC of T v McNeil* 2005 ATC 4658.

Law: IT07 s [CD 5](#)

Last reviewed on 31 December 2025

Dividends — bonus issues [¶16-570]

[¶16-570]

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A dividend includes the following taxable bonus issues:

- # a bonus issue in lieu (s [CD 7](#))
- # a bonus issue the company elects to treat as a dividend (s [CD 8](#))
- # a bonus issue by a foreign unit trust (s [CD 10](#)), and
- # a bonus issue that is a share issued under a profit distribution plan (PDP) (s [CD 7B](#)).

Details of a bonus issue are part of the information that the company must provide to the Commissioner as part of the annual tax return information.

Bonus issue

A bonus issue occurs when the following 2 matters are present:

- # there is one of the following:
 - # the issue or subdivision of shares
 - # the giving of credit for an amount unpaid on any shares, or
 - # the forgiveness of an amount unpaid on any shares in a company, and
 - # the company receives no consideration for the issue, subdivision, crediting or forgiveness apart from the shareholder's election not to receive money or money's worth as an alternative to the issue or subdivision.

A bonus issue also includes a share issued under a PDP ([¶16-571](#)).

There was previously some question whether share splits could be excluded from the definition of "dividend". Bonus issues that involved the issue of new shares could be excluded from being a dividend. However, a subdivision of shares does not necessarily involve the issue of new shares. A retrospective amendment to the definition of "bonus issue" to include the subdivision of shares has now clarified that share splits that involve a subdivision of shares can be excluded from the dividend definition.

A bonus issue before 21 August 1985 out of capital profits is not classified as a bonus issue. Similarly, a bonus issue before 16 December 1983 out of an asset revaluation reserve is not classified as a bonus issue.

A bonus issue does not encompass a dividend reinvestment scheme. Under the latter, a dividend is declared by the company and, once declared, there is operation of the shareholder's election that the amount otherwise payable to the shareholder shall be applied to pay up further shares. Under a bonus issue, by contrast, the shareholder has no entitlement to receipt of a cash dividend. See *Wix Corporation New Zealand Ltd v C of IR* ([1979](#)) 4 NZTC 61,499 (SC). A bonus issue also does not include a rebate applied by a mutual association to pay up further shares.

Bonus issue in lieu

A "bonus issue in lieu" is defined as a bonus issue made under an arrangement conferring on shareholders an election whether to receive a bonus issue, money, or money's worth other than the bonus issue.

A bonus issue in lieu arises upon the shareholder's election to receive further shares instead of the cash alternative. The amount of the dividend is the money or money's worth offered as an alternative, less any RWT payable in relation to the dividend.

Bonus issue company elects to be dividend

A bonus issue that is neither a bonus issue in lieu nor a share issued under a PDP will be a dividend when:

- # the issue is fully paid from reserves of the company, and
- # if a dividend, would not be exempt income as a dividend within a New Zealand wholly-owned group, and
- # the company elects to treat the bonus issue as a dividend.

The company may be inclined to make the election when determining that accumulated imputation credits should be passed out to shareholders. The company may be attracted to that approach, for example, if a change of ownership of the company may result in the loss of imputation credits. The Commissioner accepts that it is quite legitimate for a pre-settlement bonus issue to be made before a takeover to prevent the loss of imputation credits (*Tax Information Bulletin* ¶166-103 Vol 6, No 6, December 1994 at 12).

To make the election, the company must undertake the following steps:

- # resolve that the bonus issue is a dividend
- # resolve the amount to be treated as a dividend, and
- # give notice to the Commissioner of the election and the amount.

The amount of the dividend is the amount elected by the company to be a dividend.

Bonus issue by a foreign unit trust

Provision is also made for a taxable bonus issue to occur when a foreign unit trust makes a bonus issue in favour of unit holders (¶16-573).

Law: IT07 ss [CD 7](#), [CD 8](#), [CD 10](#), [YA 1](#) (“bonus issue”, “bonus issue in lieu”, “profit distribution plan”); TAA s [63](#)

Last reviewed on 31 December 2025

Dividend — shares issued under profit distribution plans [¶16-571]

[¶16-571]

[Click to open document in a browser](#)

A share issued under a PDP is a dividend. A PDP is a scheme that involves a company notifying some or all of its shareholders that shares are to be issued on a specified date, and gives those shareholders the option of selling some or all of the shares issued to them back to the company. The dividend is quantified as the amount the company offers for repurchase of the share. As a result, the amount actually received by the shareholder following the exercise of the option is not a dividend.

A bonus issue in the form of a share issued under a PDP is a taxable bonus issue.

Shares issued under an employee share scheme are excluded. In addition, a PDP share does not trigger the non-dividend provisions in s [CD 22](#) (off-market share cancellations).

IR views a PDP share issue as similar to a bonus issue in lieu, with the shareholder in either case being able to take the share or a cash amount. The taxation of PDP shares is viewed as part of the overall policy of preventing imputation credit streaming.

Law: IT07 ss [CD 7B](#), [CD 23B](#), [YA 1](#) (“[profit distribution plan](#)”)

Last reviewed on 31 December 2025

Dividends — vesting of foreign unit trust interests [¶16-573]

[¶16-573]

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A dividend arises under s [CD 9](#) if a beneficial interest in money or property of a foreign unit trust vests absolutely in a unitholder. The amount of the dividend is the value of the money or property that vests in the unitholder.

These provisions ensure that non-taxable bonus issue status does not apply to an arrangement where the unitholder agrees that, when units of a particular class are purchased, future amounts that the trustee or the trust deed vest absolutely in the unitholder are to be reinvested in new units rather than distributed in cash. If such an agreement were made, it would be possible that the reinvestment of the amount was not consideration provided by the unitholder to the unit trust. This would have enabled the unit trust to issue new units that were treated as a non-taxable bonus issue (*Tax Information Bulletin* [¶171-116 Vol 17, No 1](#), February 2005 at 43).

Law: IT07 s [CD 9](#)

Last reviewed on 31 December 2025

Dividends — producer boards and co-operative companies [¶16-575]

[¶16-575]

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A dividend includes a notional distribution with imputation credits attached effected by:

- # a producer board
- # a co-operative company.

Any payment that the board or company makes which is based on the notional distribution is not a dividend but a return of capital ([¶16-750](#)).

Law: IT07 s [CD 13](#)

Last reviewed on 31 December 2025

Deemed dividends [¶16-580]

[¶16-580]

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The tax law contains no single definition of a dividend. The essential concept is that there is a transfer of company value from the company to a person resulting from the shareholding relationship. As a result of this wide definition of a dividend, dividends are sometimes “deemed” to have been paid. Any transfer of services or assets by a company to a shareholder (or their associate) for less than market value will give rise to a taxable deemed dividend.

Examples of situations in which a deemed dividend may arise include: excessive remuneration paid to a shareholder–employee, interest-free or low-interest loans, remission of debt, transfers of property for below-market value and rental below market value.

The rules around deemed dividends often overlap with the FBT rules. If the transfer of company value is, for example, from an employer to a shareholder–employee (or a person associated with the shareholder–employee), the FBT rules take precedence. A deemed dividend would arise in this case only if an exception to the FBT rules applied and no FBT liability arose. In some cases, the company may elect to treat the benefit as a dividend rather than paying FBT.

Excessive remuneration as deemed dividend

A company may hire people related to the directors or shareholders of the company to perform services. In some cases, the remuneration that is paid may be excessive. Where remuneration is found to be excessive, the Commissioner is able to reallocate the excess remuneration, profits or losses so that the payments reflect what is deemed reasonable in the circumstances (s [GB 23](#), or s [GB 25](#) if the company is a close company). Any excess that is allocated back to the company is deemed to be a dividend and is not deductible by the company.

Example:

Rangitoto Ltd is a company that paid a fee for consulting services of \$200,000 to the husband of one of its directors. The Commissioner decides under s [GB 23](#) that this fee is excessive and that \$100,000 is a more accurate reflection of the market value of the services. Rangitoto Ltd's deduction is therefore limited to a deduction for \$100,000, and the remaining \$100,000 is treated as a dividend paid by Rangitoto Ltd to the director's husband out of profits derived by Rangitoto Ltd. The net effect of the arrangement is that the director's husband receives assessable income of \$200,000 but the company's deduction is limited to \$100,000.

Unlike ordinary dividends, a deemed dividend under ss [GB 23](#) to [GB 25](#) cannot have imputation credits attached ([¶16-070](#)).

Low-interest and interest-free loans as deemed dividend

A dividend may take the form of a company lending money to a shareholder (or a shareholder's associate) at a low rate of interest or interest-free. This becomes a deemed dividend issue if the shareholder is not an employee of the company (or associated to an employee of the company). Deemed dividends arise for a shareholder if they pay no or low interest on their overdrawn shareholder current account ([¶16-582](#)). If, on the other hand, the shareholder is an employee, the transaction can potentially fall within the FBT rules rather than the dividend rules ([¶21-410](#)).

Remission of debt

A deemed dividend also arises when a shareholder (or associate) is released from an obligation to pay back a loan owing to a company, either by agreement or by operation of law (s [CD 5\(2\)](#)). If the loan is a financial arrangement, the financial arrangements rules (FA rules) may also apply, although, the dividend rules take

precedence over the FA rules. Note, however, that the release of debt will not be a dividend when a debt is forgiven within an economic group and s [EW 46C](#) applies ([¶16-470](#)).

Section [EW 46D](#) ensures that arrangements where an insolvent company debtor issues shares for consideration on the basis that all, or part, of that consideration is repayment a debt owed to the shareholder are treated in the same way as a direct issue of shares in repayment of debt. Therefore debt-equity swaps do not amount to a remission of the debt owed to the shareholder. Debt forgiveness income may arise ([¶16-470](#)).

Quantifying the dividend

It is important to identify that a dividend has occurred, and to quantify that dividend so that imputation credits may be attached to the dividend in accordance with the imputation credit benchmark ratio rules ([¶17-060](#)).

The rules for calculating the amount of a dividend differ according to what sort of dividend has occurred. The general rule is that the dividend is essentially the difference between the market value of what has been distributed by the company and what has been provided by the shareholder (or associate) ([¶16-600](#)).

When property is made available to a shareholder, the general principle is that the FBT rules apply to determine the amount of the dividend. Consequently, the amount of the dividend is calculated for each quarter during which the company's property is made available. Two examples of property being made available to a shareholder include low or no-interest loans and the provision of accommodation to shareholders at below market rates.

Interpretation statements

Interpretation statement [IS 21/05](#), "Non-cash dividends", considers when a transfer of company value from a company to a shareholder is treated as a dividend for tax purposes. It focuses on the types of transactions that are often entered into between small- and medium-sized companies and their shareholders. It also considers when a transfer of value from a company to a shareholder is not treated as a dividend and is instead taxed under other rules. A number of examples are included in the statement.

Law: IT07 ss [CD 5](#), [CD 39](#), [GB 23–GB 25](#)

Last reviewed on 31 December 2025

Dividends — overdrawn shareholder current account [¶16-582]

[¶16-582]

[Click to open document in a browser](#)

Shareholder current (or loan) accounts are often informal arrangements between shareholders and close companies that record advances made between them. An overdrawn shareholder current account at year end means a shareholder withdrew more money from the company than they have advanced to the company, and this can give rise to a number of tax issues.

Interpretation statement [IS 24/09](#), "Income tax — overdrawn shareholder loan account balances", considers the common tax implications of an overdrawn shareholder current account for a close company along with practical examples. These key tax issues are summarised below.

Deemed dividends

Deemed dividends arise if the shareholder pays no or low interest on their overdrawn shareholder current account. Note however that if the shareholder is also an employee of the company, the FBT rules will apply ([¶21-410](#)).

Reducing the deemed dividend amount

The current account may be treated as having been repaid to the later of the beginning of the company's income year or the day the loan was made where (s [CD 39\(9\)](#)):

- # the shareholder to whom the loan was made is paid an amount of salary, wages, an extra pay, dividends or interest
- # the amount so paid constitutes income of the shareholder, and
- # the amount so paid is not subject to RWT, NRWT or PAYE tax deduction or is a fully-imputed dividend.

The intention is to allow for a fully-imputed dividend to be backdated to expunge, or at least reduce, an overdrawn current account balance. It has therefore been clarified that the rule in relation to a fully-imputed dividend applies irrespective of any RWT obligation that may arise because of the relevant shareholder's RWT rate. This avoids or limits the deemed dividend arising and reduces compliance costs.

Charging interest on an overdrawn shareholder current account

The amount of deemed dividend arising from an overdrawn shareholder current account is calculated for each quarter during which the account is overdrawn. The deemed dividend is treated as being paid 6 months after the end of the company's income year, unless the company gives the shareholder earlier notice of the amount of the dividend (s [CD 39\(2\)](#) and [\(3\)](#)). A company has 2 options to calculate the amount of the dividend (s [CD 39\(5\)](#)):

- # the benchmark interest and the actual amount of interest accruing on the loan, or
- # the benchmark interest and the amount of income accruing to the company in the quarter calculated under the yield to maturity method.

For detailed discussion on the above calculation methods, see [¶16-620](#). Also see [IS 24/09](#) [39] for a calculation example.

For detailed discussion on the RWT obligations for shareholders, see [¶15-070](#) and [¶15-220](#). Also the flowchart in [IS 24/09](#) at [76] summarises the circumstances for when a shareholder is required to withhold RWT.

Deductibility of interest expense for shareholder

Interest paid by a shareholder on their overdrawn shareholder current account is generally not deductible, unless the shareholder draws money for use in an income-earning activity or a business and sufficient documentation is required to support the interest deduction ([¶10-650](#)).

Interest income for the company

Interest charged on an overdrawn shareholder current account is taxable income for the company. The FA rules should be applied to determine the timing of derivation of the interest income. The most common method for smaller companies is the straight-line method which requires very simple calculation (see [IS 24/09](#) [85] to [90]).

Application of the FA rules and BPA calculation for the company

A company must apply the FA rules to an overdrawn shareholder loan account unless the loan is interest-free, repayable on demand and in New Zealand dollars. Under the FA rules, a BPA must be calculated by both parties (in addition to the dividend rules) when one of the following applies:

- # The shareholder is discharged from making all remaining payments owed on their overdrawn shareholder loan account without fully adequate consideration.
- # The shareholder is released from making all remaining payments owed on their overdrawn shareholder loan account under the [Insolvency Act 2006](#) or the [C93](#).
- # All remaining payments owed on the shareholder's overdrawn shareholder loan account become irrecoverable or unenforceable through the lapse of time.

See [IS 24/09](#) [95] to [123] for detailed discussion of the application of the FA rules and calculation examples.

Last reviewed on 31 December 2025

Dividends — non-cash benefits to shareholder-employees and directors [¶16-585]

[¶16-585]

[Click to open document in a browser](#)

A dividend includes a non-cash benefit provided by a company:

- # to an employee where:

- # the benefit is an unclassified benefit, meaning that the benefit is not within one of the specific categories of fringe benefit

- # the employee is a shareholder in the company, and

- # the company elects to treat the benefit as a dividend (s [CX 17\(2\)](#) and [¶21-070](#))

- # to a non-executive director who is also a shareholder in the company, even if the benefit is provided solely because the director is a non-executive director.

In the case of the shareholder–employee, it may be expected that the company will make the election where there is an agreement with the shareholder that that is the appropriate taxation treatment. In other words, the parties agree that provision of the benefit will not attract FBT. If the company refrains from making the election, it is confirmed that provision of the benefit is a fringe benefit subject to FBT.

A non-cash benefit received by a non-executive director shareholder is treated as being exempt from FBT when that person has no other employment relationship with the company beyond the role of a non-executive director. That is, the person's services to the company extend only to compliance with statutory obligations. Such benefits are treated as dividends (*Tax Information Bulletin* [¶912-106 Vol 9, No 12](#), November 1997 at 4). To avoid the potential double taxation of the same benefit as a fringe benefit and as a non-cash dividend, there is an exclusion for dividend benefits that are subject to FBT.

Example:

Gwenbarb Ltd is a small family company. The shares in the company are owned 50/50 by Barry and Gwen Brown, who are husband and wife. Gwen is a shareholder–employee in the company. Barry takes no interest or part in the company operations at all other than receiving his annual cash dividend and signing the occasional resolution in his capacity as company director. The company makes an interest-free loan to each of the shareholders.

The loan to Gwen as a shareholder–employee is a fringe benefit. The value is the difference between the interest charged by the company, which is nil, and the prescribed rate of interest for FBT purposes. The benefit is excluded from being a dividend.

The loan to Barry as a non-executive director would be a non-cash dividend. However, as well as being a shareholder in his own right, Barry is also an associated person of Gwen as an employee of Gwenbarb Ltd, and so the benefit is deemed to be a benefit provided to Gwen and subject to FBT.

Law: IT07 s [CD 20](#)

Last reviewed on 31 December 2025

Further dividends [¶16-590]

[¶16-590]

[Click to open document in a browser](#)

A dividend also includes:

- # an amount derived in substitution for a dividend under a dividend stripping arrangement ([¶133-175](#))
- # excessive remuneration for services rendered by a person who is a relative of a director or shareholder of a company, other than a close company (s [GB 23\(7\)](#)), and
- # excessive remuneration, including lump sum retirement payments, made to a shareholder or director (or a relative of a shareholder or director) of a close company to the extent of the excessive component ([¶16-070](#) and s [GB 25](#)).

Law: IT07 ss [CD 11](#), [GB 1\(3\)](#), [GB 23\(7\)](#), [GB 25\(2\)](#)

Last reviewed on 31 December 2025

General rule for calculation of dividend amount [¶16-600]

[¶16-600]

[Click to open document in a browser](#)

The general rule for the calculation of the amount of a dividend is the following formula:

$$\text{value from company} \# \text{value from person}$$

where:

value from company is the market value of the money or money's worth that the company provides to the person, and

value from person is the market value of the money or money's worth, if any, that the person provides as consideration for the transfer, or, if applicable, the rate of interest determined under the restricted transfer pricing rules for a cross-border loan between associates ([¶126-605](#)), excluding in both cases any amount attributable merely to the holding or giving up of rights as a shareholder in the company.

Subpart [FC](#) also provides that the company is to be treated as having disposed of the property at its market value when the transaction involves a distribution in kind that is a dividend. In addition, the shareholder is treated as having acquired the property at that market value.

Reversal of the dividend

There may be reversal of a dividend in 4 situations.

First, there is scope to adjust values if a dividend has arisen because of a difference in the market value of property provided by or to the company and the consideration paid for it. To reverse the dividend treatment of the transaction, the following requirements laid down in s [CD 42](#) must be satisfied:

- # the consideration paid must have been an amount the company considered was the market value, having taken reasonable steps at the time of the transaction to ascertain a market value

- # the recipient of the dividend must have subsequently paid to the company:

- # sufficient additional consideration to reflect the actual market value of the property at the time of the transaction, or

- # a refund of any excess consideration paid by the company, and

- # any necessary adjustments must have been made to the accounts of the company and the recipient for the additional consideration or refund.

Secondly, a dividend is eliminated if the company recovers the dividend from the shareholder. That outcome is possible, for example, if the dividend resulted in the company not being able to satisfy the solvency requirement. Appropriate amendments of assessments and refunds of tax may be made by the Commissioner and debits and credits recorded in the ICAs of the company and the shareholder. See s [CD 40](#).

Thirdly, if the release of a debt owed to the company created a dividend and the released amount is later repaid, the dividend is reversed and the tax paid is refunded. The same treatment applies to the dividend arising from the expenditure of a close company that is not allowed as a deduction where the expenditure is subsequently repaid to the company. See s [CD 41](#).

Fourthly, there is provision for the reversal of a dividend treatment in relation to a shareholder current account that is retrospectively treated as employment income (s [CD 39\(9\)](#) and [¶16-582](#)).

Law: IT07 ss [CD 38](#), [CD 39\(9\)](#), [CD 40–CD 42](#), [FC 1\(1\)\(d\)](#), [FC 2\(1\)](#)

Last reviewed on 31 December 2025

Calculating amount of dividend when property made available [¶16-620]

[¶16-620]

[Click to open document in a browser](#)

A dividend may take the form of the company making property available to a shareholder or some other person. A loan at no interest or at a low rate of interest is an obvious example, as is the provision of residential accommodation for the use of the company's shareholders.

Example:

TZ Ltd makes a beach house available to shareholder B for three weeks at a rental of \$12 per week. The market rental is \$200 per week. The amount of the dividend from TZ Ltd is \$564, calculated as $(\$200 - \$12) \times 3$.

The general principle is that the FBT rules apply to determine the amount of the dividend. These rules contain detailed provisions, for example, for calculation of the benefit arising from the provision of a motor vehicle and the sale of goods and services at a discount. In all cases, the amount of the dividend is calculated for each quarter during which the company's property is made available.

Loan

Note: On 4th December 2025, IR issued public consultation document, "Improving taxation of loans made by companies to shareholders". The issues paper proposes a new time limit rule to treat certain new shareholder loans of \$50,000 or more from companies as dividends, if the loan is not made repaid within 12 months of the income year they were made. The date of application for the proposals is to apply to new loans made on or after 4 December 2025.

If the property made available is a loan, the dividend for the quarter may be calculated under one of 2 approaches:

- # the excess, if any, of interest calculated for the quarter on the daily balance of the loan at the benchmark rate over the actual amount of interest accruing on the loan for the quarter, or
- # at the company's election, the excess of the benchmark interest rate amount over the amount of income accruing to the company for the quarter under the yield to maturity method.

The benchmark rate varies according to the nature of the parties to the loan and the currency in which the loan is expressed. The following 3 categories apply:

- # the benchmark rate is the prescribed interest rate applicable under the FBT regime where all amounts payable to the company are expressed in New Zealand dollars and the borrower is not a company (or, if it is a company, the lender company notifies the Commissioner that the prescribed interest rate is to apply to the loan and the quarter), or
- # a rate set by the Commissioner becomes the benchmark rate where:
 - # all amounts payable to the company are expressed in a single foreign currency
 - # the Commissioner has set a benchmark rate for that currency and the quarter, and
 - # the borrower is not a company (or if it is a company, the lender company notifies the Commissioner that the Commissioner's rate is to apply to the loan and the quarter)
 - # in all other cases, the benchmark rate is the market interest rate determined at the end of the quarter for a loan made on the same terms between persons acting at arm's length.

Note if a taxpayer considers the market interest rate applicable to their overdrawn shareholder current account held in a closed company is lower than the prescribed rate, the Commissioner commented that the taxpayer should support their position with sufficient evidence (see [IS 24/09](#) "Income tax — overdrawn shareholder loan account balances" at [25], *Tax Information Bulletin* ¶3611-102 Vol 36, No 11, December 2024 at 2).

Example:

KS Ltd makes an advance to its shareholder, AP Ltd, on terms providing for interest at 5%. The bankers to KS Ltd were charging interest at 12% to borrowers with the same credit rating as members of the AP Ltd group. The dividend will be calculated by applying an interest rate of 7% to the daily balance of the loan.

Averaging approach

Where the loan is a variable principal debt instrument (broadly an overdraft facility), and the borrower is a company, averaging loan balances may be adopted. The method of ascertaining the daily loan balance is used as the basis for calculating the amount of the dividend. In addition, the lender may elect that the daily balance of the loan shall be one of the following:

- # the average of the outstanding balances of the loan at the end of each month of the lender's tax year, or
- # the average of:
 - # the outstanding balance of the loan at the later of the beginning of the tax year or upon the making of the first advance, and
 - # the outstanding balance of the loan at the earlier of the end of the tax year or just before the loan is finally repaid.

In a significant qualification, the averaging approach is not available if it provides a dividend amount that differs by more than 30% from the amount of dividend that would arise if actual loan balances were used. When this restriction does not prevent adoption of the averaging approach, the lender must make the appropriate election in its return of income for the tax year in which the dividend transaction occurs.

Example:

AB Ltd makes a series of advances to assist its parent company in completion of a development project, although all of the advances are repaid within 6 months. The outstanding balances at the end of each month were \$18,000, \$23,000, \$31,500, \$42,750, \$49,900 and \$55,000. The averaging approach produces an average daily balance of \$36,691 ($\$220,150 \div 6$) and that may be adopted by AB Ltd if it does not produce a dividend amount that varies by more than 30% from the dividend amount calculated by use of actual daily loan balances.

The second of the averaging approaches permits adoption of the average of the loan balances at the beginning and end of the tax year, with provision made for the situation where the loan is advanced or repaid within a tax year.

Example:

As an alternative to an average of monthly balances in Example 3, AB Ltd could have adopted an average daily balance of \$36,500, being an average of the opening and closing balances of \$18,000 and \$55,000 respectively. Again, adoption of the averaging approach is subject to the qualification that it is not available when it produces a dividend amount that varies by more than 30% from the dividend ascertained by use of actual daily loan balances.

Timing of dividend

A dividend arising from the making available of property is treated as paid by the company and derived by the person (*Tax Information Bulletin* ¶79-105 Vol 7, No 9, February 1996 at 2):

- # 6 months after the end of the company's income year, or
- # if the company gives notice to the shareholder on an earlier date of the amount of the quarter's dividend, on that earlier date.

Example 5:

TE Ltd provides a loan of \$10,000 to a shareholder, Don, on 1 April 20X1. The interest rate is 5% calculated on the daily balance of the loan, payable annually on 1 April.

Don makes no repayments of principal during the 20X1–X2 income year. The first interest payment, due on 1 April 20X2, is therefore \$500. Assuming that the prescribed rate of interest for the year is 10%, a dividend of \$125 will arise in each quarter of the 20X1–X2 income year.

TE Ltd has a 31 March balance date so that the dividends generated by the provision of the low-interest loan in the 20X1–X2 income year are deemed to be paid by TE Ltd and derived by Don on 30 September 20X2.

Law: IT07 s [CD 39](#)

Last reviewed on 31 December 2025

Dividend calculation adjustments [¶16-630]

[¶16-630]

[Click to open document in a browser](#)

Tax credits

Subject to certain exceptions, a dividend includes the amount of any imputation credits attached to the dividend. This treatment is a necessary step in the application of the imputation concept ([¶16-550](#)).

The amount of a dividend also includes any RWT or NRWT withheld from or paid in relation to the dividend.

A reminder that imputation credits attached to dividends distributed to beneficiaries may be limited by the application of s [LE 5](#) ([¶25-260](#)).

Unit trust exclusion

An exclusion covers the situation where unit trust managers, in the ordinary course of their management activities for a unit trust (s [CD 16](#)):

- # acquire units from unit holders under the terms of issue, and
- # derive a dividend from the redemption or other cancellation of units in the unit trust.

The dividend for the unit trust manager does not include imputation credits attached to the dividend to the extent to which the dividend, exclusive of the credits, recovers the price paid by the unit trust manager to acquire the units.

A unit trust manager for these rules includes any one of the following:

- # a person nominated by the unit trust manager
- # a trustee or a manager of a group investment fund that derives category A income, or
- # a person nominated by the trustee or the manager of the group investment fund.

The exclusion of credits from the dividend also applies for other parts of the IT07 to ensure that the credits are not counted as passive income.

Share-lending exclusion

Also excluded from being a dividend is the amount of any imputation credits attached to a dividend derived by a share user under a share-lending arrangement where the credits were attached by way of a credit transfer notice. However, those credits are included as dividend income of the share supplier under the share-lending arrangement (s [CD 17](#)).

Reduction for overseas tax paid

If a shareholder has directly paid tax overseas on a foreign company's income, as if the foreign company were a partnership and the shareholder were a partner, s [CD 18](#) allows the amount of any dividend received by the shareholder from the foreign company to be reduced by the amount of the overseas tax. This reduction ensures that shareholders in such entities are not taxed twice on the same income ([¶26-010](#)).

Foreign tax credits

Section [CD 19](#) recognises that a double tax agreement (DTA) may provide a New Zealand resident shareholder with a tax credit in a foreign country. In that event, the amount of the dividend is increased by the tax credit.

A refund of foreign income tax is also treated as a dividend when:

- # the foreign company was entitled to deduct the tax from the dividend, and
- # the New Zealand shareholder is not personally liable to pay the tax.

Law: IT07 ss [CD 15–CD 19](#)

Last reviewed on 31 December 2025

Exclusions from dividends [¶16-680]

[¶16-680]

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A number of transactions are expressly excluded from giving rise to dividends. These include:

- # a non-taxable bonus issue ([¶16-685](#))
- # a return of capital upon cancellation of the company's shares covering:
 - # an amount returned upon the total redemption or cancellation of a share, or upon an off-market purchase of a share by the company, provided the transaction is not in substitution for dividends ([¶16-705](#))
 - # realised and unrealised capital gains returned upon the liquidation of the company ([¶16-720](#))
 - # an on-market purchase of the company shares ([¶16-710](#))
 - # bonus shares issued during the period 1 April 1982 to 30 September 1988 if the bonus shares were capitalised out of share premiums arising other than upon the issue of shares, or the return of capital is upon the liquidation of the company
 - # a non-taxable bonus issue made before 1 July 1994 if issued out of capital gains and the return is upon the liquidation of the company or the bonus shares were issued out of share premiums arising other than upon the issue of shares by a company in exchange for shares in another company
 - # a non-taxable bonus issue made after 1 July 1994 if the bonus shares were issued out of capital gains and the return is upon the liquidation of the company
 - # a fringe benefit subject to FBT and a benefit provided to an employee that would be a fringe benefit if an election had not been made under s [CX 17\(4B\)](#) ([¶16-695](#))
 - # a treasury stock repurchase that is not part of a pro rata cancellation ([¶16-700](#))
 - # certain transfers of company value between associated companies ([¶16-725](#))
 - # transfers of certain excepted financial arrangements within wholly-owned groups ([¶16-730](#))
 - # rights issues and premiums paid under bookbuild arrangements ([¶16-715](#))
 - # vesting of property by a foreign unit trust ([¶16-690](#))
 - # certain amounts derived by an amalgamated company on a resident's restricted amalgamation ([¶16-740](#))
 - # the provision of residential property by a flat-owning company ([¶16-745](#))
 - # a payment by a company to repurchase a share under a PDP ([¶16-571](#))
 - # employment income in the form of board and lodging ([¶16-695](#))
 - # a Māori authority distribution ([¶24-311](#))
 - # a further distribution by a co-operative company or a statutory producer board based on an earlier notional distribution ([¶16-750](#))
 - # certain transfers of shares received by New Zealand shareholders as a result of a demerger by a listed Australian company ([¶16-732](#))
 - # an amount paid by a company that is a foreign superannuation scheme if it is derived by a person as a foreign superannuation withdrawal or a pension ([¶16-733](#)), and
 - # a distribution from a foreign investment fund (FIF) for which the comparative value method, the deemed rate of return method, the cost method or the fair dividend rate method has been applied. When the fair dividend rate method has been applied, the dividend exclusion does not apply if the person held a direct income interest of 10% or more in the FIF at the beginning of the relevant income year and the FIF satisfied the exclusion for Australian resident FIFs under s [EX 35\(b\)](#) and its income tax liability was not reduced under s [EX 35\(c\)](#) ([¶16-735](#)).

Law: IT07 ss [CD 22–CD 37](#)

Last reviewed on 31 December 2025

Dividend exclusions — non-taxable bonus issues [¶16-685]

[¶16-685]

[Click to open document in a browser](#)

A non-taxable bonus issue is not a dividend.

A non-taxable bonus issue is a bonus issue that is not a taxable bonus issue ([¶16-570](#)). Essentially this means that there is neither a cash alternative nor an election by the company for taxable bonus issue treatment.

Law: IT07 ss [CD 29](#), [YA 1](#) (“non-taxable bonus issue”)

Last reviewed on 31 December 2025

Dividend exclusions — vesting of property by a foreign unit trust [¶16-690]

[¶16-690]

[Click to open document in a browser](#)

The vesting of a beneficial interest in the assets of a foreign unit trust that is a dividend ([¶16-573](#)) does not lead to a further dividend when the legal interest in the property vests in the unitholder.

Law: IT07 s [CD 30](#)

Last reviewed on 31 December 2025

Dividend exclusions — fringe benefits [¶16-695]

[¶16-695]

[Click to open document in a browser](#)

A dividend does not arise for the provision of a fringe benefit that attracts FBT.

A dividend also does not arise if a motor vehicle benefit is provided to a shareholder–employee of a close company and that benefit would be a fringe benefit subject to FBT except that an election has been made by the close company under s [CX 17\(4B\)](#) to apply subpart [DE](#) instead of the FBT rules.

Another exclusion from dividend classification applies to accommodation or an accommodation allowance that is employment income in the hands of the employee.

Law: IT07 s [CD 32](#)

Last reviewed on 31 December 2025

Dividend exclusions — treasury stock purchases [¶16-700]

[¶16-700]

[Click to open document in a browser](#)

Treasury stock is a purchase by a company of its own shares where the company determines not to cancel the shares. A company may apply this treatment to no more than 5% of its shares (with a different regime for a co-operative company). There is a discussion by the Commissioner of the rules on treasury stock at the time of their introduction in *Tax Information Bulletin* ¶66-103 Vol 6, No 6, December 1994 at 7.

A treasury stock repurchase is not a dividend provided that the repurchase is not part of a pro rata cancellation or a transaction that is similar in substance to a pro rata cancellation. The notion of a pro rata cancellation is the cancellation of all of the shares of a class or a uniform cancellation of part of the class.

Although the purchase may not be a dividend, there may be ASC implications if the company cancels or continues to hold the shares purchased. A reduction to the ASC of the company may be deemed to occur if the shares are cancelled before the first anniversary of acquisition or if the company has not, by the first anniversary, transferred shares of the same class in an arm's length transfer (a transfer to a non-associate or one occurring independently on a recognised exchange) or allocated shares of the same class to employee share scheme beneficiaries under an employee share scheme.

In those circumstances, with effect from the cancellation or first anniversary, the company's ASC is reduced by the lesser of the amount paid to the shareholder on acquisition of the shares and the ASC per share calculated under the ordering rule. In the case of the first anniversary causing the reduction, the ASC is calculated as if the share (and any other shares to which s CD 25(4) applies) were cancelled on that anniversary date. If the shares are cancelled or not transferred or allocated before the first anniversary, the repurchase is treated as if it were an on-market cancellation, and a debit arises in the company's ICA. However, the amount included in the formula for calculating the debit is limited to the excess of the amount received by the shareholder over the amount of the reduction to the ASC discussed above. The debit arises on the date of acquisition by the company (although that retrospective debit does not create an exposure to imputation penalty tax or late payment penalty if it would not have arisen if the debit had arisen on the date of cancellation or first anniversary). The concept of ASC is covered at ¶16-760.

The income derived by a company on disposing of shares acquired as a treasury stock purchase is exempt income.

Employee share scheme implications

With effect from 30 March 2021, it has been clarified that if a trustee of an employee share scheme (ESS) acting as a nominee of the company disposes of treasury stock, then any income the trustee derives from disposing of those shares is also exempt. Where a company nominates a trustee to carry out activities related to an ESS, the trustee effectively acts as the company and should be treated the same way the company would. Since income derived by a company from disposing of its own shares is exempt, income derived by a trustee from disposing of the company's shares while acting in its capacity as nominee of the company should also be exempt.

In IS 24/04, "Trustee of employee share scheme trusts treated as nominees", the Commissioner expressed his view regarding the application of the treasury stock rules for an ESS trust:

"23. The effect of ss CE 6 and CD 25 is that where an ESS Trustee acquires, holds and transfers shares in a company on the terms of an ESS, the company is treated as undertaking those activities.

24. This means that when the ESS Trustee acquires a share on market or from an employee, the company will be treated as acquiring the share and holding it in itself as treasury stock, and any payment made by the ESS Trustee to acquire that share will not be treated as a dividend to the recipient (s CD 25(1)(a)). The concept of an ESS Trustee acquiring a share for these purposes

includes where an employee forfeits a share (or a right to a share) that the ESS Trustee previously allocated to them such that it becomes unallocated (subss [\(2\)\(b\)](#) and [\(7\)](#)).

25. The ESS Trustee then has 1 year to make an arm's length transfer of a share, or allocate a share (or a right to a share) to an employee under an ESS, of the same class in accordance with s [CD 25\(2\)](#).

26. Where the ESS Trustee meets the conditions at [25] within a year, then no ASC or imputation consequences result under s [CD 25\(4\)](#) to [\(6\)](#)."

See [¶3-470](#) for discussions on the relevant ASC and dividend implications for an ESS trust.

Law: IT07 ss [CE 6](#), [CD 25](#), [CW 58](#), [YA 1](#) ("cancellation", "on-market cancellation", "pro rata cancellation")

Last reviewed on 31 December 2025

Dividend exclusions — off-market share cancellations [¶16-705]

[¶16-705]

[Click to open document in a browser](#)

An amount paid by a company to a shareholder upon the cancellation of their shares may not be a dividend if specified criteria are satisfied as to the circumstances of the cancellation. Those circumstances may encompass:

- # a pro rata cancellation, where the main requirements are that there is satisfaction of the bright line test relating to the size of the cancellation and that the transaction is not in lieu of the payment of dividends
- # a 15% interest reduction applying, eg to a buy-out of a minority shareholder
- # the cancellation of a non-participating redeemable share
- # the non pro rata cancellation of a share in an unlisted trust.

If the requirements applicable to these transactions are satisfied, the measure of the amount that is not a dividend has reference to the company's ASC. It is explained at [¶16-760](#) that ASC encompasses consideration received by the company for the issue of its shares, less previous share cancellations that were not dividends.

It may also be necessary to apply the slice rule or the ordering rule. The slice rule is applicable to the cancellation of units by an unlisted trust or unlisted group investment fund, and it enables the ASC component of the redemption proceeds to be excluded from being a dividend even though the cancellation may be on a small scale ([¶16-770](#)).

Section [CD 22](#) does not apply to shares issued under a PDP ([¶16-571](#)) and repurchased by the company. The section also does not apply to the cancellation of shares on liquidation of a company.

Pro rata cancellation

A pro rata cancellation is the cancellation of all shares in a class or a uniform cancellation of part of the shares of the class. A pro rata cancellation typically occurs in relation to a company that cancels its shares under an arrangement under Pt [15](#) of the C93. That procedure is normally followed to ensure that the arrangement will result in a uniform cancellation of shares. The arrangement, if approved by the required majority, will bind any dissenters.

An amount paid by the company to shareholders upon a pro rata cancellation is not a dividend when:

- # the cancellation results in:
 - # a 15% capital reduction for the company, or
 - # a 10% capital reduction for the company and the Commissioner has given a notice that the payment is not in lieu of a dividend, and
 - # no part of the payment is in lieu of the payment of a dividend, having regard to:
 - # the nature and amount of dividends paid by the company before or after the cancellation
 - # the issue of shares in the company after the cancellation
 - # the expressed purpose or purposes of the cancellation, and
 - # any other relevant factor.

15% capital reduction

A 15% capital reduction is the circumstance where the aggregate amount paid by the company on account of the cancellation, or on account of any other pro rata cancellation occurring at the same time, is at least 15% of the market value of all participating shares in the company at the time the company first gave notice to shareholders of the cancellation. A 10% capital reduction is similarly defined to mean the circumstance

that the amount paid on cancellation is at least 10% of the market value of all participating shares at the time of first notification to shareholders of the cancellation. The 15% and 10% thresholds are applied to the amount actually distributed on the share cancellation and not the potential maximum distribution if all shareholders accepted the company's offer.

The difference between the 2 capital reductions is that a 15% capital reduction does not require any notice from the Commissioner that the pro rata cancellation is not considered to be in lieu of a dividend. This more relaxed treatment may reflect the notion that the larger reduction of market capitalisation suggests it is less likely that the cancellation is a substitute for dividends. A 15% reduction of market capitalisation represents approximately 3 times typical dividend yields.

Not in lieu of dividends

The requirement that the cancellation is not in lieu of dividends is obviously significant. The Commissioner is required to consider all of the following factors when determining whether an amount is paid in lieu of a dividend (s [CD 22\(7\)](#)):

- the nature and amount of dividends the company pays before or after the cancellation
- the issue of shares in the company after the cancellation
- the expressed purpose or purposes of the cancellation, and
- any other relevant factors.

Interpretation statement [IS 25/19](#), "Income Tax – Whether an off-market share cancellation is made in lieu of the payment of a dividend" discusses the above factors in detail. The Commissioner also indicated that a cancellation may be accepted as not in substitution for dividends where it is prompted by any of the following factors (note this is not an exhaustive or definitive list):

- # an overall corporate reorganisation or restructuring of ownership
- # the company having surplus capital irrespective of a high dividend policy with which it wishes to alter its debt:equity ratio, to align it more closely with comparable companies
- # lowering of funding costs by replacing equity with cheaper debt funding
- # the reduction of the company's cash balance for improved balance sheet performance
- # the capital reduction being part of an overall downsizing of the company or corporate group
- # an unusual one-off capital return event, and
- # the reduction of administrative costs.

If the cancellation complies with the requirements for exclusion, the amount paid on cancellation is not a dividend to the extent it is less than or equal to the ASC per share calculated under the ordering rule ([¶16-770](#)).

A dividend did not arise when Tenon Ltd paid \$1.25 per share cancelled to cancel one out of 2 shares on issue (to total approximately \$349 million) following the sale of its entire forest estate (*Tax Information Bulletin* [¶163-106 Vol 16, No 3](#), April 2004 at 15).

15% interest reduction

A dividend may not result where the cancellation is not part of a pro rata cancellation, but it results in the shareholder suffering a 15% interest reduction. A 15% interest reduction is a share cancellation under which the total direct voting interests of the shareholder and counted associates or, where a market value circumstance exists the total direct market value interests of the shareholder and counted associates, are 85% or less of such interests as they were immediately before the cancellation. For this purpose, a counted associate is the shareholder's spouse, civil union partner, de facto partner or minor child, the trustee of a trust under which the spouse, civil union partner, de facto partner or minor child has benefited or is eligible to benefit, or a non-relative associate of the shareholder. This category of share cancellation may be thought to be directed at the cancellation of the shares of a minority shareholder. The transaction must not be in lieu of the payment of a dividend.

Non-participating redeemable shares

An amount paid upon the redemption of a non-participating redeemable share is not a dividend if the cancellation is not in lieu of the payment of a dividend. A non-participating redeemable share is one where all of the following apply:

- # the share is able to be redeemed before liquidation
- # the share is:
 - # a redeemable share under New Zealand or foreign company law, or
 - # issued by a co-operative company, or
 - # subject to ss [FA 2](#) and [FZ 1](#), or s [FA 2B\(2\)](#) (stapled debt securities), or
 - # a unit in a unit trust that is not a widely-held trust
- # the share is either a fixed rate share or a share for which the amount payable on cancellation is no more than the ASC per share calculated under the slice rule ([¶16-770](#)), and
- # the only shareholder decision-making right the share carries is a protective right, unless the share was issued by a co-operative company.

Unlisted trusts

An amount paid by an unlisted trust on the redemption or cancellation of units may not be a dividend to the extent to which it is less than or equal to the ASC per share calculated under the ordering rule. The cancellation must not be part of a pro rata cancellation and the payment must not be in lieu of a dividend. However, if an unlisted trust has issued units subject to the slice rule, the amount paid on cancellation may still be excluded from being a dividend if the redemption proceeds are not in lieu of the payment of dividends. On this occasion the measure of the exclusion from dividends is calculated under the slice rule. It is explained at [¶16-770](#) that the slice rule effectively refers to the amount paid for issue of a unit in the unit trust. The component of the redemption proceeds that are a dividend may have imputation credits attached.

An unlisted trust is a unit trust or group investment fund whose units or interests are not quoted on the official list of a recognised exchange.

It is recognised that an investor in a non-resident unlisted widely-held trust may not be able to obtain sufficient information to apply the ordering rule. In that event, the units are treated as having been issued subject to the slice rule. The ASC of the trust becomes the amount paid for the issue of each unit or the unit holder's entitlement if issue of the units was a taxable bonus issue. A widely-held trust is one with at least 100 unit holders or investors or, if fewer, one that can be regarded as a widely-held investment vehicle for direct investment by the public or investment vehicles comprising unit trusts, group investment funds or superannuation funds.

Law: IT07 ss [CD 22](#), [YA 1](#) (“[cancellation](#)”, “[off-market cancellation](#)”, “[on-market cancellation](#)”, “[pro rata cancellation](#)”)

Last reviewed on 31 December 2025

Dividend exclusions — on-market share repurchases [¶16-710]

[¶16-710]

[Click to open document in a browser](#)

An amount paid by a company in purchasing its shares in an on-market cancellation is not a dividend. An on-market cancellation is an acquisition of shares in the company where all of the following apply:

- # the transaction occurs on a recognised exchange through a broker or other agent independent of the company
- # there is no prior arrangement between the shareholder and the company for the company to acquire the shares, and
- # the acquisition is not a treasury stock acquisition, because the shares are cancelled on acquisition.

It also includes an on-market acquisition of the company's shares by an associated person under an arrangement for the associate to acquire the shares in lieu of the company.

Under this exclusion, the entire amount of a share market repurchase is not a dividend. However, any excess of the amount paid over the ASC per share calculated under the ordering rule may, nonetheless, be treated as a dividend and not as a return of capital for certain other purposes. This is when the dividend recovery provisions (s [CD 40](#)) apply, on calculation of the company's ASC (s [CD 43](#)) and when considering whether dividend stripping is present (s [GA 1\(4\)](#)). An on-market repurchase may give rise to a debit to the company's ICA when ASC is exhausted.

Law: IT07 ss [CD 24](#), [YA 1](#) (“on-market cancellation”)

Last reviewed on 31 December 2025

Dividend exclusions — rights issues and premiums paid under bookbuild arrangements [¶16-715]

[¶16-715]

[Click to open document in a browser](#)

Companies can offer their shareholders rights to buy new shares, generally at a discount. The discounted amount is not a taxable dividend for those shareholders who exercise the right and that the right itself is also not a taxable dividend.

It has been clarified that, in general, premiums paid under bookbuilds are not dividends for tax purposes (*Tax Information Bulletin* ¶259-103 Vol 25, No 9, October 2013 at 63). A bookbuild can take place following a rights issue. A bookbuild involves the rights of non-participating shareholders (who chose not to participate or were not entitled to participate) being offered to other investors who pay a premium for them. The original shareholder is paid all or part of this premium for giving up their rights. The premium in that case will not be a dividend. Note, however, that in some cases the premium may be paid to the company and this may give rise to ASC. In those circumstances, the exclusion will not apply.

Law: IT07 s [CD 29B](#)

Last reviewed on 31 December 2025

Dividend exclusions — distributions on liquidation [¶16-720]

[¶16-720]

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Upon a company going into liquidation, a liquidator is appointed to realise the company's assets, repay creditors and distribute any surplus to shareholders in extinguishment of their shares. The provisions of s [CD 26](#) specify the extent to which the liquidator's distribution is a dividend. For this purpose, the notion of a liquidation encompasses both a conventional liquidation and the more informal removal of the company from the register of companies. To the extent that the liquidator's distribution comprises dividends, the liquidator is able to attach imputation credits to the dividends.

The liquidation rules also apply to companies that migrate from New Zealand by treating them, for tax purposes, as if they were in liquidation (s [CD 26\(1\)\(b\)](#) and [¶16-870](#)).

A distribution to shareholders by a company in liquidation is not a dividend to the extent of:

- # the available subscribed capital (ASC) per share calculated under the ordering rule, and
- # the available capital distribution amount (ACDA) calculated under s [CD 44](#).

This exclusion effectively excludes from dividend classification returns of ASC and approved capital gains distributed by a company in liquidation. However, a capital gain amount distributed to an associated non-resident company on liquidation is a dividend for NRWT purposes (para (c) of the definition of "dividend" in s [YA 1](#)).

For a statutory producer board in liquidation, any return of a levy specifically charged for capital development is also not a dividend.

Calculation of the available capital distribution amount

The ACDA is calculated in relation to a share. This reflects the liquidator's approach of paying an amount per share, calculated according to the company's reserves, in satisfaction of cancellation of the company's shares. In relation to a share in the course of a company's liquidation, the ACDA is calculated under the following formula:

$$(\text{receipt \# asc per share}) \times (\text{capital gains} + (\text{capital property distributed} \# \text{cost}) \# \text{capital losses}) \div (\text{total receipts} \# \text{total asc})$$

where:

receipt is the amount received by the shareholder on liquidation for the share

asc per share is the ASC per share calculated under the ordering rule for the share at the time of liquidation

capital gains is the total capital gains available for distribution but excluding any gain occurring upon distribution of the company's property in liquidation

capital property distributed is the total market value of the company's capital property distributed on liquidation

cost is the cost of the company's capital property distributed on liquidation

capital losses is total capital losses as from the beginning of the 1992–93 income year, but excluding any loss arising from distribution of the company's property on liquidation

total receipts is the total of all amounts received by shareholders on liquidation, and

total asc is the total ASC at the time of liquidation.

The ACDA is deemed to be nil if either multiplier in the formula is negative. A nil ACDA also arises if the company is not resident in New Zealand and insufficient information can be obtained to apply the formula.

Capital gain amount

Section [CD 44\(7\)](#) defines a capital gain amount in detail. The starting point is that a capital gain amount comprises gains (the excess over cost) from property that is not revenue account property.

Before 30 March 2017, a company that disposed of property under an arrangement with an associated person did not derive a capital gain amount, nor did it incur a capital loss amount: s [CD 44\(10B\)](#). This is sometimes known as the “tainted capital gains” rule. There was an exception for a disposal made on the liquidation of a close company to an associated person who was not a company (s [CD 44\(10C\)](#)).

The effect of the qualification was to confer non-dividend treatment on the gain that a close company in liquidation made when a capital asset was sold to associated natural person shareholders.

With effect from 30 March 2017, amendments made to s [CD 44\(10B\)](#) and [\(10C\)](#) have narrowed the scope of this “tainted capital gains” rule. For distributions made on or after 30 March 2017, the rule only applies to asset disposals between companies that have at least 85% common ownership at the time of disposal, with the original owners still retaining at least 85% interest in the asset at the time of liquidation. Where, by the time of the liquidation distribution, the asset is owned by a company that does not have the required common ownership or by a non-corporate, the gain or loss is not tainted and is non-taxable. The narrowed rule applies to liquidations of a company from 30 March 2017. This means the new formula applies to capital gain or loss amounts made before that date as long as the liquidation occurs after.

The receipt of a capital gain in the liquidation of another company continues to have status as a capital gain amount. The capital gain amount can be distributed in the liquidation of the recipient company without classification as a dividend (s [CD 44\(7\)\(c\)](#)). The same treatment applies to a capital gain amount retained by an amalgamating company that passes only to the amalgamated company in the amalgamation (s [CD 44\(8\)](#)).

A gift that was not income is treated as a capital gain amount (s [CD 44\(7\)\(b\)](#)).

A capital gain amount can include capital gains that have been applied to pay a non-taxable bonus issue after 30 September 1988. This is provided the bonus shares are still on issue at liquidation (s [CD 44\(5\)](#)).

However, a company’s capital gain amounts derived after 31 March 1988 and before the 1992–93 tax year are reduced by the amount of capital losses suffered in the tax year in which the capital gain was made or in a later tax year before the 1992–93 tax year (s [CD 44\(6\)](#)).

A capital gain amount includes an amount attributable to a revaluation of livestock held under the herd scheme (s [CD 44\(7\)\(d\)](#)).

With effect from 1 April 2024, for the 2024–25 and later income years, any beneficiary income subject to the corporate beneficiary rule under s [HC 38](#) is treated as part of the capital gains amount (s [CD 44\(7\)\(dc\)](#) and [125-120](#)).

The difference between the consideration for disposal or acquisition of livestock and the value of that livestock under s [EC 4C](#) is regarded as a capital gain or loss by corporate parties to the transaction (s [CD 44\(7\)\(db\)](#)).

A capital gain amount also includes any item coming within the transitional provisions of s [CZ 9](#). These include amounts recognised as capital gains under the rules in force before 1 April 1988 and livestock, wine, brandy and whisky revaluations under provisions in force during the period including the 1985–86 to 1991–92 tax years (s [CD 44\(7\)\(e\)](#)).

The calculation of a capital gain amount does not include reinvested dividends that do not become part of the ASC of the company that issued the shares (s [CD 44\(13\)](#)).

Example:

TP Ltd was incorporated in 2005. TP goes into liquidation and the surplus available for distribution is \$3,300,000, comprising cash of \$2,050,000 and building with a market value of \$1,250,000. The building owned by the company cost \$850,000.

Equity includes:

- # \$1,000,000 share capital from the issue of 500,000 shares at \$2 per share (fully paid), and
- # \$600,000 realised capital gain upon the sale of a business to an arm’s length purchaser.

The building owned by the company cost \$850,000 and has a current market value of \$1,250,000.

Therefore, the distribution per share is:

$$\$3,300,000 \div 500,000 = \$6.60$$

The ASC per share calculated under the ordering rule is: $\$1,000,000 \div 500,000 = \2.00 .

The ACDA formula for each shareholder becomes:

$$(6.60 - 2.00) \times (600,000 + (1,250,000 - 850,000)) \div (3,300,000 - 1,000,000) = \$2.00 \text{ per share}$$

Law: IT07 ss [CD 26](#), [CD 44](#), [HC 38](#), [YA 1](#) (“[available capital distribution amount](#)”, “[available subscribed capital](#)”, “[dividend](#)”, “[liquidation](#)”)

Last reviewed on 31 December 2025

Dividend exclusions — property supplied intra-group [¶16-725]

[¶16-725]

[Click to open document in a browser](#)

There are 2 exclusions from dividends for a transfer of company value between associated companies. The exclusions apply when:

- # a company (the first company) makes a transfer of company value to another company (associated company), and
- # the transfer of company value would be a dividend because the associated company is associated with a shareholder in the first company.

Small transfer of company value

A transfer of company value by the first company to the associated company is not a dividend when:

- # the transfer is the making available of property for less than market value (other than loans), and
- # total dividends by this means in the income year of the first company do not exceed \$10,000.

Downward transfer of company value

A transfer of company value by the first company to the associated company is not a dividend when:

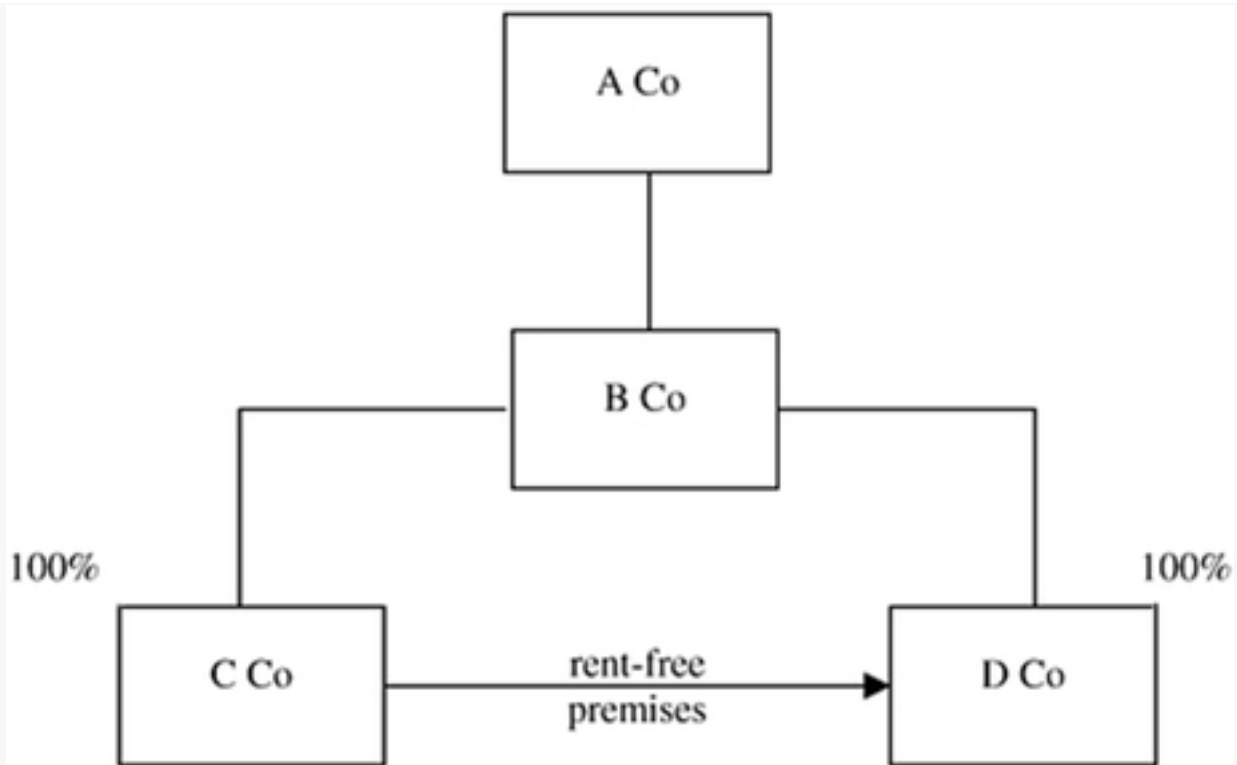
- # the first company:
 - # holds a direct voting interest in the associated company, or
 - # is associated with another company (the parent company) that has a direct voting interest in the associated company and that could have received the transfer of company value without the benefit being assessable income or non-resident passive income, and
 - # the associated company does not hold a direct voting interest in the first company, and
 - # there is no person apart from the parent company that holds both:
 - # a voting interest or a market value interest in the first company, and
 - # a voting interest or a market value interest in the associated company of more than 10%.

The third requirement of a common interest exceeding 10% is generally to be ascertained only by having regard to a shareholder's direct voting or market value interests. The principles to apply are:

- # direct interests only are taken into account to ascertain shareholders' or the associated company's, other than the parent company's, interests in the first company
- # the direct voting and market value interests of the first company and the associated company are taken into account to ascertain whether a shareholder, other than the parent company, holds a voting or market value interest of more than 10% in the associated company.

Example:

Under the following corporate structure, C Co allows D Co to occupy a building rent-free, even though the market value of the rental would be at least \$100,000 per annum.



Potentially, the benefit provided by C Co, as the first company, to D Co, as the associated company, is a dividend because both companies are associated. The exclusion from a dividend can be considered:

- # although C Co does not have a voting interest in D Co, it is associated with B Co as the parent company which does have a voting interest in D Co
- # B Co could have received the rent-free use of the building without the benefit being assessable income (because dividends between wholly-owned companies are exempt income)
- # only B Co has a voting interest in C Co, as the first company, and a voting interest of more than 10% in D Co, as the associated company.

The benefit provided by C Co is excluded from being a dividend.

Source: New Zealand Society of Accountants July 1995 *Tax Workshop*, prepared and presented by KPMG Peat Marwick and reproduced with permission from the NZSA.

The exclusion does not apply to a transfer of company value that is treated as a dividend under s [FA 3](#) (recovery of cost of shares that are revenue account property) ([¶16-785](#)).

Law: IT07 s [CD 27](#)

Last reviewed on 31 December 2025

Dividend exclusions — share transfers within wholly-owned group [¶16-730]

[¶16-730]

[Click to open document in a browser](#)

A transfer of an excepted financial arrangement held on revenue account to another member of a wholly-owned group of companies is not a dividend. Nor does the transfer generate a realised loss that can be taken into account for tax purposes.

Law: IT07 ss [CD 28](#), [ED 2\(4\)](#)

Last reviewed on 31 December 2025

Dividend exclusions — company splits (demergers) by listed Australian company [¶16-732]

[¶16-732]

[Click to open document in a browser](#)

Certain transfers of shares received by New Zealand shareholders as a result of a company split (demerger) by a listed Australian company are not treated as a dividend.

A company split (demerger) describes the situation when a company (or a group of companies) splits off part of itself and distributes that part to its shareholders. The effect of the demerger is that shareholders, instead of having one shareholding in the company, have 2 different shareholdings in separate companies and the shares can be traded separately. The previous tax treatment was that the full value of the shares in the demerged company is a dividend for the shareholder. However, where the demerger is, in substance, the division of a corporate group rather than a distribution of income, then following the demerger the shareholders still have the same proportionate interests in the same underlying assets. The demerger can be thought of as akin to a share split, with the assets of the corporate group divided between the split shares. This means, in substance, there is no distribution of income or underlying assets by the corporate group on a demerger that should be taxed as a dividend. A shareholder's economic ownership has not changed.

Section [ED 2B](#) was enacted to counter the problem. It is restricted in scope to demergers effected by ASX-listed Australian companies. These are defined as companies that:

- # are resident in Australia
- # are treated as resident only in Australia under Australia's DTAs
- # are included on the official list of ASX Limited
- # are not foreign entities falling outside the FIF exemptions (Sch [25](#) pt [B](#)), and
- # must keep a franking account for Australian income tax purposes.

The transfer by an Australian Stock Exchange (ASX) listed company of shares in a subsidiary company is not a dividend provided:

- # the shares are used to form a new company (the subsidiary company) owned by shareholders in the splitting company, and
- # the share transfer is not assessable or exempt income under the Australian income tax legislation.

The first requirement above was expanded with retrospective effect in 2019 to include demergers that take place in the context of a group of companies. No dividend will arise where shares in the subsidiary company that is a member of the same group of companies as the splitting company are transferred to shareholders of the splitting company or another company that is a member of the group, and the subsidiary is a member of the group immediately before the share transfer.

Previously there was also a requirement that shareholders' interests in the demerged company were proportionate to their shareholding immediately before the demerger. However, this was later retrospectively repealed.

Cost of shares

For taxpayers who hold the ASX-listed company's shares as revenue account property, the following formulas determine the cost of the shares:

Cost of shares in splitting company held after the share transfer

The cost of shares in the splitting company that are held by a shareholder after the share transfer is calculated under the formula:

$$\text{cost before transfer} \times \text{value after transfer} \div (\text{value acquired shares} + \text{value after transfer})$$

Cost of shares acquired in new company

The cost for a shareholder of the shares acquired in the new company is calculated as:

$$\text{cost before transfer} \times \text{value acquired shares} \div (\text{value acquired shares} + \text{value after transfer})$$

where:

cost before transfer is the cost for the shareholder, immediately before the share transfer, of the shares in the splitting company held by the shareholder immediately after the share transfer

value after transfer is the market value of the shares in the splitting company held by the shareholder immediately after the share transfer

value acquired shares is the market value of the shares in the subsidiary held by the shareholder immediately after the share transfer.

Provision is made for the effects of a demerger on the ASC of the companies once the share transfer has occurred. For each share in the subsidiary company, the ASC is the amount calculated under s [CD 43](#). If it is impractical to ascertain the ASC amount, then it is zero.

For the splitting company, the ASC of shares held in the company immediately before the share transfer is reduced by the ASC calculated for shares held in the subsidiary company immediately after the share transfer.

Law: IT07 ss [CD 29C](#), [ED 2B](#)

Last reviewed on 31 December 2025

Dividend exclusions — payments by foreign superannuation scheme [¶16-733]

[¶16-733]

[Click to open document in a browser](#)

A set of rules applies for the taxation of New Zealand residents on interests in, and income from, foreign superannuation schemes, provided they are not FIF superannuation interests ([¶15-317](#)). Section [CD 36B](#) provides that an amount paid by a company that is a foreign superannuation scheme is not a dividend if the person derives the amount as a foreign superannuation withdrawal or a pension.

Law: IT07 s [CD 36B](#)

Last reviewed on 31 December 2025

Dividend exclusions — foreign investment fund income [¶16-735]

[¶16-735]

[Click to open document in a browser](#)

There is an exclusion from dividends for a distribution received from an attributing interest in a corporate FIF where FIF income or loss is calculated under the comparative value method, the deemed rate of return method, the cost method or the fair dividend method, and the amount derived is excluded income under s [CX 57B](#). When the fair dividend rate method has been applied, the dividend exclusion does not apply if the person held a direct income interest of 10% or more in the FIF at the beginning of the relevant income year and the FIF satisfied the exclusion for Australian resident FIFs under s [EX 35\(b\)](#) and its income tax liability was not reduced under s [EX 35\(c\)](#).

The exclusion does not apply to:

- # portfolio investment entities (PIEs), entities eligible to be PIEs, or life insurance companies, and
- # if the FIF is a foreign PIE equivalent.

Law: IT07 s [CD 36](#)

Last reviewed on 31 December 2025

Dividend exclusions — resident's restricted amalgamations [¶16-740]

[¶16-740]

[Click to open document in a browser](#)

There is an exclusion from dividends for an amount derived by an amalgamated company (the continuing company) under a resident's restricted amalgamation that arises from:

- # the acquisition of property from the amalgamating company (the extinguished company), or
- # the amalgamated company being relieved of an obligation owed to the amalgamating company.

The effect of this exclusion is to prevent dividend treatment applying to the property of the amalgamating company that passes to the amalgamated company under a resident's restricted amalgamation. There is no additional provision that addresses the position of shareholders and the possible benefits they may receive under an amalgamation.

Law: IT07 s [CD 35](#)

Last reviewed on 31 December 2025

Dividend exclusions — flat-owning companies [¶16-745]

[¶16-745]

[Click to open document in a browser](#)

A dividend does not arise from the provision of residential property by a flat-owning company. A flat-owning company is a company whose constitution provides an entitlement to shareholders to use specific residential property in New Zealand and whose only significant assets are such residential properties and accompanying funds.

Law: IT07 s [CD 31](#)

Last reviewed on 31 December 2025

Dividend exclusions — producer boards and co-operative companies [¶16-750]

[¶16-750]

[Click to open document in a browser](#)

A statutory producer board or a co-operative company may choose to treat a notional distribution as a dividend by attaching imputation credits to the notional distribution ([¶16-575](#)). A subsequent distribution that corresponds to the notional distribution is not a dividend if the later distribution is based on produce transactions with the entity (or alternatively on member levies in the case of a statutory producer board).

A co-operative company can elect not to treat certain distributions to members as dividends. To be eligible to make such an election, the company and the member need to satisfy certain New Zealand residency requirements and the distribution must be based on the member's transactions with the company involving trading stock other than intangible property.

The distributions need not be in strict proportion to the member's transactions with the co-operative — a variation of up to 20% is permitted.

The company is entitled to a deduction for the amount that is not a dividend and that same amount is income of the member for tax purposes.

Law: IT07 ss [CD 2](#), [CD 33](#), [CD 34B](#), [DV 11](#)

Last reviewed on 31 December 2025

Available subscribed capital [¶16-760]

[¶16-760]

[Click to open document in a browser](#)

The concept of available subscribed capital (ASC) is relevant when a company cancels its shares and pays consideration to compensate the shareholder for the cancellation. The ASC becomes the measure of the payment that may be excluded from dividend classification. Whether there is exclusion will depend on the circumstances of the cancellation and application of the requirements for exclusion.

Essentially, ASC represents a reserve that the company may be able to return to shareholders without dividend classification. This reflects the capital nature of the transaction when the capital was first contributed to the company by its shareholders.

There are 4 components to a company's ASC. These comprise:

- # the company's paid-up share capital on 1 July 1994, if the company was in existence on that date
- # amounts received by the company after 30 June 1994, as consideration for the issue of the company's shares of the same class
- # consideration the company has previously paid after 30 June 1994, on cancellation of its shares and that did not give rise to a dividend
- # consideration the company paid before the calculation time on the cancellation or buyback of shares while it was a LTC ([¶16-010](#)).

The first 2 components are added together to give the maximum possible ASC. That figure is reduced by the third and fourth components incorporating previous reductions of ASC that were not dividends.

Paid-up share capital

A company's ASC comprises any share capital that the company may have had on 1 July 1994, plus consideration received by the company after 30 June 1994 for the issues of its shares but reduced by amounts paid after that date upon share cancellations that are not dividends. The ASC is calculated on a class basis if the company has more than one class of share on issue.

The share capital that the company may have had on 1 July 1994 incorporates:

- # paid-up capital on 1 July 1994 but excluding bonus issues made after 30 September 1988, unless the bonus issue was:
 - # a taxable bonus issue, or
 - # paid up by the application of qualifying share premium, being share premium that had been credited to the company's share premium account and that did not result from a share issue in the course of the takeover of another company, and
 - # qualifying share premium received before 1 July 1994 that has not been applied before that date to pay up shares.

In terms of the ASC implications of a deemed merging of share classes that may have occurred upon a re-registration of a company, the Commissioner's view is that any merging of classes did not result in a loss of ASC (*Tax Information Bulletin* [¶107-114 Vol 10, No 7](#), July 1998 at 8). The new class of share created by the deemed merger of former classes of share effectively was to be ascribed with the ASC of those former classes. Effectively, paid-up capital as at 1 July 1994 can be regarded as becoming part of the ASC of the new class of share created by the merger.

Paid-up capital as at 1 July 1994 includes the par value received upon issue of the shares even though the company may have subsequently treated the par value as reduced by capital losses suffered by the company (*Tax Information Bulletin* [¶187-103 Vol 18, No 7](#), August 2006 at 6).

A company with altered shares may have decided to make allowance for the effect of deemed registration by altering rights attaching to a share class. In that event the value of the consideration received for the shares

is calculated when the altered shares join the new class of share. The consequences are that, upon the company altering shareholder rights to rectify the effect of deemed registration, the ASC of the rectified share class is reached by dividing the ASC of the new class by the number of shares in the class immediately before rectification.

Consideration for the issue of shares

Detailed provision is made to specify what consideration received for issue of shares after 30 June 1994 may be treated as additions to the company's ASC.

The starting point is what the board of the company determined is the consideration for the share issue. The duties of the board include determining the consideration received for issue of the company's shares.

ASC encompasses:

- # the money or money's worth alternative under a bonus issue in lieu
- # the amount offered by the company to repurchase a share issued under a PDP
- # the amount of the dividend under a taxable bonus issue elected by the company
- # the amount of the debt released or converted when shares are issued in satisfaction of a debt claim against the company.

ASC does not include:

- # a non-taxable bonus issue
- # a taxable bonus issue between wholly-owned companies that is exempt income to the extent that the dividend is not fully credited
- # a taxable bonus issue from a foreign company that is an item of exempt income to the extent not fully credited.

Note that imputation credits attached to a taxable bonus issue are not included in the ASC. This also allows for equal treatment between taxable bonus issues and ordinary cash dividends that are reinvested.

To calculate the extent of crediting of a dividend, the following formula applies:

$$\text{dividend excluding credits} \times \text{actual ratio} \div \text{maximum ratio}$$

where:

- dividend excluding credits** is the amount of the dividend exclusive of imputation credits and dividend withholding payment credits
- actual ratio** is the total of the imputation ratio and the dividend withholding payment ratio of the dividend, and
- maximum ratio** is the maximum permitted imputation ratio under the imputation and dividend withholding payment rules.

Debt forgiven within an economic group

Debt forgiven within a wholly-owned group of companies, or within lesser degrees of ownership, may be treated as having been paid for the purposes of the FA rules. That would preclude the recognition of BPA income on account of unpaid debt. The debt forgiveness may consequentially result in an increase in the ASC amount of the debtor company. In the wholly-owned group context, the increase to the ASC occurs where all of the following apply:

- # the creditor and debtor are in the same wholly-owned group of companies with the debtor resident in New Zealand or directly owned by New Zealand resident companies
- # the creditor is a non-resident company
- # the debt has not previously been held outside of the wholly-owned group, and
- # the ASC calculation is being made for the debtor company or a company that directly owns the debtor company.

Outside the context of a wholly-owned group of companies the increase in ASC occurs where the creditor holds direct voting interests or market value interests in the debtor company and there is partial deemed payment of the debt commensurate with those interests. The increase in ASC for the debtor company is the amount of debt that is deemed to have been paid for the purposes of the FA rules. The debt release is effectively treated as a capital injection into the debtor company. The amount included in the ASC cannot exceed the creditor's voting interests or market value interests in the debtor company. The addition to ASC is consequentially treated as an addition to the cost base of the shares of the creditor in the debtor (s [DV 18B](#)).

Reinvested exempt dividends

ASC does not include any amount attributable, directly or indirectly, to an exempt dividend (whether between wholly-owned companies or from a foreign company) that is reinvested in the company. This exclusion applies to the extent that the dividend is not fully credited. This category of exclusion extends to an amount attributable to a dividend paid when the company was a controlled foreign company (CFC) and the dividend was paid to another CFC. Such a dividend would have been exempt income of the CFC at the time of its receipt.

This restriction ensures that the addition to ASC for reinvested dividends that were exempt income is limited to dividends funded out of tax-paid reserves. In the absence of the restriction, reserves that have not been taxed could be distributed in liquidation without being classified as a dividend.

Limitation for certain share-for-share exchange transactions

ASC may be subject to a limitation where the consideration received for the issue of shares occurs under certain share-for-share exchange transactions. The limitation applies where:

- # the company receives, directly or indirectly, consideration that is in the form of shares in another company
- # there is at least one person who comes to hold a voting interest of at least 10% in both companies immediately after the share issue, and
- # the transaction is not an amalgamation.

The limitation has application in takeover situations, when a company issues its shares to the shareholders of the target company in return for the receipt of the shares of the target company. If that kind of transaction results in at least one shareholder owning 10% or more of the bidder, there is a limit to the addition of ASC to be ascribed for issue of the bidder's shares. The limit is to the effect that the addition to ASC cannot exceed the ASC of the acquired company, as adjusted for any recent issue of shares made in anticipation of the acquisition. The limitation ensures that the ASC of the bidder company is not increased beyond the ASC of the target company.

From 30 March 2022, s [CD 44\(7B\)](#) ensures that share-for-share exchanges are counted appropriately for the purposes of determining ASC. The inserted provision amends the calculation of the ACDA arising when an acquiring company disposes of shares in another company (the target company) acquired in a share-for-share exchange to an unassociated party. The ACDA is increased by the amount that was excluded from Acquirer's ASC by s [CD 43\(10\)](#) when those shares were acquired. This allows a distribution of the same amount to not be treated as a taxable dividend upon the liquidation of Acquirer.

This provision applies to distributions upon the liquidation of an acquiring company on or after 30 March 2022, which may include distributions arising from the proceeds of the sale of shares in a target company before that date. See *Tax Information Bulletin* [¶1345-102 Vol 34, No 5](#), June 2022 at 185 for more details and an illustration of the issue the amendment resolves.

Exclusion for consideration for rights surrender

ASC does not include an amount received by a company under a share issue in consideration for shareholders giving up rights of membership in the company or an associated company. This exclusion

is subject to the qualification that any existing ASC for the rights surrendered continues to be eligible for inclusion in the company's ASC. The Commissioner has explained that this restriction is intended to ensure that companies cannot make tax-free conversions into ASC reserves of amounts that would ordinarily be taxable when distributed to shareholders. ASC does not include consideration received by a company for the issue of its shares where the consideration is in the form of giving up or varying existing ownership rights or interests in the company. ASC that already exists for the rights is preserved (*Tax Information Bulletin* [¶119-111 Vol 11, No 9](#), October 1999 at 9).

Exclusion for treasury stock

ASC does not include consideration received by the company on the disposal of treasury stock. This restriction applies if the disposal was taken into account to determine the amount paid by the company on a previous treasury stock acquisition.

Amalgamations

The ASC implications of a certain amalgamation is specifically addressed where the amalgamation is a short form amalgamation under s [222\(2\)](#) of the C93 between companies directly or indirectly wholly-owned by another company. The effect is that the ASC of the amalgamated company (the continuing company) is preserved. The ASC of the amalgamated company includes the ASC of the amalgamating company (the extinguished company).

QWBAs on ASC for amalgamated companies

There had been some suggestion that the operation of s [CD 43\(15\)\(a\)\(iii\)](#) meant that consideration received for shares issued by an amalgamated company before the date of the amalgamation might be excluded from the amalgamated company's subscription amount. QWBA [QB 25/06](#), "How does an amalgamated company calculate its available subscribed capital following an amalgamation?" clarified that this is not the case and that s [CD 43\(15\)\(a\)\(iii\)](#) is only to prevent double-counting of an amalgamated company's subscriptions. The item further concludes that the ASC of an amalgamated company does not include the ASC of amalgamating companies that are subsidiaries of other amalgamating companies. [QB 25/06](#) contains a number of practical examples to illustrate the calculation of ASC upon an amalgamation.

[QB 25/06](#) replaces [QB 13/02](#), "Income tax — determining the 'subscriptions' amount for an amalgamated company under the ASC rules" and [QB 14/05](#), "Income tax — ASC rules: calculating the 'subscriptions' amount for an amalgamated company when the shares of an amalgamating company are held by another amalgamating company".

Employee share schemes

For a discussion on the effect on ASC of the issue of shares in an employee share scheme, see [¶13-470](#).

Other entities

If an emigrating company has been treated under s [FL 2](#) as paying a distribution to shareholders, the ASC of the emigrating company includes the amount of that distribution that is a dividend.

The ASC of a Māori authority includes the taxable income derived by the authority before the end of the 2003–04 tax year.

The value of the interest of a superannuation fund in a group investment fund at the close of 31 March 1999 is part of the fund's subscriptions included in its ASC.

As a measure to prevent double counting, consideration received for the issue of shares does not include the par value of shares subscribed before 1 July 1994.

When calculating the ASC of shares issued in a foreign currency, the appropriate conversion into New Zealand dollars is made at the time of the calculation of ASC. The conversion is not based on an exchange rate in force at the time at which the shares were issued. This approach effectively eliminates any currency fluctuation since issue of the shares.

The Commissioner has addressed the ASC implications of the establishment of energy companies as successors to electric power boards and municipal electricity departments. The conclusion reached was that ASC could be recognised in relation to the shares issued by the energy companies. The companies had received consideration for the issue of shares in the form of the business undertakings transferred to them by the power boards and electricity departments (*Tax Information Bulletin* [¶112-109 Vol 11, No 2](#), February 1999 at 18).

Returns of available subscribed capital

The general proposition is that ASC is reduced by all amounts paid by the company after 30 June 1994 on the cancellation of shares and that were not a dividend. Some specific items supplement the general proposition.

No reduction to ASC is made for any distribution recovered by the company from shareholders.

There is a reduction to ASC where shares in an amalgamated company are held by an amalgamating company but cancelled in the course of the amalgamation. The amount of the reduction to ASC of the amalgamated company is increased by an amount calculated using the following formula:

$$\text{cancelled shares} \times \text{asc per share}$$

where:

cancelled shares is the number of cancelled shares, and
asc per share is the ASC per share of the cancelled shares.

An on-market acquisition of the company's shares by an associate is also addressed. There is no reduction to the company's ASC where the share acquisition by the associate is treated as an on-market cancellation giving rise to a debit to the company's ICA.

Record keeping for distributions of available subscribed capital

IR issued [OS 22/01](#), "Available Subscribed Capital record-keeping requirements", which sets out the Commissioner's view of the law around record keeping for the purposes of supporting ASC calculations and tax-free distributions to shareholders.

This statement has arisen out the number of cases the Commissioner has encountered where they have concerns around the company's calculation of ASC and the taxpayers have been unable to provide sufficient information on request (insufficient records retained) to substantiate their tax positions taken at the time that the distribution was made. This is particularly common when a period of time greater than 7 years has elapsed since the amount of ASC increased (the ASC uplift) to when the distribution occurs which utilises the ASC uplift. Note with the advent of the 10-year bright-line test this may result in an increase in the period that records should be retained. The Commissioner's approach in cases where a taxpayer does not retain records is to dispute the tax position taken.

The onus of proof is on the taxpayer to show that the basis for their self-assessment is correct, hence record keeping is important for supporting the tax position taken on return of capital distributions.

The Commissioner reminds taxpayers that under s [22\(2\)](#) of the TAA, taxpayers are required to keep sufficient records to allow the Commissioner to ascertain a taxpayer's tax position for a period of at least 7 years after the end of the income year to which they relate. An additional 3 years of records should be retrained in case of investigation or audit.

Law: IT07 ss [CD 43](#), [OZ 13](#); TAA s [22\(2\)](#); C93 s [222\(2\)](#)

Last reviewed on 31 December 2025

Ordering rule and slice rule [¶16-770]

[¶16-770]

[Click to open document in a browser](#)

The ordering rule and the slice rule apply to ascertain the amount of ASC that may be attributed to a share. The attribution is relevant to the amount of a return of ASC that is not a dividend. The ordering rule and the slice rule are applicable to unlisted unit trusts and group investment funds. The ordering rule is also applied to the ASC reduction for treasury stock and to calculate the debit to a company's ICA that may arise following an on-market share repurchase and cancellation.

Ordering rule

The ordering rule for the calculation of the ASC per share is applied to all cancelled shares of the same class as the share cancelled. The ordering rule is incorporated in the following formula:

$$\text{available subscribed capital of class} \div \text{shares being cancelled of class}$$

where:

available subscribed capital of class is the ASC of all shares of the same class at the time of calculation, and

shares being cancelled of class is the number of shares of the class being cancelled.

The ordering rule effectively allocates subscribed capital on a “first come, first served” basis. The ASC of the company is treated as having been distributed to those eligible to receive it, rather than to those shareholders who may have contributed it. In addition to applying to a conventional company, the ordering rule applies to listed trusts and group investment funds.

Example:

VM Ltd issued a total of 20 million shares in consideration of the receipt of \$1 per share. Following the sale of the company's principal investment for a profit of \$8 million, VM Ltd proposes a pro rata share cancellation. VM Ltd proposes to cancel 5 million shares upon payment of \$1.60 per share cancelled. The ordering rule would be applied as: $20,000,000 \div 5,000,000 = \4.00 per share.

If the shareholder cannot obtain sufficient information to make the calculation, the ASC per share is zero. This applies when the company in question is not resident in New Zealand.

Slice rule

The slice rule for the calculation of the ASC per share is applied to shares of the same class on issue at the time of calculation. The formula for the calculation is as follows:

$$\text{available subscribed capital of class} \div \text{shares of class}$$

where:

available subscribed capital of class is the ASC of all shares of the same class at the time of calculation, and

shares of class is the number of shares of the class on issue at that time.

The effect of the formula is to allocate ASC evenly over shares of the class.

Example:

WP Ltd had issued a total of 5 million shares for a consideration of \$1 per share. Successful trading has resulted in the addition to equity of \$2.5 million in retained earnings. WP Ltd contemplates a return of capital. The ASC of WP Ltd calculated under the slice rule would be: $5,000,000 \div 5,000,000 = \1.00 per share.

The slice rule comes to have application to an unlisted trust or unlisted group investment fund that issues units on the basis that the slice rule applies on their redemption (or, as an alternative formulation, that the ordering rule does not apply). When units in the trust are redeemed, there is no dividend to the extent of their redemption proceeds that equal the ASC per share as calculated under the formula.

Law: IT07 s [CD 23](#)

Last reviewed on 31 December 2025

No double tax on share cancellation [¶16-780]

[¶16-780]

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An amount derived by a shareholder on the cancellation of a company's shares may be a dividend. This may be because the cancellation does not satisfy the bright line tests or the company is in liquidation. If the shares are held on revenue account, the cancellation is treated as a disposal that may or may not produce assessable income. It is necessary to allocate taxation between the 2 potential categories of income.

When ascertaining the amount of assessable income derived from the cancellation, a deduction from the cancellation proceeds is made for any component that is a dividend exclusive of any imputation credits attached and the final amount cannot be less than 0. Effectively, priority is given to taxation as dividends. In addition, no deduction is made for a dividend to the extent it is exempt income from equity (under ss [CW 9](#) and [CW 10](#)).

Law: IT07 s [CD 53](#)

Last reviewed on 31 December 2025

Cancellation of shares held on revenue account [¶16-785]

[¶16-785]

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A shareholder holding shares on revenue account may be required to undertake adjustments when some of the shareholding is cancelled under an off-market share repurchase by the company whose shares are repurchased. These adjustments concern the impact of the cancellation on the remaining shares in the company that the investor continues to hold.

The first adjustment applies if all of the cancellation proceeds are a dividend under an off-market cancellation. The cancellation is likely to be a dividend because the cancellation failed the bright line or in lieu of dividends test. The adjustment required is that the cost of the shares cancelled must be apportioned on some fair basis and added to the cost of the remaining shares. In addition, the cancellation is treated as not giving rise to a disposal for the purposes of the revenue account provisions.

A second adjustment may be required if there is an off-market cancellation that takes place at below the market value of the shares at the time of first notification to shareholders of the cancellation. In this situation, the adjustment again is to the cost base of the remaining shares. The cost of the shares cancelled must be added to the cost of the remaining shares in accordance with the following formula:

$$\text{share cost} \# (\text{cost pre-cancellation} \times \text{amount from cancellation} \div \text{market value})$$

where:

share cost is the cost of the cancelled share to shareholders

cost pre-cancellation is the aggregate cost of all the shareholder's shares of the same class before cancellation

amount from cancellation is the consideration derived by the shareholder from cancellation of the share, and

market value is the market value of all the shareholder's shares in the same class before the cancellation.

The effect of this formula is to link the allowable deduction for the cost of shares sold to the percentage of the shareholder's interest that is sold. For example, if a shareholder is disposing of 5% of the value of its interest in a class, a deduction should be permitted for 5% of the cost of shares that the shareholder holds in that class.

Example:

A Co bought 100 shares for \$1 each in B Co and holds them on revenue account. B Co buys back 25 shares at \$0.50 per share. The market value of each share is \$2.50. The distribution is not a dividend, but is sourced from available subscribed capital as a 15% interest reduction.

A Co calculates the loss or gain on sale as follows:

Cost per share		\$1.00
Amount excluded from cost		
\$1 #	$(\$100 \times \$0.50)$	
	\$250	\$0.80
Adjusted cost of share disposed		\$0.20

A Co is disposing of \$12.50/\$250 of its interest, or 5% of the market value of the interest. The aggregate allowable cost deducted is \$5 (0.20×25), or 5% of the total cost of all the shares.

Alternatively, this may be seen as A Co disposing of shares at 20% of their value and being able to claim only 20% of their cost.

The gain on sale is therefore \$7.50 (sale price (\$0.50) # cost (\$0.20) = \$0.30 per share $\times$ 25). The cost price of the remaining shares increases to \$1.26 per share ($\$95/75$ shares), or \$95 in total.

See *Tax Information Bulletin* [166-103 Vol. 6, No. 6](#), December 1994 at 14.

Law: IT07 s [FA 4](#)

Last reviewed on 31 December 2025

Dividends between companies [¶16-800]

[¶16-800]

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The general proposition is that dividends are a class of assessable income in the hands of the shareholder who derives the dividends. There are some modifications if the shareholder is also a company.

Wholly-owned group companies

Dividends paid between members of a wholly-owned group of companies (companies with 100% common voting interests and, where relevant, market value interests) are exempt income (s [CW 10](#)). Companies do not have to have the same tax balance date or satisfy the Commissioner that no timing advantage will occur.

For the exemption to apply, the dividend must also be:

- # derived by a company that is not a foreign company, or a New Zealand resident company treated as being non-resident under a DTA, and
- # derived by a company that is part of the same wholly-owned group at the time the dividend is derived, and
- # derived from a company that is neither a foreign company nor a company that can derive only exempt income

and must not be:

- # before 1 April 2022, derived by a local authority from any council-controlled organisation, energy company or port company or subsidiary of a port company (see note below)
- # derived by a friendly society from a company registered as an insurer under the Accident Insurance Act 1998 that is under the friendly society's control, or
- # derived by a trustee in trust for any sickness, accident or death benefit fund from a company registered as an insurer under the Accident Insurance Act 1998 that is under the control of that trustee.

Dual resident wholly-owned companies

For dual resident companies, where the dividend is declared within a wholly-owned group, the dividend is not allocated to the income year in which the recipient company receives the dividend. In these cases, the dividend income is deferred to the "DRCD deferral date" (which is the second anniversary of the date the dividend was paid). This gives the company the opportunity to correct their tax residence within 2 years to ensure the domestic dividend exemption applies. The amended deferral of income rule only applies to those dividends that meet the criteria of the domestic dividend exemption in s [CW 10\(1\)](#), [\(1B\)](#), [\(5\)](#) and [\(6\)](#).

For a detailed discussion of the amended dividend rules and corporate migration rules, see *Tax Information Bulletin* [¶356-102 Vol 35, No 6](#), July 2023 at 54.

Close company beneficiary income

From 1 April 2024, s [HC 38](#) provides that beneficiary income derived by certain close companies is to be treated as trustee income and taxed at 39% ([¶125-120](#)). The dividend exemption in s [CW 10](#) overrides the corporate beneficiary rule in s [HC 38](#) (s [HC 38\(3\)\(b\)](#)). This provision is relevant for a wholly-owned group of close companies owned by a trust. For example, company A and company B are both wholly-owned by a trust and both are beneficiaries of the trust. If company A pays a dividend to the trust and the trust subsequently distributes the dividend as beneficiary income to company B, this dividend income is exempt income for company B and s [HC 38](#) does not apply.

Local authority dividends

For the 2022–23 and later income years, dividends derived by local authorities are exempt from income tax and are no longer excluded under s [CW 10\(3\)](#). Dividends derived by a local authority from a council-controlled organisation, port company, or energy company are exempt income under s [CW 10B](#).

In addition, dividends derived by a holding company which is a council-controlled organisation from a council-controlled organisation with 100% public ownership are exempt income.

Before the amendments, the income of a local authority was exempt from income tax except for income earned from a CCO, a port company or an energy company. The amendments are put in place to ensure that the tax treatment of dividends for these entities is consistent with the tax treatment of dividends with other exempt entities and the integrity of local government taxation is improved.

Dividend from foreign company

Dividends derived from a foreign company by a New Zealand company are also exempt income (s [CW 9](#)). There are a number of exclusions to this general rule, including:

- # dividends from a direct income interest in certain FIFs (comprising shares in ASX-listed Australian companies, Australian unit trusts with adequate turnover or distributions, certain venture capital investments into New Zealand companies that have since migrated, and certain grey list companies)
- # dividends from fixed-rate foreign equity
- # dividends from deductible foreign equity
- # dividends derived by a portfolio investment entity
- # in certain circumstances, dividends derived by a person from a direct income interest of 10% or more in an Australian resident FIF.

A “foreign company” is defined in s [YA 1](#) as a company that is not resident in New Zealand, or a company that is treated under a DTA as not being resident in New Zealand.

Law: IT07 ss [CW 9](#), [CW 10](#), [HC 38](#), [YA 1](#) (“foreign company”)

Last reviewed on 31 December 2025

Liquidation of a company [¶16-850]

[¶16-850]

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The liquidation of a company raises a number of aspects.

Authorisation

The person appointed as liquidator must consent to act before the liquidation is commenced (*C of IR v Edmonton Group Ltd* (2004) 21 NZTC 18,679).

QWBA QB 20/03, “First step legally necessary to achieve liquidation when a liquidator is appointed”, confirms that the first step legally necessary to achieve a long-form liquidation is a shareholders’ resolution appointing a named liquidator as required by the C93 (¶16-860).

The liquidator as the person responsible for operation of a company in liquidation would need to make all necessary returns of income incorporating the company’s trading activities. The Commissioner has the power at any time to demand that a return of income be filed in relation to a company in liquidation. The demand may be for a specified period or in respect of a particular transaction (s 44 of the TAA).

In some instances, possible application of the capital limitation to prevent the deduction of expenses may be an issue. This is because of the capital complexion, in part at least, of the liquidation process. The process may involve realisation of the company’s capital structure. Nonetheless, expenses fairly referable to continued operation of the company’s trading operations can be expected to be allowed as a deduction.

Distributions on liquidation are discussed at ¶16-720.

Tax losses

The fact of liquidation may be regarded as having no impact on the ability of the company to carry forward a loss balance from a prior income year. Liquidation does not impact on the voting interests carried by shares of the company. Liquidation merely affects management of the company upon the control of operations passing from the company’s directors to the liquidator.

The position was reviewed in Australia in *FC of T v Linter Textiles Australia Ltd (in liq)* 2005 ATC 4255. This case related to a situation involving both a loss company and its shareholder being placed in liquidation. The Court concluded that the loss company was not able to continue to carry-forward its losses because of the effect of liquidation of its shareholder company. (The law in Australia was later changed to reverse the *Linter* decision.)

One of the tests for the loss company being able to carry forward its losses was that the voting power in that company continued to be controlled, or capable of being controlled, by the same natural persons (disregarding any interposed companies). Upon liquidation of the shareholder company, the natural persons who formerly controlled the shareholder company ceased to do so. Those natural persons had ceased to be capable, for example, of carrying an ordinary resolution at a general meeting of shareholders of the loss company. The ability to exercise the rights attaching to the shares passed to the liquidator of the parent company as the person who assumed control of the assets of that company. Control of the shares of the shareholder company, also in liquidation, passed to the liquidator of that company.

In reaching this conclusion, the courts confirmed that the fact of liquidation did not impact on the voting rights carried by shares in the loss company that were held by the shareholder company. Those shares did not, for example, become subject to a trust in favour of the creditors and shareholders of the loss company. The shareholder of the loss company continued to be the beneficial owner of the shares in that company.

This supports the view that the commencement of the liquidation of a loss company would not prevent the continued carry-forward of its losses. The shareholder rights carried by those shares are not changed by the

liquidation of the company itself. The liquidation merely operates to change who may control the affairs of the company.

The liquidation of a company has the effect of remitting any debts owed by the company. If those debts have formed part of a tax loss that has been used against the income of another company in the same group of companies, the Commissioner is entitled to reassess the profit company to disallow the grouping of tax losses. The remitted debt ceases to be a deduction able to be taken into account to arrive at the tax loss. See *Hotdip Galvanisers (Christchurch) Ltd v C of IR* (1999) 19 NZTC 15,337 (CA).

Preferences

When a company is liquidated, the Commissioner ranks as an unsecured creditor for tax derived on income before the date of liquidation. Consequently, a liquidator would be unwise to pay the demands for tax immediately, merely to avoid late payment penalties, since doing so would amount to undue preference being given to one particular creditor over another.

Combined tax and earner-related payments deductions (excluding any late payment or shortfall penalties) made under the PAYE rules are held in trust for the Crown. This is also the case for deductions of employer superannuation contribution tax and NRWT.

Should the company become insolvent, any such tax deductions so held remain separate property and do not form part of the estate in liquidation (or upon the appointment of a receiver). They are deemed to become a debt due and payable to the Commissioner on the 20th of the month following the month in which the relevant payment to the employee is made.

Jennings Roadfreight decision

The High Court in *Jennings Roadfreight Ltd (in liq) v C of IR* (2012) 25 NZTC ¶20-135 concluded that if an amount of PAYE has not been paid to the Commissioner when liquidation of a company commences, the deemed trust imposed under s 167 of the TAA in favour of IR ceases and the Commissioner then becomes a creditor in the liquidation. However, on appeal, the Court of Appeal overturned the High Court decision and held that where s 167(1) applies the trust remains in existence upon liquidation and therefore the Commissioner was entitled to payment of the PAYE owing, as opposed to being subject to the Sch 7 ranking (discussed below). If the PAYE has not been dealt with properly and falls within s 167(2), the Sch 7 ranking will apply. See *C of IR v Jennings Roadfreight Ltd (in liq)* (2013) 26 NZTC ¶21-035 (CA). In effect, the decision would have meant that any credit balance in a bank account of a company on liquidation up to the value of PAYE deducted would be held on trust for the Commissioner and will not form part of the company's estate on liquidation. However, the Supreme Court allowed the appeal by Jennings and confirmed that upon the liquidation of Jennings the unpaid (and overdue) PAYE was dealt with under s 167(2) and was therefore subject to the Sch 7 ranking. Section 167(2) applies on liquidation when one of 2 conditions is met: (i) where the employer has failed to deal with the amount withheld or deducted in the manner required by s 167(1), and (ii) where the employer has failed to deal with the amount in accordance with the PAYE rules. Section 167(2) was a specific qualification to the broader provisions of s 167(1), which applied even if there was no insolvency. This means that, in the event of liquidation, s 167(2) and the priorities set out in that subsection apply to all amounts of PAYE withheld that fell due before liquidation but were not paid to the Commissioner before liquidation. Section 167(1) does not apply to such amounts, unless (possibly) unpaid PAYE deducted has been segregated by the employer in a separate account. Amounts of PAYE that fall due for payment after liquidation will, however, remain subject to s 167(1). See *Jennings Roadfreight Ltd (in liq) v C of IR* (No 2) (2014) 26 NZTC ¶21-108 (SC).

Schedule 7 ranking

In a liquidation or on the appointment of a receiver, unpaid tax deductions have the ranking provided for in Sch 7 of the C93. This means that the order of priority is as follows:

- # costs and expenses of liquidation
- # the following preferential payments:

- # the salary and wages owing to any employee for services rendered to the company in the 4-month period before the commencement of the liquidation (from 30 September 2024 limited to \$31,820 per employee, previously the limit was \$25,480) (this category of debt extends to commissions and piecework payments owing)
- # untransferred payroll donations of an employee and held by the employer or a PAYE intermediary during the 4 months before commencement of the liquidation (from 30 September 2024 limited to \$31,820 per employee)
- # the holiday pay payable to an employee upon the termination of employment before or because of the commencement of the liquidation (from 30 September 2024 limited to \$31,820 per employee)
- # any redundancy owed to an employee that has accrued before or by reason of the commencement of the liquidation (from 30 September 2024 limited to \$31,820 per employee)
- # any reimbursement or payment provided for, or ordered by, the Employment Relations Authority, the Employment Court or the Court of Appeal for wages or other remuneration lost during the 4-month period before the commencement of the liquidation as a result of a personal grievance (excluding wages or benefits lost for humiliation, loss of dignity and injury to feelings) (from 30 September 2024 limited to \$31,820 per employee)
- # any deduction made by the company to satisfy some obligation of the employee (eg union fees, superannuation contributions) (from 30 September 2024 limited to \$31,820 per employee)
- # child support amounts payable to the Commissioner (from 30 September 2024 limited to \$31,820)
- # KiwiSaver contributions payable to the Commissioner
- # any other debts required by some other statute to be paid in priority to all other debts in the event of a liquidation
- # all sums, for which the buyer is a creditor under the Fair Trading Act 1986, paid by a buyer to a seller on account of the purchase of goods, or to which a buyer is entitled to receive from the seller under the Fair Trading Act
- # any costs incurred by a person in organising and conducting a creditors' meeting
- # tax payable by the company in terms of the following:
 - # goods and services tax (GST)
 - # PAYE (to the extent that it was not properly dealt with prior to the liquidation — see discussion of *Jennings Roadfreight* decision above)
 - # NRWT
 - # RWT, and
 - # excise duty
- # debts owed to holders of security interests held over all or part of the company's accounts receivable and inventory, other than purchase money security interests and security interests that have been the subject of a factoring transaction. (A "purchase money security interest" is generally any security interest which secures the purchase price of goods, including the equivalent of a Romalpa clause; or a security interest which prohibits or restricts the property from being disposed of in the ordinary course of the business.)
- # unsecured creditors (eg the Commissioner, for unpaid income tax, civil penalties and use of money interest), and
- # deferred creditors.

There is a limitation on the debts which enjoy priority to the effect that the debts for salary, holiday pay, payroll donations and employee obligations may not, in each case, exceed \$31,820 per employee. Subject to that qualification, the specified debts rank equally among themselves and, if the assets are insufficient to meet them, they abate in equal proportions.

For the purposes of [Sch 7](#):

- # remuneration in respect of a period of holiday or of absence from work through sickness or other good cause is treated as wages in respect of services rendered to the company during that period
- # the expression "holiday pay", in relation to a person, means all sums payable to that person by the company under subpart 1 of Pt 2 of the Holidays Act 2003, and includes all sums payable to that

- person by the company as holiday pay (whether by or under any other enactment or any award, agreement or contract of service), and
- # an “employee” is any person of any age who is employed to do any work for hire or reward under a contract of service, including a home worker but excluding a person who was, at any time in the 12 months before the commencement of the liquidation:
- # a director of the company, or
- # a nominee, or a relative of or a trustee for a director of the company.

Commissioner’s priority and the Personal Property Securities Act 1999

Under the Personal Property Securities Act 1999, the preferential tax debts (GST, PAYE, RWT and NRWT) rank behind the claim of anyone who has:

- # a purchase money security interest, ie any security interest that secures the purchase price of goods, including the equivalent of a Romalpa clause, or
- # a security interest that stops the property from being disposed of in the ordinary course of business.

When a security interest does not prohibit or restrict the property from being disposed of in the ordinary course of business, preferential tax debts will have priority.

The case *Burns and Agnew v C of IR* ([\(2011\) 25 NZTC ¶120-070](#)) concerned a dispute between a secured creditor and the Commissioner (as a preferential creditor) in respect of certain funds received by the liquidators of Takapuna Procurement Ltd. The liquidators applied to the High Court for directions as to the application of those funds and this required the Court to undertake an analysis of the concept of an “account receivable” to determine whether such funds could be applied to satisfy preferential claims under [Sch 7](#) of the C93 ahead of the claim(s) of secured creditors.

On the question of whether the balance of the disputed funds constituted an “account receivable”, the High Court held that, consistent with the definition given to the term under the Personal Property Securities Act, the term “account receivable” refers to any monetary obligation owed to the company whatsoever (with limited exceptions for chattel paper, investment securities, negotiable instruments and those interests which are excluded from the scope of the Act). In reaching its decision the High Court overruled the earlier decision of the High Court in *C of IR v Northshore Taverns Ltd (in liq)* ([\(2008\) 23 NZTC 22,074](#)), which held that the term “account receivable” was substantially the same as the concept of “book debts” or ordinary trading debts. The High Court concluded that all the funds in dispute were “accounts receivable” for the purposes of [Sch 7](#) and were accordingly available for distribution to the Commissioner as preferential creditor ahead of the secured claim of Strategic Finance.

The High Court also confirmed that an “account receivable” will only be available to meet the claims of preferential creditors under [Sch 7](#) when the relevant “monetary obligation” was owed to the company at the time that the receivership or liquidation commenced. For example, the debt arising from the sale of non-inventory assets on credit terms by a receiver or liquidator would not constitute an “account receivable” for [Sch 7](#) because the relevant monetary obligation arises after appointment. In contrast, any unpaid proceeds of the sale of the same asset by the company prior to an appointment would give rise to an account receivable to which the preferential creditor regime would apply.

Preference of late payment or shortfall penalties

Late payment or shortfall penalties may be imposed on the company for failure to account for PAYE tax deductions, employer superannuation contribution tax and NRWT. The expression “tax deduction” under [s 167\(4\)](#) of the TAA does not include any late payment penalty or shortfall penalty. Consequently, tax deductions made and not paid to IR continue to rank as preferential debts but late payment or shortfall penalties are regarded as unsecured debts.

Commissioner's charge over assets for unpaid PAYE and withholding tax deductions

Unpaid PAYE or other withheld amounts (including any late payment or shortfall penalty) constitute a charge on all the real and personal property of the company as employer ([¶3-171](#)). The Commissioner may proceed to register that charge with Land Information New Zealand or the Personal Property Securities Register.

Such charge ranks in priority immediately after any charges already registered against the title. There is an exception to this rule if a mortgage is registered before the Commissioner's charge but moneys under that mortgage are not advanced until after the mortgagee or their solicitor has received notice of the charge or its registration. In such cases the Commissioner's charge takes priority over the mortgage.

The Commissioner also has the power to enforce a charge. This power consists of applying to the High Court to enforce a sale of the property.

Commissioner not tied to compromise of creditors

The Commissioner is, at least in respect of the preferential claims referred to above, not obliged to be bound by a scheme of arrangement, or other compromise with unsecured creditors (*C of IR v Roadmark Systems Ltd* ([1997](#)) [18 NZTC 13,331](#)). The Commissioner was also held not to be bound to a compromise of creditors in *American Bistro (Chch) Ltd v C of IR* ([1997](#)) [18 NZTC 13,369](#), but on different grounds. In that case, the Court held that because the Crown is not bound by an enactment unless expressly stated, it followed that the Commissioner was not bound by a compromise of creditors (in that case, under Pt VB of the Companies Act 1955) unless he had voted for it. By way of comment, s [9](#) of the Companies Act expressly binds the Crown, and so the outcome in *American Bistro* must be read in light of that Act. It is also noted that if there are 2 classes of tax outstanding, ie preferred claims (such as PAYE and GST) and unsecured claims (such as penalties and interest) any compromise sought from the Commissioner must be in respect of both classes of creditors.

However, the Commissioner can be bound by a decision of unsecured creditors to accept a company compromise in cases where the Commissioner is not a preferred creditor. See *Wilder Transport Ltd v C of IR* ([1999](#)) [19 NZTC 15,120](#) which concerned the Commissioner's claim for unpaid accident compensation employer premiums, penalties and interest.

In *C of IR v Atlas Food and Beverage Ltd* ([2010](#)) [24 NZTC 24,096](#), the Commissioner was held not to be bound by compromises of debts entered into by 4 companies that had outstanding tax liabilities. The High Court ruled that there were material irregularities in the compromises, such as the inclusion for voting purposes of related party creditors who had agreed not to receive monthly payments, and the failure to discount certain debts that were subject to contingencies. The Court also refused an application by the companies for approval of the compromises under s [236](#) of the C93.

Law: C93 [Sch 7](#); IT07 s [RA 23](#); TAA ss [44](#), [167–170](#)

Last reviewed on 31 December 2025

Dissolution of a company [¶16-860]

[¶16-860]

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A solvent company may apply to the Registrar of Companies for a declaration of dissolution. This is a more informal procedure than the company's liquidator making application to the High Court. Among the documents that the applicant company must provide is a written notice from the Commissioner stating that the Commissioner has no objection to the declaration being made. The Commissioner gives such a notice in the form of a letter when satisfied that the company has no outstanding obligations owed to IR. This means that the company must have filed all the necessary returns of income, paid any income tax owing and accounted for all PAYE tax deductions and accident compensation levies.

A liquidator is not required to obtain the approval of IR before a company is liquidated. However, in practice, approval is still generally sought.

Public binding ruling [BR Pub 14/09](#), "Income tax — meaning of 'anything occurring on liquidation' when a company requests removal from the register of companies", considers the interpretation of the phrase "anything occurring on liquidation" (in the definition of "liquidation" in s [YA 1](#)) when a request for removal is made under the short-form liquidation process.

In the Commissioner's view, liquidation of a company is a process. Therefore, the phrase "anything occurring on liquidation", in particular the words "on liquidation", refer to a period. That period starts with the occurrence of the first step legally necessary to achieve liquidation. The Commissioner considers that this first step will ordinarily be a resolution of shareholders or directors or, where applicable, another overt decision-making act provided for in a company's constitution, to adopt a course of action that will lead to the removal of the company from the Companies register. Anything done after that step to enable the liquidation is considered to occur "on liquidation" for income tax purposes. Therefore, on a short-form liquidation, any capital distributions a company makes after the passing of a resolution to enable liquidation will be made "on the liquidation of the company" and may be excluded from being dividends under s [CD 26](#).

Following the release of [BR Pub 14/09](#), the Commissioner in [QB 20/03](#), "First step legally necessary to achieve liquidation when a liquidator is appointed" was asked whether the first step legally necessary to achieve liquidation when a liquidator is appointed (a long-form liquidation) is the same as the first step for a short-form liquidation. The QWBA confirms that the first step is not the same for a short-form and a long-form liquidation. The first step legally necessary to achieve a long-form liquidation is a shareholders' resolution appointing a named liquidator as required by the C93.

Law: IT07 s [YA 1](#) ("liquidation"); C93 s [318](#)

Last reviewed on 31 December 2025

Corporate migration — tax treatment [¶16-870]

[¶16-870]

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Certain integrity issues involving New Zealand resident companies where the residency tie-breaks to another country under a DTA was addressed by amendments to s [CW 10\(1\)](#). The amendments removed the exemption in s [CW 10](#) (domestic dividend exemption) for certain dividends paid to New Zealand resident companies where the tie-break points to another jurisdiction, and extend the rules in subpart [FL](#) (corporate migration) to those same companies.

Specific tax rules ensure that companies that migrate from New Zealand pay tax on all their worldwide income earned while resident in New Zealand. Before the C93, companies could not be removed from the New Zealand register of companies without being liquidated. Under the current C93, companies can transfer their place of incorporation outside New Zealand and become non-resident without being liquidated. Therefore, before the introduction of specific tax rules, this meant New Zealand companies could migrate from New Zealand without necessarily paying New Zealand tax on all the income earned while resident in New Zealand, eg in respect of unrealised property gains. In fact, some companies found it more tax effective to migrate from New Zealand than to be liquidated. To counter this, an emigrating company, under the corporate migration rules, is treated for tax purposes as if, immediately before emigrating, it realises all its assets, is liquidated and the proceeds are fully distributed to its shareholders. This deemed distribution is treated as a dividend under the usual rules.

The corporate migration rules apply to companies migrating on or after 21 March 2005. Some limited exceptions exist for companies that had already commenced the migration process before this date.

An emigrating company is a New Zealand resident company that ceases to be a New Zealand resident for tax purposes ([¶16-010](#)). Before amendments made in 2023, the corporate migration rules did not apply if a New Zealand resident company became a DTA non-resident company. This resulted in New Zealand losing taxing rights on income and distributions made to non-residents due to the application of a DTA (ie NRWT could not be withheld), even though there was no change in the company's tax residence under domestic law. The rules were extended to companies whose residence tie-break resulted in them being deemed a tax resident of the other country under a DTA.

Impact of changes to Australian corporate tax residency

In March 2019 Australia's corporate residency rules were changed in response to *Bywater Investments Ltd & Ors v FC of T*; *Hua Wang Bank Berhad v FC of T* 2016 ATC ¶20-589. The Australian Tax Office issued a new interpretation on central management and control of companies that effectively meant that companies with Australian directors could now be Australian tax resident, even if the company's commercial activities are carried on outside Australia. Some New Zealand registered companies were impacted and deemed to be dual resident. As a result, a new "deemed corporate migration rule" under s [FL 3](#) has been introduced into the IT07.

The rule only applies to a New Zealand resident company who, on or after 30 August 2022, is treated under a DTA as not being a New Zealand resident and one of the following events occur:

- # the company takes a tax position consistent with relief from New Zealand taxes under a DTA on the basis that it is not a resident of New Zealand for treaty purposes, or
- # the company becomes a non-resident (that is it undertakes an actual corporate migration), or
- # the company has been treated under the DTA as not being resident for a continuous period of 2 years starting on the day in which it receives a Competent Authority determination.

The amendments ensure that affected New Zealand companies have uninterrupted access to certain New Zealand tax regimes by including dual residents in their eligibility requirements. Three tax regimes were identified where changes were made to resolve concerns with the application of Australia's residence rules while maintaining the integrity of the underlying regimes. They are the following:

- # the loss grouping rules
- # consolidation rules, and
- # imputation credit accounts.

For a detailed discussion on the amended corporate migration rules, see *Tax Information Bulletin* ¶1356-102 Vol 35 No. 6, July 2023 at 54.

An emigrating company is treated for tax purposes as if, immediately before it became non-resident, it had paid a cash dividend to its shareholders of an amount equal to the amount that would have been available for distribution if the company had disposed of its property at market value and gone into liquidation (ss [FL 1](#), [FL 2](#) and [FL 3](#)).

Imputation credits can be attached to the distribution deemed to be made under s [FL 2](#) or [FL 3](#). The company is entitled to retrospectively claim imputation credits for any tax paid in respect of income arising before migration or as a result of the deemed disposition of property. Such tax is deemed to have been paid immediately prior to the migration for imputation purposes (s [OB 62](#)).

That portion of the deemed distribution that is treated as being paid to New Zealand resident shareholders is resident passive income and therefore subject to the RWT rules ([¶15-030](#)). Likewise, that portion of the deemed distribution that is treated as being paid to non-resident shareholders is non-resident passive income and therefore subject to the NRWT rules ([¶126-450](#)). Payments of RWT and NRWT must be made by the emigrating company within 3 months of migration. Any related information must be provided to the Commissioner within the same period.

The amount of any dividend deemed to have been paid on migration is added to the company's ASC. This is to prevent shareholders from being double taxed, in the event that an emigrating company subsequently pays an actual dividend from the same source as the deemed distribution.

Emigrating companies are deemed to reacquire their property at the same market value at which it was deemed to be disposed of for New Zealand tax purposes. This establishes a cost base for assets remaining in New Zealand. Depreciable property deemed to be reacquired following migration remains eligible for the 20% New Zealand-new asset loading; that is, the reacquisition is ignored for the purposes of s [EE 31](#). However, the 20% loading is not available for assets acquired after 20 May 2010.

For the Commissioner's view on the operational implications of the rules and examples, see *Tax Information Bulletin* ¶185-120 Vol 18, No 5, June 2006 at 97.

Special rules can apply to tax the interests of New Zealand shareholders in emigrating companies ([¶126-142](#)).

Law: IT07 ss [CD 26](#), [CD 43\(16\)](#), [FL 1](#), [FL 2](#), [OB 62](#)

Last reviewed on 31 December 2025

Recovery of income tax from directors and shareholders after asset stripping [¶16-880]

[¶16-880]

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The Commissioner is authorised by s [HD 15](#) to recover income tax from the directors and shareholders of a company who have entered into an arrangement or transaction to deplete the company's assets, so that it is unable to fully meet its tax liabilities (*Spencer v C of IR* (2004) 21 NZTC 18,818). The section focuses on asset stripping by contributors to avoid payment of an otherwise lawful demand for income tax rather than being a general tax recovery provision (Case X11 (2005) 22 NZTC 12,175).

The Commissioner's ability to recover unpaid tax extends to civil penalties and use of money interest for which the company is liable.

The tax recovery provisions apply to an arrangement entered into by the company that has the effect of leaving the company unable to satisfy its tax liability if it is reasonable to conclude that a purpose (which does not need to be the dominant purpose) of this arrangement was to have this effect, ie to avoid a tax liability. The recovery provisions do not apply to arrangements to which the Commissioner is a party, arrangements that have been previously assessed (and for which tax has been duly paid), or arrangements entered into when the company is under statutory management pursuant to the Reserve Bank of New Zealand Act 1989 or the Corporations (Investigation and Management) Act 1989.

Example:

TP Co sells its only asset, making a profit of \$1,000. The company's tax liability of \$280 is not paid. The \$1,000 is distributed by way of dividend to the 4 shareholders of TP Co. Tax of \$280 on the dividend income is paid by the 4 shareholders. TP Co cannot pay its tax liability of \$280. However, because its liability is equal to the amount already paid by the shareholders, s [HD 15](#) will not apply to this arrangement.

See *Tax Information Bulletin* ¶37-146 Vol 3, No 7, April 1992 at 45.

Liable persons

Certain persons (as agents of the company) are potentially responsible for the company's liability. These are all persons who were directors at the time the arrangement was entered into, shareholders who were controlling shareholders at the time the arrangement was entered into or persons (interested shareholders) who had a voting or market value interest in the company at that time where it was reasonable to conclude, having regard to the materiality of any benefit derived by the person, that the person was a party to the arrangement. Allocation of liability between directors and shareholders is not prescribed, although it would seem the Commissioner is able to choose those persons who will be made liable under s [HD 15](#). A taxpayer has the right to challenge a demand made by the Commissioner under these provisions.

Directors

A director is defined for s [HD 15](#) as a person occupying the legal office of director. Where a corporate entity does not have directorships, any trustee, manager or other person who acts in the same or similar fashion as a director would be treated as a director of that entity. The definition of director covers both executive and non-executive directors and both will be jointly and severally liable for the full tax liability. However, there are some exceptions to a director's liability. The first is where the director derived no benefit from the arrangement, cast a dissenting vote against the arrangement and gave notice of their dissent to the Commissioner (in writing) at the first reasonable opportunity after becoming aware of the arrangement. The second is where the director is a non-executive director and at all material times had no knowledge of the arrangement (or benefit).

Example:

Refer to the example above and assume the shareholders did not in fact pay tax on the dividend of \$1,000. A and B are executive directors of TP Co. A votes in favour of selling the asset in question, while B dissents. B gives notice of his dissent to the Commissioner the next day. C is a non-executive director and votes in favour of the asset sale by proxy without having any knowledge of the matters discussed. C derives no benefit from the transaction. Of the three directors, the Commissioner can apply s [HD 15](#) to recover TP Co's unpaid tax from A. B is not liable, because he dissented from the arrangement and gave notice to the Commissioner at the first opportunity (and further because B derived no benefit from the arrangement). C is also not liable, because he is a non-executive director, who, at all material times, derived no benefit or had no actual knowledge of the arrangement.

See *Tax Information Bulletin* [137-146 Vol 3, No 7](#), April 1992 at 45.

Controlling shareholders

A controlling shareholder is any person whose voting or market value interests aggregated together with any other associated person equal or exceed 50%.

Example:

TP Co shareholders are: Mr A — 60% voting interest, Mrs A — 10% voting interest, C — 10% voting interest, D — 20% voting interest. C is Mrs A's sister. Applying the associated persons test, Mr and Mrs A and C are associated persons. All three are deemed to have controlling interests in TP Co with an 80% voting interest or market value interest each (as the case may be) in the company.

See *Tax Information Bulletin* [137-146 Vol 3, No 7](#), April 1992 at 46.

A controlling shareholder's liability to outstanding tax (excluding a civil penalty or use of money interest that is part of the tax liability) will be limited to the greater of the market value of the person's direct and indirect shareholding in the company at the time of entry into the arrangement, and the value of any benefit derived by the person from the arrangement.

Example:

Mr and Mrs A and C receive \$300 each in dividends from profits arising from the arrangement to sell TP Co's \$1,000 asset. D receives \$100. At the time the arrangement was entered into, the market value of the company was \$500. The amount of tax that is recoverable from TP Co is \$300. The voting interests were held at 60% for Mr A, 10% for Mrs A and 10% for C. Liability will be as follows: Mr A — the greater of $60/100 \times \$500 = \300 (the market value interest) or \$300 (the benefit received). Limit = \$300. Mrs A — the greater of $10/100 \times \$500 = \50 (the market value of the interest) or \$300 (the benefit received). Limit = \$300. C — the greater of $10/100 \times \$500 = \50 (the market value of the interest) or \$300 (the benefit received). Limit = \$300.

In addition, the Commissioner can recover from shareholders the relevant proportion of civil penalty or use of money interest incurred by a company as part of any outstanding tax liability, ie liability is apportioned in the same proportions as for the principal tax liability.

Interested shareholders

Interested shareholders are shareholders who, at the time the arrangement is entered into, have a 50% voting interest or market value interest in the company and it could reasonably be concluded, having regard to the size of the benefit derived by the shareholder, that they were a party to it. The extent of an interested shareholder's liability is determined in the same way as a controlling shareholder's liability.

Company acting as a trustee

Note that when applying the voting and market value interests tests for the purposes of the definitions of "[controlling shareholder](#)" and "[interested shareholder](#)", a company includes a company that is acting in the capacity of a trustee.

The Supreme Court decision in *Madsen-Ries v Cooper* [2020] NZSC 100 has helped to clarify when the actions of directors will be in breach of their duties under ss 135 and 136 of the C93. In that case, the company was in financial difficulty and the director decided to wind down its operations by completing the construction and sale of several dwellings and paying off secured creditors from the sale proceeds. No GST output tax was paid. The director was held to have breached s 135 because he knew that completing the construction projects would lead to a GST shortfall. The fact that some creditors might receive higher returns than immediate liquidation would have given was irrelevant, as creditors cannot be compartmentalised. The director also breached s 136 with his strategy of ensuring some creditors had a higher return because the company incurred new liabilities that would not be paid. The director had adopted a strategy of using IR as a bank, which resulted in a large GST deficit, and he was held to be in breach of duties owed to the company and liable to make restitution.

Law: IT07 s [HD 15](#); C93 ss [135](#), [136](#)

Last reviewed on 31 December 2025

Reassessment of a company following liquidation [¶16-890]

[¶16-890]

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Any time after a company has been liquidated, the Commissioner may issue or amend an assessment for any tax liability of the company, as if the company had not been liquidated. The Commissioner's ability to issue the reassessment is not precluded by any prior approval they may have given to removal of the company from the register of members. See *BNZ Finance Ltd v Holland* (1997) 18 NZTC 13,461 (PC).

Following the assessment, the Commissioner is required to nominate one or more persons considered to be liable for the tax payable under the assessment. The persons nominated become liable for the tax owing under the assessment, subject to the possibility of a successful challenge to the assessment.

A company that is liquidated and removed from the register of companies cannot be the subject of a valid assessment. There is no ability for the former company as a now non-existent person to respond to the assessment by issue of a notice of proposed adjustment within the prescribed statutory period. That conclusion is not altered should the company subsequently be restored to the register. Because it is a nullity, the Commissioner cannot rely on the so-called assessment as being deemed to be correct, so as to enable recovery of the company's unpaid tax from the shareholders. See *Spencer v C of IR* (2004) 21 NZTC 18,818.

Section 330(2) of the C93 provides that a company restored to the register is treated as if it had never been removed. In *C of IR v Registrar of Companies* (2007) 23 NZTC 21,215 proceedings brought by the Commissioner against an unregistered company were treated as validated.

Law: IT07 s [HD 15\(6\)](#), [\(7\)](#); C93 s [330\(2\)](#)

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